



Canada Revenue
Agency

Agence du revenu
du Canada

Employers' Guide

Payroll Deductions and Remittances

Is this guide for you

Use this guide if you are one of the following:

- a Canadian resident employer
- a trustee
- a payer of other amounts related to employment
- an estate executor, a liquidator, an administrator, or a corporate director
- a non-resident employer

Non-resident employers with employees providing employment services in Canada are subject to the same withholding, remitting, and reporting obligations as Canadian resident employers. Therefore, any employer, including a non-resident employer, is required to withhold amounts on account of the income tax liability of an employee in Canada even if the employee is likely to be exempt from tax in Canada because of a tax treaty. For the employer to be relieved of their obligation to withhold, the employee would have to apply for and get an income tax waiver from the Canada Revenue Agency (CRA).

However, there is an exception to the employer's withholding obligation for certain non-resident employers paying employment income to non-resident employees for performing the duties of an office or employment in Canada after 2015. These non-resident employers, who apply for non-resident employer certification, will not have to withhold and remit tax on the payments they make to non-resident employees who are working in Canada for a limited time and are exempt from tax in Canada under a tax treaty. For more information, go to canada.ca/en/revenue-agency/services/tax/international-non-residents/information-been-moved/rendering-services-canada/non-resident-employer-certification.

For information on barbers and hairdressers, taxi drivers and drivers of other passenger-carrying vehicles, see page 43.

Do not use this guide if you are self-employed and need coverage under the Canada Pension Plan (CPP) or employment insurance (EI). Instead, go to canada.ca/fed-tax-information.

The CRA's publications and personalized correspondence are available in braille, large print, e-text, and MP3. For more information, go to canada.ca/cra-multiple-formats or call 1-800-959-5525.

La version française de ce guide est intitulée *Guide de l'employeur – Les retenues sur la paie et les versements*.

The Canada Revenue Agency uses the term **Indian** because it has legal meaning under the *Indian Act*.

Unless otherwise stated, all legislative references are to the *Income Tax Act* or, where appropriate, the *Income Tax Regulations*.

Remittance due dates

In Chapter 8, you will find more information on remitting payroll deductions, including the different remitter types and due dates, how to make a remittance, and the forms to use.

When a due date falls on a Saturday, Sunday or public holiday recognized by the CRA, your payment is considered on time if the CRA receives it on or it is processed at a Canadian financial institution on or before the next business day.

For more information, go to canada.ca/payroll.

View remitting requirements

You can view your remitting requirements through one of the following:

- My Business Account at canada.ca/cra-sign-in-services, if you are the business owner
- Represent a Client at canada.ca/cra-sign-in-services, if you are an authorized employee or representative

Remittance thresholds for employer source deductions

Remitter types	AMWA ¹	Due dates
Regular remitter	Less than \$25,000	We have to receive your deductions on or before the 15th day of the month after the month you paid your employees.
Quarterly remitter	Less than \$1,000 ² and less than \$3,000	If you are eligible for quarterly remitting, we have to receive your deductions on or before the 15th day of the month immediately following the end of each quarter. The quarters are: ■ January to March ■ April to June ■ July to September ■ October to December The due dates are April 15, July 15, October 15, and January 15.
Accelerated remitter threshold 1	\$25,000 to \$99,999.99	We have to receive your deductions by the following dates: ■ For remuneration paid in the first 15 days of the month, remittances are due by the 25th day of the same month. ■ For remuneration paid from the 16th to the end of the month, remittances are due by the 10th day of the following month.
Accelerated remitter threshold 2	\$100,000 or more	You have to remit your deductions through a Canadian financial institution so that we receive them within three working days following the last day of the following pay periods: ■ the 1st through the 7th day of the month ■ the 8th through the 14th day of the month ■ the 15th through the 21st day of the month ■ the 22nd through the last day of the month

1. Average monthly withholding amount

2. This is a monthly withholding amount (MWA), not an AMWA. For more information, go to Chapter 8 starting on page 48.

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Chapter 1 – General information

Do you need to register for a payroll program account

You need to register for a payroll program account if you meet any of the following conditions:

- pay salaries or wages
- pay tips or gratuities
- pay bonuses or vacation pay
- provide benefits or allowances to employees
- need to report, deduct and remit amounts from other types of remuneration (such as pension or superannuation)

If you need a payroll program account and you already have a business number (BN), you only need to add a payroll program account to your existing BN. If you don't have a BN, you must ask for one and register for a payroll program account before the date your first remittance is due.

For more information on the BN and CRA accounts, or to register online, go to canada.ca/business-number.

Payroll deductions can be complicated. If you are having trouble with them, go to canada.ca/payroll or canada.ca/cra-contact.

Contacts and authorized representatives

As a business owner, partner, director, trustee, or officer of a business, you can authorize representatives, including your employees, an accountant, a bookkeeper, a lawyer, a payroll provider, or a firm, to act on your behalf.

You can authorize a representative (including an employee) by submitting an authorization request online through Represent a Client at canada.ca/cra-sign-in-services.

For more information, go to “Help with Represent a Client” at canada.ca/en/revenue-agency/services/e-services/represent-a-client/help-represent-a-client.html.

Employment in Quebec

If the employee has to report to your place of business in Quebec or you pay the employee from your place of business in Quebec, different regulations and employer responsibilities apply.

The Quebec provincial government administers its own provincial pension plan called the Quebec Pension Plan (QPP), its own provincial income tax, and the Quebec Parental Insurance Plan (QPIP), which is also called the Provincial Parental Insurance Plan (PPIP).

Employers with employees in Quebec have to deduct contributions for the QPP instead of the Canada Pension Plan (CPP), if the employment is pensionable under the QPP. Employers have to take deductions for both the QPIP and employment insurance (EI), if the employment is insurable.

Send the QPP, QPIP, and Quebec provincial income tax deductions to Revenu Québec, and send the CPP, EI, and federal tax deductions to the CRA.

If you need more information, you can get the Quebec Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*, by visiting Revenu Québec at revenuquebec.ca/en, or you can write to them at:

Revenu Québec
3800 rue de Marly
Québec QC G1X 4A5

Are you an employer

Employers have responsibilities they must fulfill. For more information about these responsibilities, see “What are your responsibilities” on page 7. Employers who do not comply with the payroll requirements may have to pay a penalty for the deductions not withheld and face other consequences.

Employment status directly affects a worker's entitlement to EI benefits under the *Employment Insurance Act*. It can also affect how a worker is treated under other legislation such as the Canada Pension Plan and the *Income Tax Act*. Because of this, it is important that you know whether a worker is an **employee** or a **self-employed** individual.

The facts of the working relationship as a whole decide the employment status. However, we generally consider you to be an employer if one of the following items applies to you:

- you pay salaries, wages (including advances), bonuses, vacation pay, or tips to your employees
- you provide certain taxable benefits, such as an automobile or allowances to your employees

Although a written contract might indicate that an individual is self-employed (and therefore working under a **contract for services**), we cannot consider the individual as self-employed if there is evidence of an employer-employee relationship. This relationship is referred to in this guide as employment under a **contract of service**.

Note

You may not have to deduct EI premiums if you hire family members or non-related employees. For more information, see page 21.

If you or a person working for you is not sure of the worker's employment status, either one of you can ask the CRA for a ruling. A ruling indicates whether a worker is an employee or self-employed, and whether that worker's employment is pensionable or insurable.

To ask for a CPP/EI ruling, you can:

- Log in to My Business Account at canada.ca/cra-sign-in-services if you are a payer and select “Request a CPP/EI Ruling”
- Log in to My Account at canada.ca/cra-sign-in-services if you are a payer or a worker and select “Request a CPP/EI Ruling”
- Ask your authorized representative to request a ruling for you. They can log in to Represent a Client

at canada.ca/cra-sign-in-services and select “Request a CPP/EI Ruling”

- Write a letter or fill out Form CPT1, *Request for a CPP/EI Ruling – Employee or Self-Employed*, and mail it to the CPP/Rulings Division at the Tax Services Office in the province or territory of your residence or place of business. See the table found on Form CPT1 for the mailing addresses

For more information on how we determine a worker’s employment status, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/open-manage-payroll-account/determine-need-register.html#h_3.

Employment by a trustee

A trustee includes a liquidator, a receiver, a receiver-manager, a trustee in bankruptcy, an assignee, an executor, an administrator, a sequestrator, or any other person who does a function similar to the one a trustee performs. A trustee does both of the following:

- authorizes a payment or causes a payment to be made for another person
- administers, manages, distributes, winds up, controls, or otherwise deals with another person’s property, business, estate, or income

The trustee is jointly and severally, or solidarily, liable for deducting and remitting the income tax, CPP, and EI for all payments the trustee makes.

Trustee in bankruptcy

Under the *Canada Pension Plan* and the *Employment Insurance Act*, the trustee in bankruptcy is the agent of a bankrupt employer in the event of an employer’s liquidation, assignment, or bankruptcy.

If a bankrupt employer has deducted CPP contributions, EI premiums, or income tax from amounts employees received before the bankruptcy but has not remitted these amounts to us, the trustee must hold the amounts in trust. These amounts are not part of the estate in bankruptcy and should be kept separate.

If a trustee continues to operate the bankrupt employer’s business, the trustee must get a new business number. The trustee has to continue to deduct and remit the necessary CPP contributions, EI premiums, and income tax according to the bankrupt employer’s remittance schedule. The trustee should prepare and file T4 information returns (slips) in the usual way.

Note

Amounts a trustee pays to employees of a bankrupt corporation to settle claims for wages that the bankrupt employer did not pay are taxed as “other income.” However, this income does not require CPP, EI, and income tax withholdings. The trustee has to report these payments on T4A information returns (slips). For details, go to canada.ca/t4a-information-payers, and select T4A slip.

All other trustees

If a trustee continues to operate the employer’s business, the trustee needs a new business number. The trustee has to continue to deduct and remit the necessary CPP contributions, EI premiums, and income tax according to the employer’s remittance schedule. The trustee should prepare and file T4 information returns (slips) in the usual way.

Fees paid to executors, liquidators, or administrators are either income from office or employment or business income, depending on whether the executor or administrator acts in this capacity in the regular course of business.

For more information about fees paid to an executor, liquidator, or administrator of an estate and whether they should be included in insurable employment, go to canada.ca/cpp-ei-explained and select “Tenure of office.”

Payer of other amounts

A payer of other amounts can be an employer, a trustee, an estate executor, a liquidator, an administrator, or a corporate director who pays other types of income related to an employment. This income can include pension or superannuation, lump-sum payments, self-employed commissions, annuities, retiring allowances, or any other type covered in this guide or in Guide RC4157, *Deducting Income Tax on Pension and Other Income, and Filing the T4A Slip and Summary*. These amounts have to be reported on a T4A slip, with the exception of retiring allowances that are reported on the T4 slip. For more information, go to canada.ca/t4-information-employers.

What are your responsibilities

You are responsible for deducting, remitting, and reporting payroll deductions. You also have responsibilities in situations such as hiring an employee, when an employee leaves or if the business ceases its operations.

The following are the responsibilities of the employer and, in some circumstances, the trustee and payer:

- Open and maintain a payroll program account. If you meet the conditions on page 6 for opening an account, you must register for one
- Get your employee’s social insurance number (SIN). Every employee must give you their SIN to work in Canada. For more information, see “Social insurance number” on page 8
- Get a completed federal Form TD1, *Personal Tax Credits Return*, and, if applicable, a provincial or territorial Form TD1. New employees or recipients of other amounts such as pension income must fill out this form. For more information, see page 27
- Deduct CPP contributions, EI premiums, and income tax from remuneration or other amounts, including taxable benefits and allowances, you pay in a pay period. You should hold these amounts in trust for the Receiver General and keep them separate from the operating funds of your business. Make sure these amounts are **not** part of an estate in liquidation, assignment, receivership, or bankruptcy

- Remit these deductions along with your share of CPP contributions and EI premiums. The CPP and EI chapters of this guide explain how to calculate your share of contributions and premiums. Chapter 8 explains how and when to remit these amounts
- Report the employee's income and deductions on the appropriate T4 or T4A slip. You must file an information return on or before the last day of February of the following calendar year. For more information, go to canada.ca/t4-information-employers, and canada.ca/t4a-information-payers, and select T4A slip
- Prepare a Record of Employment (ROE) when an employee stops working and has an interruption of earnings. For more information, see page 26
- Keeping records of what you do because our officers can ask to see them. For more information, see "Keeping records" on this page

Notes

If you are an employer who is resident outside of Canada **and** you do not have a place of business in Canada, you still have the same responsibilities as Canadian employers, regardless of whether the Canadian resident employee carries out the services in Canada or outside Canada. For more information about CPP coverage by an employer resident outside Canada, see page 20.

You have to deduct CPP on a non-resident employee's remuneration in the same way you would for a resident employee unless they come from a country with which Canada has signed a social security agreement. For more information, see "Non-resident employees who carry out services in Canada" on page 31.

Keeping records

You have to keep your paper and electronic records for at least six years after the year to which they relate. If you want to destroy them before the six-year period is over, fill out Form T137, *Request for Destruction of Records*, and send it to your tax services office. For more information, go to canada.ca/taxes-records.

Social insurance number

As an employer, you have to ask your employees for their social insurance number (SIN) within three days of when they start to work for you, and record their number. If an employee does not give you their SIN, you must be able to show that you made a reasonable effort to get it. An example of a reasonable effort would be if, after asking your employee for their SIN many times, you decide to contact them in writing to request their SIN. Make note of the dates you asked for the SIN verbally, and keep copies of any written requests. If you do not make a reasonable effort to get a SIN, you may have to pay a penalty of \$100 for each number you don't try to get.

Employees who are in pensionable or insurable employment also have to give you their SIN within three days of starting to work for you and they can be penalized \$100 for each time they don't provide it.

Under the *Department of Employment and Social Development Act*, an employee who does not have a SIN when they start working for you has to apply for one and give it to you within three days after they receive it. As an employer, you must inform Service Canada within six days of your employee starting to work for you that this individual did not give you their SIN. If your employee needs a SIN, refer them to their **Service Canada Centre**. To find the nearest Service Canada centre, visit canada.ca/service-canada-info.

Make sure the employee gives you their correct name and SIN. You may ask for other types of identification, such as a birth certificate or a certificate of citizenship or permanent residence, before finalizing their employment documents. **An incorrect SIN can affect an employee's future Canada Pension Plan benefits if their record of earnings is not accurate.** Also, if you report an incorrect SIN on a T4 slip that has a pension adjustment amount, the employee may receive an inaccurate registered retirement savings plan (RRSP) deduction limit statement and the related information on the employee's notice of assessment will be inaccurate.

When an employee has an interruption of earnings, you have to record the correct SIN on an ROE for employment insurance purposes (for details on the ROE, see page 26). **If you don't provide a correct ROE, you could be fined up to \$2,000, imprisoned for up to six months, or both.**

Notes

Even if you have not received your employee's SIN, you still have to make deductions and remit them, and file your information returns on or before the last day of February of the following calendar year. If you don't, you might get a penalty for remitting or filing late.

If you filed a T4 slip without a SIN but received it after, file an amended T4 slip and include the SIN. Go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/file-information-returns-slip-summaries/make-corrections-after-filing/amend.

For more information, see Information Circular IC82-2, *Social Insurance Number Legislation that Relates to the Preparation of Information Slips*, or visit Service Canada at canada.ca/service-canada-info.

SIN beginning with the number 9

An eligible person who is not a Canadian citizen or a permanent resident of Canada and who applies for a SIN will get one beginning with the number 9.

If you hire a person whom you know is not a Canadian citizen or permanent resident, make sure you confirm all of the following:

- the person's SIN begins with 9
- the SIN has not expired
- the person has a valid work permit issued by Immigration, Refugees and Citizenship Canada

Notes

Social insurance numbers beginning with a 9 are valid only until the expiry date shown on the Immigration, Refugees and Citizenship Canada document authorizing the person to work in Canada. You must see the employee's existing immigration document authorizing them to work in Canada (for example, work permit, study permit) and verify that it has not expired.

If the immigration document has expired, ask the employee to contact Immigration, Refugees and Citizenship Canada to get a valid document.

If the person has a SIN that begins with the number 9 and it does not have an expiry date, the SIN is not valid. Refer the person to the nearest Service Canada Centre.

Your employees have to inform you of any new expiry date for their SIN within three days after they receive it.

If the eligible person then becomes a Canadian citizen or permanent resident of Canada, they will receive a permanent SIN.

Payroll Deductions Tables

The Payroll Deduction Tables help you calculate CPP contributions, EI premiums, and the amount of federal, provincial (except Quebec), and territorial income tax that you have to deduct from amounts you pay each pay period.

Note

A pay period means the period for which you pay earnings or other remuneration to an employee.

The CRA encourages employers to take advantage of our electronic payroll deductions services:

- **Payroll Deductions Online Calculator (PDOC)** – You can use this application to calculate payroll deductions for all provinces and territories except Quebec. It calculates payroll deductions for the most common pay periods (such as weekly or biweekly), based on exact salary figures. You will find the PDOC at canada.ca/pdoc
- **Payroll Deductions Tables (T4032)** – Use these tables to calculate payroll deductions for the most common pay periods. They are available at canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/methods-calculating-deductions-cpp-ei-income-tax
- **Payroll Deductions Supplementary Tables (T4008)** – Use these tables to calculate payroll deductions for irregular pay periods (for example, 10 times per year or daily). They are available at canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/methods-calculating-deductions-cpp-ei-income-tax
- **Payroll Deductions Formulas (T4127)** – You may want to use these formulas instead of the tables to calculate your employees' payroll deductions. This guide contains formulas to calculate CPP contributions, EI premiums, and federal, provincial (except Quebec), and territorial income tax. They are available at canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/methods-calculating-deductions-cpp-ei-income-tax

All the Payroll Deduction Tables are available for each province and territory (except Quebec) and for employees working in Canada beyond the limits of any province, or outside Canada.

Which tax tables should you use

Employment income

When you pay remuneration or employment income such as salaries, wages, or commissions, the employee's province or territory of employment (POE) must be determined so that the proper deductions are withheld. This depends on whether your employee "reports for work" at any of your establishments.

The POE is **determined by**:

- The type of income
- The residency status of the employee
- The establishment of the employer where the employee reports for work

For income tax, CPP and EI withholding purposes, an **establishment of the employer** is any place or premises in Canada that is owned, leased or rented by this employer where employees report to work or from which employees are paid. For purposes of the POE, this **does not need to be a permanent physical location**.

For example, the place of business for a construction company can be one or more construction sites, or the place of business for a carnival can include a shopping mall parking lot. In these examples, the employee's province or territory of employment would be the one in which the field office or shopping mall is located.

For more information on which tax tables to use, see Appendix 1 on page 55.

Employee reports to your establishment

If your employee reports to your establishment in person, the employee's province or territory of employment is the one in which your establishment is located. There is no minimum amount of time the employee has to report to that place.

Where a full-time remote work agreement was made, an employee will also be considered to report to your establishment where they are reasonably considered "attached to an establishment of the employer."

For more information on employee's province or territory of employment, go to canada.ca/payroll-employee-info and select, "Determine the province of employment."

When an employee leaves

When an employee stops working for you, we suggest you calculate the employee's earnings for the year to date and give the employee a T4 slip. Include the information from that T4 slip in your T4 return when you file it on or before the last day of February of the following year.

You must also issue a Record of Employment (ROE) to each former employee. Generally, if you are issuing an ROE electronically, you must issue it within five calendar days after the end of the pay period in which an employee

experiences an interruption of earnings. However, special rules may apply. If you are issuing a paper ROE, you have to issue it within five calendar days of the employee's interruption of earnings or the date you become aware of the interruption of earnings.

For more information, or to get the publication called *How to Complete the Record of Employment Form*, go to Service Canada at canada.ca/en/employment-social-development/programs/ei/ei-list/ei-roe. You can also call their Employer Contact Centre at 1-800-367-5693 (TTY: 1-855-881-9874).

If you do not have any employees for a period of time

Inform us by using the "Provide a nil remittance" service through My Business Account at or through Represent a Client at canada.ca/cra-sign-in-services, by calling our TeleReply service, or by sending us your completed remittance form and indicating when you expect to make deductions next. To find out how to use our TeleReply service, see page 53.

Changes to your business entity

If your business stops operating or the partner or proprietor dies

If your business stops operating or the partner or proprietor dies, you should do the following:

- Remit all CPP contributions, EI premiums, and income tax deductions withheld for the former employees to your tax centre within seven days of the day your business ends
- Calculate the pension adjustment (PA) that applies to your former employees who accrued benefits for the year under your registered pension plan (RPP) or deferred profit sharing plan (DPSP). For information on how to calculate pension adjustments, see Guide T4084, *Pension Adjustment Guide*
- Fill out and file all T4 or T4A slips and summaries using electronic filing methods or on paper, and send them to the Jonquière Tax Centre (at the address found at the end of this guide) within 30 days from the date your business ends (or 90 days from the date a partner or the sole proprietor dies). If you have to prepare more than 5 slips for a calendar year, you **must** file the return electronically over the Internet in eXtensible mark-up language (XML) or with Web Forms. For more information, go to canada.ca/filing-info-returns
- Give copies of the T4 or T4A slips to your former employees
- Issue an ROE for each former employee. You generally have five calendar days after the end of the pay period in which an employee's interruption of earnings occurs to issue an ROE to former employees. Employees can view their ROE using their My Service Canada Account. For more information, see "Record of Employment (ROE)" on page 26
- When the owner of a sole proprietorship dies, a final income tax and benefit return has to be filed. This return is due by June 15 of the year following death, unless the

date of death is between December 16 and December 31, in which case the final return is due six months after the date of death. For more information, see Guide T4011, *Preparing Returns for Deceased Persons*

- Close the business number and all CRA business accounts after all the final returns and all the amounts owing have been processed

To close your payroll program account, you can use the "Request to close payroll account" service in My Business Account at canada.ca/cra-sign-in-services. An authorized representative can use this service through Represent a Client at canada.ca/cra-sign-in-services.

To find out how to fill out and file the T4 or T4A slips and Summary, you can do one of the following:

- go to canada.ca/payroll
- go to canada.ca/t4-information-employers
- go to canada.ca/t4a-information-payers, and select T4A slip

If you change your legal status, restructure, or reorganize

If you change your legal status, restructure, or reorganize, we consider you to be a **new employer**. You may need a new business number (BN) and a new payroll program account. Go to canada.ca/cra-contact to let us know if your business status has changed or will change in the near future.

Note

Amalgamations have different rules. For more information, see the next section "If your business amalgamates."

The following are examples of changes to a business status:

- You are the sole proprietor of a business and you decide to incorporate
- You and a partner own a business. Your partner leaves the business and sells their half interest to you, making you a sole proprietor
- A corporation sells its property division to another corporation
- One corporation transfers all of its employees to another corporation

When a change happens, a new (successor) employer is created. A successor employer who has acquired all or part of a business, and who has immediately succeeded the former (predecessor) employer as the new employer of an employee, may, under certain circumstances, take into consideration the CPP/QPP, EI, and PPIP deductions already withheld by the previous employer and continue withholding and remitting those deductions as if there were no change in employer. If employees have already paid the maximum deductions, take no further deductions for the year.

If the situation just described does not apply, you must continue to deduct CPP/QPP, EI, and PPIP. You cannot

take into consideration any deductions taken by the previous employer.

As stated in the previous section called “If your business stops operating or the partner or proprietor dies,” the predecessor company has to do all of the following:

- send their final remittances to the CRA
- calculate any pension adjustment
- fill out and file all slips and summaries
- give employees their copies of T4 or T4A slips
- issue an ROE to their employees
- deregister their business number
- close all program accounts

For more information about legal status, restructure, or reorganization, go to canada.ca/cpp-ei-explained and select “Employer restructuring/Succession of employers.”

If your business amalgamates

If your business amalgamates with another, special rules apply. In this case, you, as the successor employer, can keep the business number (BN) of one of the corporations, or you can apply for a new one. If one of the corporations is non-resident, however, you **have to** apply for a new BN.

Since no new employer exists for CPP and EI purposes, continue deducting normally, taking into account the deductions and remittances that occurred before the amalgamation. These remittances will be reported under the payroll program account of the successor BN.

If you had previously been granted a reduced employer’s EI premium rate, you will need to contact Employment and Social Development Canada to make sure you are still eligible for the reduced rate.

With an amalgamation, the predecessor corporations do not have to file T4 returns for the period leading up to the amalgamation. The successor corporation files the T4 returns for the entire year.

All Employers that request approval for amalgamation of the corporations involved are to send their request in writing, including a copy of the Certificate of Amalgamation or similar document, to the addresses listed below:

Prince Edward Island tax centre	Sudbury tax centre
275 Pope Road	Post Office Box 20000,
Summerside PE C1N 6A2	Station A
	Sudbury ON P3A 5C1

Filing information returns

You have to file a T4 or T4A information return, as applicable, and give information slips to your employees each year, on or before the **last day of February of the following calendar year that the information return applies to**. If the last day of February is a Saturday or a Sunday, your information return is due the **next business day**.

For information on how to report the employees’ income and deductions on the appropriate slips and summary, go

to canada.ca/t4-information-employers, or go to canada.ca/t4a-information-payers and select T4A slip.

Penalties, interest, and other consequences

Failure to deduct

If you fail to deduct the required CPP contributions or EI premiums from the amounts you pay your employee, you are responsible for these amounts even if you cannot recover the amounts from the employee. We will assess you for both the employer’s share and the employee’s share of any contributions and premiums owing. We will also assess a penalty and interest as described below. For more information, see “Recovering CPP contributions” on page 19 and “Recovering EI premiums” on page 24.

If you failed to deduct the required amount of income tax from the amounts you pay your employee, you may be assessed a penalty as described below. As soon as you realize you did not deduct the proper amount of income tax, you should let your employee know. Your employee can either pay the amount when they file their income tax and benefit return or they can ask you to deduct more income tax at source. For more information, see “Request for more tax deductions from employment income” on page 28.

Penalty for failure to deduct

We can assess a penalty of **10%** of the amount of CPP, EI, and income tax you did not deduct.

If you are assessed this penalty more than once in a calendar year, we **will** apply a **20%** penalty to the second or later failures if they were made knowingly or under circumstances of gross negligence.

Failure to remit amounts deducted

When you deduct CPP contributions, EI premiums or income tax from the amounts you pay to your employee or other individual, you have to remit them to the Receiver General for Canada as discussed in Chapter 8. Also, you have to include your share of CPP contributions and EI premiums when you remit.

We will assess you for both the employer’s share and the employee’s share of any CPP contributions and EI premiums that you deducted but did not remit. We will also assess a penalty and interest as described below.

Penalty for failure to remit and remitting late

We can assess a penalty when either of the following applies:

- you deduct the amounts, but do not send them to us
- you deduct the amounts, but send them to us late

Payments made on the due date but not at a financial institution can be charged a penalty of **3%** of the amount due. For more information, see “Threshold 2” on page 50.

When the due date falls on a Saturday, a Sunday, or a public holiday recognized by the Canada Revenue Agency,

we consider your payment to be on time if we receive it on the next business day.

The penalties are as follows:

- 3% if the amount is one to three days late
- 5% if it is four or five days late
- 7% if it is six or seven days late
- 10% if it is more than seven days late, or if no amount is remitted

Generally, we only apply this penalty to the part of the amount you failed to remit that is more than \$500. However, we will apply the penalty to the total amount if the failure was made knowingly or under circumstances of gross negligence.

In addition, if you are assessed this penalty more than once in a calendar year, we will assess a 20% penalty on the second or later failures if they were made knowingly or under circumstances of gross negligence.

Note

We will charge you a fee for any payment that your financial institution refuses to process. If your payment is late, we can also charge you a penalty and interest on any amount you owe.

Interest

If you do not pay an amount that is due, the CRA may apply interest from the day your payment was due. The CRA sets the interest rate every three months, based on prescribed interest rates. Interest is compounded daily. The CRA also applies interest to unpaid penalties. For the prescribed interest rates, go to canada.ca/taxes-interest-rates.

For due dates, see pages 3 and 48.

Summary convictions

If you do not comply with the deducting, remitting, and reporting requirements, you may be prosecuted. You could be fined from \$1,000 to \$25,000, or you could be fined and imprisoned for a term of up to 12 months.

Director's liability

If a corporation (including for-profit or non-profit) does not deduct, remit, or pay amounts held in trust for the Receiver General (CPP, EI, and income tax), the directors of the corporation at the time of the failure are jointly and severally, or solidarily, liable along with the corporation, to pay the amount due. This amount includes penalties and interest.

However, if the directors take action to ensure the corporation makes the necessary deductions or remittances, we will not hold the directors personally responsible. For more information, see Information Circular IC89-2, *Directors' Liability*.

Cancel or waive penalties and interest

The CRA administers legislation, commonly called "taxpayer relief provisions," that gives the CRA discretion

to cancel or waive penalties and interest when taxpayers cannot meet their tax obligations due to circumstances beyond their control.

The CRA's discretion is limited to any period that ends within 10 calendar years before the year the request is made.

Penalties

The CRA will consider your request only if it relates to a tax year or fiscal period ending in any of the 10 calendar years before the year you make your request. For example, your request made in 2025 must relate to a penalty for a tax year or fiscal period ending in 2015 or later.

Interest on a balance owing

The CRA will consider only the amounts that accrued during the 10 calendar years before the year you make your request. For example, your request made in 2025 must relate to interest that accrued in 2015 or later.

Taxpayer relief requests can be made online using the CRA's My Account, My Business Account, or Represent a Client digital services.

You can also fill out Form RC4288, *Request for Taxpayer Relief – Cancel or Waive Penalties and Interest*, and send it:

- online using My Account, My Business Account, or Represent a Client
- by mail or courier to the designated office, as shown on the last page of the form, based on your place of residence

For information about submitting documents online, go to canada.ca/cra-submit-documents-online.

For more information about cancelling or waiving penalties and interest, go to canada.ca/penalty-interest-relief.

How to appeal a payroll assessment or a CPP/EI ruling

If you receive a payroll assessment because your payment was not applied to your account correctly, before you file an appeal, we recommend that you call Business Enquiries go to canada.ca/cra-contact or write to your National Verification and Collection Centre (NVCC) to discuss it. Many disputes are resolved this way and can save you the time and trouble of appealing.

If you do not agree with a payroll assessment for CPP contributions, EI premiums, or income tax, or you have received a CPP/EI ruling letter and you disagree with the decision, you have 90 days after the date of the notice of assessment or notification of the ruling to appeal.

To appeal a **CPP/EI ruling decision** or **payroll deductions assessment**, you can choose one of the following:

- Access My Business Account at canada.ca/cra-sign-in-services, if you are a business owner, and select "Register a formal dispute (Appeal)" for your payroll program account
- Access Represent a Client at canada.ca/cra-sign-in-services. If you represent a business, select "Register a

formal dispute (Appeal)” for a payroll program account. If you represent an individual, select “Register my formal dispute,” and then select “CPP/EI ruling” in the subject area

- Access My Account at canada.ca/cra-sign-in-services, if you are an individual, select “Register my formal dispute,” and select “CPP/EI ruling” in the subject area
- Use Form T400A, *Objection – Income Tax Act* (income tax only)
- Use Form CPT100, *Appeal of a Ruling Under the Canada Pension Plan and/or Employment Insurance Act*, to appeal a CPP/EI ruling
- Use Form CPT101, *Appeal of an Assessment Under the Canada Pension Plan and/or Employment Insurance Act*, to appeal a payroll deductions assessment
- Write to the chief of appeals at:

CPP/EI Appeals Division
Canada Revenue Agency
451 Talbot Street
London ON N6A 5E5

Explain why you do not agree with the ruling or payroll deductions assessment and provide all relevant facts. Include a copy of the CPP/EI ruling letter or payroll notice of assessment.

For more information on how to appeal a payroll deductions assessment of income tax, see Publication P148, *Resolving Your Dispute: Objection and Appeal Rights Under the Income Tax Act*.

For more information on how to appeal a CPP/EI ruling decision or a payroll deductions assessment of CPP or EI, see Guide P133, *Your Appeal Rights – Canada Pension Plan and Employment Insurance Coverage*.

Chapter 2 – Canada Pension Plan contributions

For Canada Pension Plan (CPP), contributions are not calculated from the first dollar of pensionable earnings. Instead, they are calculated using the amount of pensionable earnings minus an exempt amount that is based on the period of employment.

The CPP has progressively been enhanced since 2019. For more information, go to canada.ca/en/services/benefits/publicpensions/cpp/cpp-enhancement.

Impact of contribution errors

If used improperly, some payroll software programs, in-house payroll programs, and bookkeeping methods can calculate unwarranted or incorrect refunds of CPP contributions for both employees and employers. The improper calculations treat all employment as if it were full-year employment, which incorrectly reduces both the employee’s and employer’s contributions.

For example, when a part-year employee does not qualify for the full annual exemption, a program may indicate that the employer should report a CPP over deduction in

box 22, “Income tax deducted,” of the T4 slip. This may result in an unwarranted refund of tax to the employee when the employee files their income tax and benefit return.

When employees receive refunds for CPP over deductions, their pensionable service is adversely affected. This could affect their CPP income when they retire. In addition, employers who report such over deductions receive a credit they are not entitled to because the employee worked for them for less than 12 months.

When to deduct CPP contributions

You have to deduct CPP contributions from an employee’s pensionable earnings if that employee meets **all** of the following conditions:

- The employee is in pensionable employment during the year
- The employee is **not** considered to be disabled under the CPP or the Quebec Pension Plan (QPP)
- The employee is 18 to 69 years old even if the employee is receiving a CPP or QPP retirement pension. Exception: do not deduct CPP if the employee is at least 65 years of age, but under 70, and gives you Form CPT30, *Election to Stop Contributing to the Canada Pension Plan or Revocation of a Prior Election*, with parts A, B, and C completed

Notes

For more information, see “Starting and stopping CPP deductions” on page 16.

For more information about pensionable earnings, go to canada.ca/cpp-ei-explained and select “Pensionable and insurable earnings.”

Employment in Quebec

Quebec employers deduct the Quebec Pension Plan (QPP) contributions instead of CPP contributions.

Note

As a result of Quebec Pension Plan (QPP) enhancements the QPP contribution rates for employers and employees is 6.40% starting on January 1, 2023. For information about QPP enhancement go to rrq.gouv.qc.ca/en/programmes/regime_rentes/Pages/bonification-du-rrq.aspx.

The contribution rates for QPP are higher than those for CPP. Although the year’s maximum pensionable earnings (\$71,300 for 2025) and annual basic exemption (\$3,500) for both plans are the same, an employee paying into the QPP will pay contributions at a higher rate (6.40% for 2025) compared to the rate for an employee who pays into the CPP (5.95% for 2025).

For more information on deducting and remitting the QPP, see Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*, which you can get from Revenu Québec at revenuquebec.ca/en.

You may have a place of business in Quebec and in another province or territory. If you transfer an employee from Quebec to another part of Canada before the end of the year, you must use a formula to reconcile the amounts

contributed to the CPP and the QPP to make sure that enough contributions to the CPP are withheld and future benefits are not affected.

For more information on the new formula, see Guide T4127, *Payroll Deductions Formulas*.

If you transfer an employee from Quebec to another province or territory, you can take into account the QPP contributions you deducted from that employee throughout the year when calculating the maximum CPP contributions to deduct. In addition to deducting CPP/QPP contributions and EI/QPIP premiums you will also have to prepare **two** T4 slips. It is important that you calculate and report the proper deductions and insurable/pensionable earnings on both T4 slips. For more information, go to canada.ca/t4-information-employers, or Guide RL-1.G-V, *Guide to Filing the RL-1 Slip: Employment and Other Income*.

Amounts and benefits from which you have to deduct CPP contributions

You generally deduct CPP contributions from the following amounts and benefits:

- Salary, wages, bonuses, commissions, or other remuneration (including payroll advances or earnings advances), and wages in lieu of termination notice
- Cash and non-cash taxable benefits and allowances, except certain housing and utility benefits paid to the clergy. The personal use of an employer's automobile and employer-provided parking are examples of taxable benefits. For more information, go to canada.ca/taxable-benefit
- Honorariums from employment or office, a share of profit that an employer paid, incentive payments, director's fees, management fees, fees paid to board, or committee members, and executor's, liquidator's, or administrator's fees earned to administer an estate (as long as the executor, liquidator, or administrator **does not act in this capacity** in the regular course of business). For more information on whether employment of an individual who is in tenure of office is pensionable, go to canada.ca/cpp-ei-explained and select "Tenure of office"
- Certain tips and gratuities employees receive for their services. For more information on when you have to deduct CPP contributions on tips and gratuities, go to canada.ca/cpp-ei-explained and select "Tips and gratuities"
- Payments received from a supplementary unemployment benefit plan (SUBP) that **does not** qualify as a SUBP under the *Income Tax Act*, even if the plan is registered with Service Canada
- Benefits received from certain wage-loss replacement plans; for more information, see page 40
- Benefits derived from security option plans
- The salary you continue to pay to an employee before or after a workers' compensation board claim is decided, as well as any of the following:

- any advance or loan you make that is more than the amount awarded under the claim
- any advance or loan not repaid to you
- a top-up amount you pay your employee, **after** a claim is decided, that is in addition to the benefits paid by a workers' compensation board

Employment, benefits, and payments from which you do not deduct CPP contributions

Note

Enter an "X" or a check mark in the "CPP" box (box 28 on the T4) only if you did not have to withhold CPP contributions from the earnings for the entire reporting period.

Employment

Do **not** deduct CPP contributions from payments for the following types of employment:

- Employment in agriculture, or an agricultural enterprise, horticulture, fishing, hunting, trapping, forestry, logging, or lumbering, when you meet **one** of the following conditions:
 - pay your employee less than \$250 in cash remuneration in a calendar year
 - employ your employee for a period of less than 25 working days in the same year on terms providing for cash remuneration – the working days do not have to be consecutive

Notes

In a calendar year, if your employee reaches both minimums of \$250 or more in cash remuneration and works 25 days or more, the employment is pensionable starting from the first day of work. Deduct CPP contributions if your employee's pensionable earnings are more than the CPP basic exemption for the same period.

For more information on when these types of employment are pensionable, go to canada.ca/cpp-ei-explained and select "Agriculture and horticulture."

- Casual employment if it is for a purpose other than your usual trade or business
- Employment as a teacher on exchange from a foreign country
- Employment of a spouse or common-law partner if you cannot deduct the remuneration paid as an expense under the *Income Tax Act*
- Employment of your child or a person whom you maintain if no cash remuneration is paid
- Employment of a person in a rescue or disaster operation, as long as you do not regularly employ that person for that purpose. For more information, see "Emergency services volunteers" on page 44
- Employment of a person at a circus, fair, parade, carnival, exposition, exhibition, or other similar activity,

except for entertainers, if that person meets **both** of the following conditions:

- is not your regular employee
- works for less than seven days in the year

Notes

If your employee works seven days or more, the employment is pensionable from the first day of work. Deduct CPP contributions if your employee's pensionable earnings are more than the CPP basic exemption for the same period.

For more information on when these types of employment are pensionable, go to canada.ca/cpp-ei-explained and select "Circus and fair."

- Employment by a government body as an election worker if the worker meets **both** of the following conditions:
 - is not a regular employee of the government body
 - works for less than 35 hours in a calendar year

Note

If your employee works 35 hours or more, the employment is pensionable from the first hour of work. Deduct CPP contributions if your employee's pensionable earnings are more than the CPP basic exemption for the same period.

- Employment of a member of a religious order who has taken a vow of perpetual poverty. This applies whether the remuneration is paid directly to the order, or the member pays it to the order
- Employment in Canada by a foreign government or an international organization, except when the foreign government or international organization enters into an agreement with the government of Canada

Benefits and payments

Do **not** deduct CPP contributions from **any** of the following:

- Pension payments, lump-sum payments from a pension plan, death benefits, amounts that a trustee allocated under a profit sharing plan or that a trustee paid under a deferred profit sharing plan, and benefits received under a registered supplementary unemployment benefit plan (SUBP) that qualifies as a SUBP under the *Income Tax Act*
- Payments you make after an employee dies, except for amounts the employee earned and was owed before the date of death
- An advance or loan you pay to an employee, before or after a workers' compensation board claim is decided that is **equal** to the benefits awarded under the claim. For information on situations when CPP contributions are required, see "Amounts and benefits from which you have to deduct CPP contributions" on page 14; for information on workers' compensation claims, see page 41
- Benefits received from certain wage-loss replacement plans; for more information, see page 40

- Amounts for the residence of a clergy member if they receive a tax deduction for the residence. For more information, go to canada.ca/taxable-benefit and select, "Housing or utilities"
- Amounts received on account of an earnings loss benefit, supplementary retirement benefit or permanent impairment allowance payable to the taxpayer under Part 2 of the *Veterans' Well-being Act*

CPP contribution rate and maximum

Note

As a result of Canada Pension Plan (CPP) enhancements the CPP contribution rates for employers and employees is 5.95% starting on January 1, 2023. For more information about the Canada Pension Plan enhancement go to canada.ca/en/services/benefits/publicpensions/cpp/cpp-enhancement.

You have to deduct CPP contributions from your employees' pensionable earnings. As an employer, you must contribute an **amount equal** to the CPP contributions that you deduct from your employees' remuneration.

Each year, we determine **all** of the following:

- the **maximum pensionable earnings** from which you deduct CPP (\$71,300 for 2025)
- the **year's basic exemption**, which is a base amount from which you do not deduct CPP contributions (\$3,500 for 2025)
- the **rate** you use to calculate the amount of CPP contributions to deduct from your employees' remuneration (5.95% for 2025)

Note

Different rates apply for employees working in Quebec. See "Employment in Quebec" on page 13.

Example

CPP contributions you deducted from your employee's salary in the month	\$240.40
Your share of CPP contributions.....	<u>\$240.40</u>
Total amount you remit for CPP contributions.....	<u>\$480.80</u>

You stop deducting CPP contributions when the employee's annual earnings reach the maximum pensionable earnings or the maximum employee contribution for the year (\$4,034.10 for 2025).

The annual maximum pensionable earning (\$71,300 for 2025) applies to **each job** the employee holds with **different employers** (different business numbers). If an employee leaves one employer during the year to start work with another employer, the new employer also has to deduct CPP contributions without taking into account what the previous employer paid. This is the case even if the employee has contributed the maximum amount during the previous employment. If your business went through a restructure or reorganization, see page 10.

The employee's contribution rate for the next year can be found in the Payroll Deductions Tables, which are usually

available in mid-December or at canada.ca/payroll-calculate-deductions.

Notes

If you pay an amount to a former employee and you have to deduct CPP contributions, use the current rate in effect when you make the payment.

Any overpayments will be refunded to employees when they file their income tax and benefit returns. However, there is no provision in the Canada Pension Plan that would allow us to refund or credit the employer for their contributions in those circumstances.

Employee's basic CPP exemption for various 2025 pay periods

Pay period	Basic exemption
Annually (1)	\$3,500.00
Semi-annually (2)	\$1,750.00
Quarterly (4)	\$875.00
Monthly (12)	\$291.66
Semi-monthly (24)	\$145.83
Bi-weekly (26)	\$134.61
Bi-weekly (27)	\$129.62
Weekly (52)	\$67.30
Weekly (53)	\$66.03
22 pay periods	\$159.09
13 pay periods	\$269.23
10 pay periods	\$350.00
Daily (240)	\$14.58
Hourly (2,000)	\$1.75

Calculating CPP deductions

To determine the amount of CPP contributions to deduct, use one of the following tools:

- the Payroll Deductions Online Calculator (PDOC)
- the *Payroll Deductions Tables* (T4032)
- the *Payroll Deductions Supplementary Tables* (T4008)
- the *Payroll Deductions Formulas* (T4127)

Note

The Payroll Deduction Tables break the CPP basic yearly exemption down by pay periods.

To find out which method is best for you, see "Payroll Deductions Tables" on page 9.

You can also use a manual method to calculate your employee's CPP deductions. For more information, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/canada-pension-plan-cpp/cpp-contribution-rates-maximums.html.

Notes

A pay period means the period for which you pay earnings or other remuneration to an employee.

Once you have established your type of pay period, the pay-period exemption must remain the same, even when an unpaid leave of absence occurs, or when earnings are paid for part of a pay period.

Calculate second additional CPP contributions (CPP2) deductions

As of **January 1, 2024**, you are required to calculate the second additional CPP contribution (CPP2) on earnings above the annual maximum pensionable earnings (\$71,300 for 2025) up to a second additional maximum pensionable earnings (\$81,200 for 2025), at a rate of 4%, without considering the annual exemption of \$3,500.

If the employee's province of employment is Quebec, you are required to deduct the second Quebec Pension Plan (QPP) contributions and not the CPP2 contribution.

For more information on how to calculate the CPP2, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/calculating-deductions/how-to-calculate-calculate-second-cpp.html.

Starting and stopping CPP deductions

There might be special situations where you may have to start or stop deducting CPP in the year for a particular employee. In these situations, you also have to prorate the maximum CPP contribution for the year to make sure you have deducted the correct amount.

Note

In some cases, the requirements are different for the Quebec Pension Plan. For information, see Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*, which you can get from Revenu Québec (see page 6).

Special situations

Your employee turns 18 in the year

Start deducting CPP contributions in the first pay dated in the month after the employee turns 18. When you prorate, use the number of months after the month the employee turns 18 (see example 1 on page 18).

Your employee turns 70 in the year

Deduct CPP contributions up to and including the last pay dated in the month in which the employee turns 70. When you prorate, use the number of months up to and including the month the employee turns 70 (see example 2 on page 18).

Your employee gives you a completed Form CPT30

By filling out Form CPT30, *Election to Stop Contributing to the Canada Pension Plan or Revocation of a Prior Election*, and giving it to an employer, the employee can either stop or restart their CPP contributions. The employee is responsible for sending an original completed copy of Form CPT30 to the CRA. So an employer will only receive a copy. If an

employee agrees to have an employer send the original to the CRA, the CRA will accept it.

Stopping CPP contributions

In certain situations, an employee can elect to stop contributing to the CPP. In order to be eligible for this election, the employee must meet **all** the following conditions:

- the employee is at least 65 years of age, but under 70
- the employee receives a CPP or QPP retirement pension
- the employee is receiving, or will receive, pensionable employment earnings that require CPP contributions

If the conditions are met, the employee can give you a copy of Form CPT30 with parts A, B, and C completed. By filling out the form in this way, the employee is making an “election.”

This “election” is effective the first day of the month following when you receive the completed form. You will deduct CPP contributions, up to and including the last pay dated in the month the employee gives you the form. When you prorate, use the number of months up to and including the month before the election becomes effective (see example 3 on page 18).

Note

The election to stop contributing to the CPP does not affect the salary or wages of an employee working in Quebec or an employee who is considered to be disabled under the CPP or QPP, nor do they affect the salary and wages of a person who has reached 70 years of age. Do not deduct CPP contributions from the salary and wages that you pay these employees.

Restarting CPP contributions

An employee can choose to restart contributing to CPP if **all** of the following conditions are met:

- the employee filed a Form CPT30 “election” with an employer in a prior year
- the employee is receiving, or will receive pensionable employment earnings that require CPP contributions

If the conditions are met, the employee can give you a copy of Form CPT30 with parts A, B, and D completed. By filling out the form in this manner, the employee is “revoking their election.”

This “revocation” is effective the first day of the month following when you receive the completed form. You will restart CPP contributions in the first pay dated in the month after the employee gives you the form. When you prorate, use the number of months that includes the month the revocation becomes effective.

Go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/canada-pension-plan-cpp, to find detailed information such as:

- what to do if you receive a form that is dated in the past or is post-dated
- what to do if you have deducted CPP contributions after the “election” became effective

- what to do when filling in boxes 16 and 26 of the employee’s T4 slip

Note

For more information on benefit entitlement, contact Service Canada or go to canada.ca/Canada-pension-plan.

Your employee is considered to be disabled under the CPP

An employee who is considered to be disabled under the CPP does not have to contribute to the CPP. Deduct CPP contributions up to and including the last pay dated in the month in which the employee becomes or is considered to be disabled according to the letter that Service Canada sent to the employee. When prorating, use the number of months up to and including the month the employee was considered to be disabled.

Note

If the employee is no longer considered disabled under the CPP, start deducting CPP contributions on the first pay dated in the month after the employee is no longer considered disabled. When prorating, use the number of months after the month the employee ceased to be disabled.

Your employee dies in the year

Deduct CPP contributions up to and including the last pay dated in the month in which the employee dies. Also deduct CPP contributions from any amounts and benefits that are earned or owed to the employee on the date of death. When prorating, use the number of months up to and including the month of death.

Checking the amount of CPP you deducted

- 1) Prorate the maximum CPP contribution for the year by following these steps:

Step 1: Deduct the year’s basic exemption (\$3,500 for 2025) from the year’s maximum pensionable earnings (\$71,300 for 2025).

Step 2: Multiply the result of Step 1 by the number of pensionable months.

Step 3: Divide the result of Step 2 by 12 (months).

Step 4: Multiply the result of Step 3 by the CPP rate that applies for the year (5.95% for 2025).

To find out about the previous and current exemptions, maximums, and rates, go to canada.ca/taxes-payroll-cpp-maximum.

- 2) Calculate the CPP contribution per pay period and withhold the amount calculated until one of the following happens:

- the maximum prorated contribution for the year is reached
 - the last pay period for which deductions are required is completed
- 3) The correct amount of CPP contributions will be 1) or 2), whichever is the lowest.

If the employee's pensionable earnings are greater than their maximum pensionable earnings, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/calculating-deductions/how-to-calculate/calculate-second-cpp to determine if you need to calculate CPP2 contributions.

Example 1

Brent turned 18 on June 15, 2025. He receives \$1,000 every two weeks (\$26,000 a year). This amount is less than the maximum pensionable earnings (\$71,300 for 2025) that requires CPP contributions.

Prorated maximum contribution for 2025:

$(\$71,300 - 3,500) \times 6/12 \times 5.95\% = \$2,017.05$ (6/12 represents the number of pensionable months divided by 12).

Brent's maximum CPP contribution for 2025 is \$2,017.05.

Pay period calculation:

January to June 2025

No CPP contributions

July to December 2025

■ Pay period: biweekly

■ Earnings: \$1,000

■ Brent's first pay in July is July 3, for the period June 20 to July 3.

Brent's CPP contributions for each pay are calculated as follows:

Step 1: Brent's pensionable earnings	=	\$1,000.00
Step 2: Basic exemption for the period	=	\$134.61
Step 3: Pensionable earnings minus basic exemption	=	\$865.39
Step 4: CPP contribution rate for 2025	=	5.95%
Step 5: CPP contribution per pay period	=	\$51.49

You will have to start deducting \$51.49 from each of Brent's pays, beginning with the one dated July 3 (the month **after** Brent turns 18). His actual contributions for the year will be $\$51.49 \times 13$ (biweekly pay periods) = \$669.37.

This does not exceed the prorated maximum contribution of \$2,017.05; therefore, the correct amount of CPP has been deducted.

When you fill out Brent's T4 slip at the end of the year, report \$26,000 in box 14, \$669.37 in box 16, and \$13,000 in box 26. Fill in the rest of his T4 slip in the usual way.

Example 2

Maria turned 70 on February 15, 2025. She receives \$1,403.85 per week (\$73,000 per year). This amount is more than the maximum pensionable earnings (\$71,300 for 2025) that requires CPP contributions.

Prorated maximum contribution for 2025:

$(\$71,300 - 3,500) \times 2/12 \times 5.95\% = \672.35 (2/12 represents the number of pensionable months divided by 12).

Maria's CPP contributions for 2025 should not be more than \$672.35.

Pay period calculation:

January to February 2025

■ Pay period: weekly

■ Earnings: \$1,403.85

■ Maria's last pay in February is February 26, covering the period February 20 to February 26

March to December 2025

No CPP contributions

Maria's CPP contributions for each pay are calculated as follows:

Step 1: Maria's pensionable earnings	=	\$1,403.85
Step 2: Basic exemption for the period	=	\$67.30
Step 3: Pensionable earnings minus basic exemption	=	\$1,336.55
Step 4: CPP contribution rate for 2025	=	5.95%
Step 5: CPP contribution per pay period	=	\$79.52

Maria's CPP contributions will be \$79.52 each pay, up to and including her pay dated February 26 (the month in which she turns 70). If you fail to take her prorated maximum contribution into consideration, her actual contributions for the year will be $\$79.52 \times 9$ (weekly pay periods) = \$715.68.

Since the amount of \$715.68 is more than the prorated maximum CPP contribution of \$672.35, you should stop deducting when the maximum contribution is reached. If you deducted \$715.68, you will have to reimburse your employee for the difference. For more information, see "CPP overpayment" on page 19.

As Maria's pensionable earnings for the two months (\$12,634.65) are greater than the prorated maximum pensionable earnings (\$11,883.33), CPP2 must be calculated on her additional pensionable earnings (\$751.32) by multiplying them by the contribution rate of 4% (\$30.05).

When you fill out Maria's T4 slip at the end of the year, report \$73,000 in box 14, \$672.35 in box 16, \$30.05 in box 16A and \$12,634.65 (\$11,883.33 + \$751.32) in box 26. Fill in the rest of her T4 slip in the usual way.

Example 3

Catherine is 64 years old and receives a CPP retirement pension. On July 23, 2025, she turned 65 and elected to stop paying CPP contributions. She gave you a signed and completed Form CPT30, *Election to Stop Contributing to the Canada Pension Plan or Revocation of a Prior Election*, that same day.

Catherine receives \$1,000 every two weeks (\$26,000 a year). This amount is less than the maximum pensionable earnings (\$71,300 for 2025) that requires CPP contributions.

Prorated maximum contribution for 2025:

$(\$71,300 - 3,500) \times 7/12 \times 5.95\% = \$2,353.22$.

(7/12 represents the number of pensionable months divided by 12).

Catherine's maximum CPP contribution for 2025 is \$2,353.22.

Pay period calculation:

January to July 2025

- Pay period: biweekly

- Earnings: \$1,000

- Catherine's last pay in July has a pay date of July 29, covering the period July 4 to July 17.

August to December 2025

No CPP contributions

Catherine's CPP contributions for each pay are calculated as follows:

Step 1: Catherine's pensionable earnings..... = \$1,000.00

Step 2: Basic exemption for the period = \$134.61

Step 3: Pensionable earnings minus basic exemption = \$865.39

Step 4: CPP contribution rate..... = 5.95%

Step 5: CPP contribution per pay period = \$51.49

You have to deduct CPP contributions from each of Catherine's pays, up to and including the last pay dated in the month she gives the election to you. Her actual contributions for the year will be $\$51.49 \times 15$ (biweekly pay periods) = \$772.35.

This does not exceed the prorated maximum contribution of \$2,353.22; therefore, the correct amount of CPP has been deducted.

When you fill out Catherine's T4 slip at the end of the year, report \$26,000 in box 14, \$772.35 in box 16, and \$15,000 in box 26. Fill in the rest of her T4 slip in the usual way.

For more information about these CPP rules, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/canada-pension-plan-cpp.

Commissions paid at irregular intervals

If an employee always gets paid on commission and is paid only after selling something (which does not occur regularly), you have to prorate the annual basic exemption amount for the number of days in the year between the commission payments to determine the maximum contribution amount.

Example

Sylvie, your employee, works on commission. You pay her only when she sells something. On June 1, 2025, you paid her a \$1,800 commission. The last time you paid her a commission was March 16, 2025. There are 76 days between these two payments.

Calculate the required contribution for 2025 as follows:

- Prorate the basic yearly exemption:

$$76 \div 365 \text{ (days)} \times \$3,500 = \$728.77$$

- You have to deduct CPP contributions of:

$$\$1,800 - \$728.77 = \$1,071.23$$

$$\$1,071.23 \times 5.95\% = \$63.74$$

CPP contributions on multiple payments are only withheld until the maximum pensionable earnings of \$71,300 are reached. If they receive further commissions which increase their pensionable earnings above \$71,300, you will need to calculate CPP2 contributions until their pensionable earnings reach the maximum of \$81,200. The yearly exemption is not applied to CPP2 contributions. They are calculated by multiplying the amount of the commission payment(s) by the contribution rate of 4%.

CPP overpayment

If, during a year, you have over deducted CPP contributions from your employee's remuneration (for example, the maximum amount of pensionable earnings was reached, or the employee was not employed in pensionable employment), you should reimburse the employee the amount deducted in error and adjust your payroll records to reflect the reduced deduction. This will result in a credit on your CRA payroll program account equal to the employee and employer part of the over deduction. You may then reduce a future remittance in the same calendar year.

Do not include the reimbursed amount on the T4 slip. If you cannot reimburse the overpayment, show the total CPP contributions deducted and the correct pensionable earnings on the employee's T4 slip. If you reported the employee's overpayment on the T4 slip, you can ask for a refund by filling out Form PD24, *Application for a Refund of Over deducted CPP Contributions or EI Premiums*. Make your request no later than four years from the end of the year in which the overpayment occurred.

Recovering CPP contributions

If you receive a notice of assessment or if you discover that you have under deducted CPP contributions, you are responsible for remitting the balance due (both the employer's and employee's shares).

You can recover the employee's contributions from later payments to the employee. The recovered contribution can be equal to, but not more than, the amount you should have deducted from each payment. However, you **cannot** recover a contribution amount that has been outstanding for more than 12 months. As well, you cannot adjust the employee's income tax deduction to cover the CPP shortfall.

If you should have made a deduction in a previous year and you recover it through an additional deduction in the current year, do **not** report the recovered contributions on the current year's T4 slip. You may have to amend your employee's T4 slip. For more information on how to amend a T4 slip, go to canada.ca/en/revenue-agency/services

[/tax/businesses/topics/payroll/file-information-returns-slip-summaries/make-corrections-after-filing/amend.](#)

The recovered amount does not affect the current year-to-date CPP contributions.

Example

- a) You did not deduct or remit CPP contributions that should have been deducted as follows:

Month	CPP
September	\$23.40
October	\$23.40
November	\$24.10
December	<u>\$24.70</u>
Total	\$95.60

- b) After auditing the records, we send you a notice of assessment as follows:

	Employee	Employer	Total
CPP contributions	\$95.60	\$95.60	\$191.20

Penalties and interest are added to the total.

- c) The following year, you can recover the employee's contribution of \$95.60 as follows:

Current contribution	Recovered contribution	Employee's deduction
April \$24.70 +	\$23.40 (for September)	= \$48.10
May \$24.70 +	\$23.40 (for October)	= \$48.10
June \$25.10 +	\$24.10 (for November)	= \$49.20
July \$25.10 +	<u>\$24.70</u> (for December)	= \$49.80
Total	\$95.60	

For more information on the Pensionable and Insurable Earnings Review (PIER), see Chapter 4.

CPP coverage by an employer resident outside Canada

If you are an employer who does not have a place of business in Canada, you can apply to have employment that you provide in Canada (for resident or non-resident employees) covered under the CPP. This coverage is optional. Even if your country does not have a social security agreement with Canada, you can apply for coverage by filling out Form CPT13, *Application for an Employer Resident Outside Canada to Cover Employment in Canada Under the Canada Pension Plan*.

Canada's social security agreements with other countries

Canada has reciprocal social security agreements with other countries. These agreements ensure that only one plan covers an employee – the CPP or a foreign social security plan.

To find out which country has CPP coverage provisions with Canada and to get the specific CPT application form number, see Appendix 2 on page 56.

You can get an application form for coverage or for extending coverage under the CPP by going to [canada.ca/cra-forms](#).

For additional information, go to [canada.ca/cpp-ei-explained](#) and select "Canada's international social security agreements."

Note

If you have questions about coverage under the QPP in other countries, send them to the following address:

Bureau des ententes de sécurité sociale
Régie des rentes du Québec
1055 René-Lévesque Blvd. East, 13th Floor
Montréal QC H2L 4S5

Chapter 3 – Employment insurance premiums

You have to deduct employment insurance (EI) premiums from each dollar of insurable earnings up to the yearly maximum. After you have deducted the maximum for the year, do not deduct any more premiums, even though the excess remuneration is still considered insurable. For 2025, the maximum annual insurable earnings are \$65,700.

When to deduct EI premiums

You have to deduct EI premiums from an employee's insurable earnings if that employee is in insurable employment during the year.

Insurable employment includes most employment in Canada under a contract of service (see "Are you an employer" on page 6). There is **no age limit** for deducting EI premiums. Some employments outside Canada are also insurable, see page 45.

Notes

If the employee is a student, you will have to deduct EI premiums for each type of remuneration that is insurable, as you would for any other employee.

Certain workers who are not employees might be considered to be in insurable employment. Examples are taxi drivers and drivers of other passenger-carrying vehicles, barbers and hairdressers, and fishers (see Chapter 7 for those special situations).

For more information about insurable earnings, go to [canada.ca/cpp-ei-explained](#) and select "Pensionable and insurable earnings."

Amounts and benefits from which you have to deduct EI premiums

You generally deduct EI premiums from the following amounts and benefits:

- Salary, wages, bonuses, commissions, or other remuneration (including payroll advances or earnings advances), and wages in lieu of termination notice
- Most cash taxable benefits and allowances, including certain rent-free and low-rent housing if paid as cash or a subsidy, the value of board and lodging if cash earnings are also paid in the pay period (other than an exempt allowance paid to an employee at a special work site or remote work location)

- Employer contributions to an employee's registered retirement savings plan (RRSP) except where employees cannot withdraw amounts from a group RRSP until they retire or cease to be employed, or if the RRSP agreement allows the employee to withdraw an amount from the RRSP under the Home Buyers' Plan (HBP) or the Lifelong Learning Plan (LLP)

- Gifts, prizes, and awards paid in cash

For more information go to, canada.ca/taxable-benefit and select "Gifts, awards, and long-service awards."

- Honorariums, a share of profit that an employer paid, incentive payments, management fees, and other fees if paid in the course of insurable employment

- Stipends, fees or remuneration paid to elected or appointed officials who hold an office in a union or an association of unions or who hold a position within a federal, provincial, or territorial government or agency. For more information on whether employment of an individual who is in tenure of office is insurable, go to canada.ca/cpp-ei-explained and select "Tenure of office"

- Certain tips and gratuities employees receive for the services they carry out. For more information on when EI premiums have to be deducted on tips and gratuities, go to canada.ca/cpp-ei-explained and select "Tips and gratuities"

- Remuneration received while on vacation, furlough, sabbatical, sick leave, or for vacation pay

- Benefits received from certain wage-loss replacement plans; for more information, see page 40

- The salary you continue to pay to an employee before or after a workers' compensation board claim is decided, as well as both of the following:

- any advance or loan you make that is more than the amount awarded under the claim
- any advance or loan not repaid to you

Note

If you pay any of these amounts to a former employee and you have to deduct EI premiums, use the current rate in effect when you make the payment.

Employment, benefits, and payments from which you do not deduct EI premiums

Note

Enter an "X" or a check mark in the "EI" box (box 28 on the T4) only if you did not have to withhold EI premiums from the earnings for the entire reporting period.

Employment

Even if there is a contract of service, payments for the following types of employment are **not insurable** and EI premiums do not have to be deducted:

- Casual employment if it is for a purpose other than your usual trade or business. For more information about casual employment, go to canada.ca/cpp-ei-explained and select "Casual employment"

- Employment when you and your employee do **not** deal with each other at arm's length. There are two main categories of employees who could be affected:

- **Related persons** are not considered to deal with each other at arm's length. Related persons include certain individuals connected by blood relationship, marriage, common-law partnership, or adoption (legal or in fact). A corporation and another person or two corporations may also be related persons.

For more information, see Income Tax Folio S1-F5-C1, *Related Persons and Dealing at Arm's Length*.

- **Unrelated persons** may not be dealing with each other at arm's length at a particular time. Each case will depend upon its own facts. The following criteria will generally be used to determine if the parties to a transaction are not dealing at arm's length:

- whether there is a common mind that directs the bargaining for the parties to a transaction
- whether the parties to a transaction act in concert without separate interests; ("acting in concert" means, for example, that parties act with considerable interdependence on a transaction of common interest)
- whether there is "de facto control" of one party by the other because of, for example, advantage, authority, or influence

For more information, go to canada.ca/cpp-ei-explained and select "Not dealing at arm's length for purposes of the Employment Insurance Act (EIA)."

If you are not sure whether you should deduct EI premiums when employing related persons (family members) or non-related employees whose circumstances of employment are unusual, we suggest you do one of the following:

- Use our "Request a CPP/EI ruling" service through My Business Account or Represent a Client at canada.ca/cra-sign-in-services, to request a ruling
- Fill out Form CPT1, *Request for a CPP/EI Ruling – Employee or Self-Employed*, and mail it to the CPP/Rulings Division at the Tax Services Office in the province or territory of your residence or place of business. See the table found on Form CPT1 for the mailing addresses

Note

If you deducted EI premiums and don't think you should have, you can ask for a refund of the EI premiums. Normally we have to complete a ruling to confirm the employee's working relationship with you first.

- When a corporation employs a person who controls more than 40% of the corporation's voting shares. This includes employment of a person who entered into an agreement or registered with Service Canada to receive

employment insurance special benefits. Go to canada.ca/service-canada-home for more information about applying for these special benefits

- Employment of an individual holding an office in the private, municipal, or academic sectors. This includes mayors, municipal councillors, school commissioners, chiefs of Indian bands, band councillors, executors, liquidators, or administrators for settling estates, corporation directors, or any other position when a person is elected or appointed to that office. For more information about whether employment of an individual who is in tenure of office is insurable, go to canada.ca/cpp-ei-explained and select “Tenure of office”
- Employment that is an exchange of work or services
- Employment in agriculture, horticulture, or an agricultural enterprise **when one of the following applies:**
 - the person receives no cash remuneration
 - works less than seven days with the same employer during the year

Notes

If the employee works seven days or more, the employment is insurable from the first day of work.

For more information on when these types of employment are insurable, go to canada.ca/cpp-ei-explained and select “Agriculture and horticulture.”

- Employment of a person in connection with a circus, fair, parade, carnival, exposition, exhibition, or other similar activity, **except for entertainers**, if **both** of the following apply for that person:
 - is not your regular employee
 - works for less than seven days in the year

Notes

If the employee works seven days or more, the employment is insurable from the first day of work.

For more information on when these types of employment are insurable, go to canada.ca/cpp-ei-explained and select “Circus and fair.”

- Employment of a person in a rescue or disaster operation, as long as you do not regularly employ that person for that purpose. For more information, go to canada.ca/cpp-ei-explained and select “Rescue operations / Abating a disaster”
- Employment by a government body as an election worker if the worker:
 - is not a regular employee of the government body
 - works for less than 35 hours in that employment in a calendar year

Note

If the employee works 35 hours or more, the employment is insurable from the first hour of work.

- Employment in Canada under an exchange program if the employer paying the remuneration is not resident in Canada

- Employment of a member of a religious order who has taken a vow of poverty. This applies whether the remuneration is paid directly to the order, or the member pays it to the order
- Any employment when premiums have to be paid according to the unemployment insurance laws of any state of the United States, the District of Columbia, Puerto Rico, or the U.S. Virgin Islands, or according to the *Railroad Unemployment Insurance Act* of the United States
- Employment in Canada of a non-resident person if the unemployment insurance laws of any foreign country require premiums to be paid for that employment
- Employment in Canada by a foreign government or an international organization, **except** when the foreign government or international organization agrees to cover its Canadian employees under Canada’s EI legislation (in this case, the employment is insurable if Employment and Social Development Canada agrees)
- Employment under the “Self-employment assistance” or “Job creation partnerships” benefit program established under section 59 of the *Employment Insurance Act*, or under a similar benefit program that a provincial or territorial government or other organization provides and is part of an agreement under section 63 of the *Employment Insurance Act*

Benefits and payments

Do **not** deduct EI premiums from:

- a payment made under a registered supplementary unemployment benefit plan that qualifies as a SUBP under the *Income Tax Act* or is registered with Service Canada, and covering periods of unemployment resulting from a temporary stoppage of work, training, sickness, injury, or quarantine
- any non-cash benefit, except the value of board and lodging when cash remuneration is also paid in a pay period
- monies earned (such as salary, banked overtime, bonus, vacation) before the death of an employee and not yet paid at the time of death
- employer contributions to an employee’s group RRSP where access is restricted and does not permit employees to withdraw the amounts until they retire or cease to be employed or if the RRSP agreement allows the employee to withdraw an amount from the RRSP under the Home Buyers’ Plan (HBP) or the Lifelong Learning Plan (LLP)
- amounts received on account of an earnings loss benefit, supplementary retirement benefit, or permanent impairment allowance payable to the taxpayer under Part 2 of the *Veterans Well-being Act*
- any amount excluded as income under paragraph 6(1)(a) or 6(1)(b) or subsection 6(6) or (16) of the *Income Tax Act*
- a retiring allowance (for information on what a retiring allowance includes, see page 37)
- amounts you pay to an employee to cover the waiting period or to increase the maternity benefit, parental

benefit, compassionate care benefit, or family caregiver benefit for children or adults if the following two conditions are met:

- the total amount of your payment and the EI weekly benefit combined are not greater than the employee's normal weekly gross salary
 - your payment does not reduce any other accumulated employment benefits such as banked sick leave, vacation leave credits, or retiring allowance
- an advance or loan you pay to employees before or after a workers' compensation board claim is decided that is **equal** to the benefits awarded under the claim (see page 42)
 - a top-up amount you pay to your employee, **after** the claim is decided, that is in addition to the benefits a workers' compensation board paid (see page 41)
 - top-ups to wage-loss replacement plan benefits from which you do not have to deduct EI premiums (see page 40)
 - benefits received from certain wage-loss replacement plans; for more information, see page 40
 - amounts that a trustee allocated under a profit sharing plan or that a trustee paid under a deferred profit sharing plan
 - an amount paid to a worker by a client of a placement agency when the worker is under the direction and control of that client

EI premium rate and maximum

You have to deduct EI premiums from your employee's insurable earnings. As an employer, you must **contribute 1.4 times*** the amount of the EI premiums that you deduct from your employee's remuneration.

* The rate may be less than 1.4 (see this page).

Each year, we determine both of the following:

- the **maximum annual insurable earnings** from which you deduct EI (\$65,700 for 2025)
- a **premium rate** that you use to calculate the amount to deduct from your employees (1.64% for 2025 – for Quebec, use 1.31%)

Note

Different EI rates apply for employees working in Quebec because of the Quebec Parental Insurance Plan (QPIP). See "Employment in Quebec" on this page.

Example

EI premiums you deducted from your employees in the month.....	\$195.50
Your share of EI premiums (× 1.4)	<u>\$273.70</u>
Total amount you remit for EI premiums	<u>\$469.20</u>

You stop deducting EI premiums when the employee's annual earnings reach the maximum insurable earnings or the maximum employee premium for the year (\$1,077.48 for 2025).

The annual maximum for insurable earnings (\$65,700 for 2025) applies to **each job** the employee holds with **different employers** (different business numbers). If an employee leaves one employer during the year to start work with another employer, the new employer also has to deduct EI premiums without taking into account what the previous employer paid. This is the case even if the employee has paid the maximum premium amount during the previous employment. If your business went through a restructure or reorganization, see page 10.

The employee's EI premium rate for the next year can be found in the Payroll Deductions Tables, which are usually available in mid-December at canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/employment-insurance-ei/ei-premium-rates-maximums.

Notes

If you pay an amount to a former employee and you have to deduct EI premiums, use the current rate in effect when you make the payment.

Any overpayments will be refunded to employees when they file their income tax and benefit returns. There is no provision in the *Employment Insurance Act* that provides a credit or refund to the employer in such circumstances.

Example

Hassan makes \$30,000 of insurable earnings in Ontario, and after changes his province of employment to Quebec. He then makes an additional \$40,000 with the same employer.

Hassan's maximum premium is calculated as follows:

Total insurable earnings	\$65,700.00
In Ontario:	\$30,000 × 1.64% = \$492.00
In Quebec:	\$35,700 × 1.31% = \$467.67
Total premiums	<u>\$959.67</u>

Employment in Quebec

Maternity, parental, and adoption benefits for residents of Quebec are administered by the province of Quebec under the Quebec Parental Insurance Plan (QPIP). QPIP replaces similar benefits that Quebec residents previously received under the *Employment Insurance Act*. Because of this, all employers who have employees working in Quebec (regardless of the employee's province or territory of residence) have to deduct a reduced EI premium using a reduced EI premium rate (1.31% for 2025) as well as QPIP premiums.

The maximum annual EI premium that an employee working in Quebec will pay on insurable earnings in 2025 is \$860.67.

For information on deducting and remitting the QPIP, see Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*, which you can get from Revenu Québec at revenuquebec.ca/en.

You may have a place of business in Quebec and in another province or territory. If you transfer an employee from Quebec to another province or territory, in addition to deducting CPP/QPP contributions and EI/QPIP premiums you will also have to prepare **two** T4 slips. It is important

that you calculate and report the proper deductions and insurable/pensionable earnings on both T4 slips. For more information, go to canada.ca/t4-information-employers.

Reducing the rate of your EI premiums if you have a short-term disability plan

Some employers provide a wage-loss replacement plan for short-term disability to their employees. If the plan meets certain standards established by the *Employment Insurance Regulations*, the employer's EI premiums could be paid at a reduced rate (less than 1.4 times the employee's premiums).

To benefit from a reduced employer premium rate, you have to register with the EI Premium Reduction Program by submitting both of the following:

- an application, which you can find on the Canada.ca website at canada.ca/ei-premium-reduction
- a copy of the short-term disability plan provided to your employees

You can also get the application at your Service Canada Centre or by contacting:

Service Canada
EI Premium Reduction Program
Post Office Box 11000
Bathurst NB E2A 4T5

Telephone: 1-800-367-5693

TTY: 1-855-881-9874

Fax: 506-548-7473

Website: canada.ca/ei-premium-reduction

The employer's EI premiums are reduced only in respect of employees covered by the approved plan (this includes employees serving an eligibility period under the plan of three months or less). These employees will continue to be reported under the current payroll program account, which will be set at a reduced rate. An officer of the EI Premium Reduction Program will ask you to open an additional payroll program account under your business number (BN) to make a separate remittance for employees not covered by the plan.

You have to file a separate T4 information return for each payroll program account under your BN:

- For employees covered under an approved plan, report their income and deductions using your payroll program account at the reduced EI premium rate (for example, RP0001)
- For employees who are **not** covered by the plan, report their income and deductions using your payroll program account at the standard rate of 1.4 times the employees' premiums (for example, RP0002)

Where an employee was transferred between both accounts in the same calendar year, file a separate T4 slip for each account.

Calculating EI deductions

To determine the amount of EI premiums to deduct, use one of the following tools:

- the Payroll Deductions Online Calculator (PDOC)

- the *Payroll Deductions Tables* (T4032)
- the *Payroll Deductions Supplementary Tables* (T4008)
- the *Payroll Deductions Formulas* (T4127)

To find out which method is best for you, see "Payroll Deductions Tables" on page 9.

You can also use a manual method to calculate your employee's EI deductions if you pay your employees more than the maximum amount that appears in Section C of the Guide T4032, *Payroll Deductions Tables*.

For more information, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/employment-insurance-ei/ei-premium-rate-maximum.html.

EI overpayment

If, during a year, you over deducted EI premiums from your employee (for example, the maximum amount of insurable earnings was exceeded, or the employee was not employed in insurable employment), reimburse the employee the amount deducted in error and adjust your payroll records in the same year the overpayment was made to reflect the reduced deduction. This will result in a credit on your payroll program account equal to the employee and employer portion of the over deduction. You may reduce a future remittance in the same calendar year by that amount.

Do not include the reimbursed amount on the T4 slip. If you cannot refund the overpayment, show the total EI premiums deducted and the correct insurable earnings on the employee's T4 slip.

If you reported the employee's overpayment on the T4 slip, you can ask us for a refund by filling out Form PD24, *Application for a Refund of Over deducted CPP Contributions or EI Premiums*. Make your request no later than three years from the end of the year in which the overpayment occurred.

Recovering EI premiums

If you receive a notice of assessment or discover that you have under deducted EI premiums, you are responsible for remitting the balance due (both the employer's and employee's shares).

You can recover the employee's premiums from later payments to the employee. The recovered premiums can be equal to, but not more than the premiums you should have deducted from each payment of remuneration.

However, you **cannot** recover the premiums that have been outstanding for more than 12 months. As well, you cannot adjust the employee's income tax deductions to cover the EI premiums shortfall.

If you should have made a deduction in a previous year and you recover it through an additional deduction in the current year, do **not** report the recovered premium on the current year's T4 slip. You may have to amend your employee's T4 slip. For information on how to amend a T4 slip, go to canada.ca/en/revenue-agency/services/tax

The recovered amount does not affect the current year-to-date EI premiums deducted.

Example

- a) You did not deduct or remit EI premiums that you should have deducted as follows:

Month	EI
September	\$74.00
October	\$74.00
November	\$78.00
December	<u>\$75.00</u>
Total	\$301.00

- b) After auditing the records, we issue a notice of assessment as follows:

	Employee	Employer	Total
EI premiums	\$301.00	\$421.40	\$722.40

The employer premiums are 1.4 times the employee premiums. Penalty and interest are added to the total.

- c) The following year, you can recover the employee's premiums of \$301.00 as follows:

Current Recovered Employee's

premium	premium	deduction
April \$74.00 +	\$74.00 (for September)	= \$148.00
May \$78.00 +	\$74.00 (for October)	= \$152.00
June \$80.00 +	\$78.00 (for November)	= \$158.00
July \$80.00 +	<u>\$75.00</u> (for December)	= \$155.00
Total	\$301.00	

Note

Details on the Pensionable and Insurable Earnings Review (PIER) are in Chapter 4.

Establishing the number of insurable hours

Hours of work are used to determine if workers are entitled to benefits and for how long. Employers have to keep records.

Note

For more information on how to report the total hours of insurable employment, contact your Service Canada Centre or visit canada.ca/service-canada-info.

The number of insurable hours is determined as follows:

- **For an employee who is paid hourly** – The number of insurable hours is the number of hours actually worked and paid
- **For an employee who is not paid hourly** – If the employer knows the number of hours that the employee actually worked and for which they were paid, we consider the employee to have that number of insurable hours. For example, an employee who is paid on an annual basis, but whose employment contract specifies 32 hours as the usual hours of work per week, would be credited with 32 insurable hours

Note

If the employer does not know the actual number of hours worked, the employer and the employee can agree on the number of insurable hours of work for which they are paid. For example, an agreement on hours on the value of piecework would determine the number of insurable hours. However, if no contract or agreement on hours exists or can be reached, we determine the number of insurable hours by dividing the insurable earnings by the minimum wage. The result cannot be more than seven hours per day or 35 hours per week.

- **Hours limited by federal or provincial statutes** – Full-time employees who are limited by law to less than 35 hours per week will be credited 35 insurable hours per week. Part-time employees in these circumstances are credited with a proportionate number of hours
- **Military and police** – Full-time members of the Canadian Forces or a police force will be credited 35 insurable hours per week, unless the employer keeps and provides the actual number of hours worked
- **Overtime hours accumulated and paid at a later date or paid on termination of employment** – One hour of overtime work equals one hour of insurable employment, even if the rate of pay is higher. Overtime hours accumulated and paid at a later date, or paid on termination of employment, are equally insurable when the parties can establish the effective hours worked. The insurable hours will be the hours actually worked and not the hours accumulated at a rate greater than the regular one

Example

An employee works 20 hours of overtime, so they accumulate 30 hours (1.5 times the number of hours worked). At the end of the year, the worker asks their employer to be paid for their accumulated hours. The number of insurable hours will correspond to the actual hours worked, which is 20 hours in this case.

- **Worker called in to work** – The number of insurable hours equals the number of hours paid
- **Stand-by hours** – Stand-by hours are insurable if one of the following applies:
 - the stand-by hours are paid at a rate equal to or above the rate paid for the hours the employee would have worked
 - the employee is present at the employer's premises, waiting for the employer to request their services, as required under a contract of employment, and these hours are paid, regardless of the rate paid
- **Public holiday** – One hour of work on a public holiday equals one hour of insurable employment, even if the rate of pay is higher. When a public holiday is paid in straight time and a person doesn't work on the holiday, the insurable hours will be the hours the person would have normally worked
- **Paid leave** – One hour of vacation time taken, paid sick leave, or compensatory time off is considered to be one insurable hour

- **Remuneration paid with no hours attached** – An employee who receives vacation pay without actually taking any leave does not generate any insurable hours. This also applies to such remuneration as bonuses, gratuities, and in lieu-of-notice payments

For more information on how to determine hours of insurable employment, go to canada.ca/cpp-ei-explained and select “Insurable hours.”

Record of Employment (ROE)

Generally, if you are issuing an ROE electronically, you have five calendar days after the end of the pay period in which an employee’s interruption of earnings occurs to issue it. This is considered an interruption of service and includes situations where employment ends or the employee leaves because of pregnancy, injury, illness, adoption leave, layoff, leave without pay, or dismissal. For more information, see page 10.

Note

A different deadline may apply if you file your ROE on paper.

The employee needs an ROE to determine if they are entitled to employment insurance (EI) benefits. To create an ROE for your employee, you can use Service Canada’s online ROE web service, your payroll provider’s ROE Secure Automated Transmission, or fill out a paper ROE.

For more information on the ROE, go to Service Canada at canada.ca/en/employment-social-development/programs/ei/ei-list/ei-roe, or call their Employer Contact Centre at 1-800-367-5693 (TTY: 1-855-881-9874).

Chapter 4 – Pensionable and Insurable Earnings Review (PIER)

Each year, we check the calculations you made on the T4 slips that you filed with your T4 Summary. We do this to make sure the pensionable and insurable earnings you reported correspond to the deductions you withheld and remitted.

We check the calculations by matching the pensionable and insurable earnings you reported with the required Canada Pension Plan (CPP) contributions or employment insurance (EI) premiums shown in the Guide T4032, *Payroll Deductions Tables*. We then compare these required amounts with the CPP contributions and EI premiums reported on the T4 slips.

If there is a deficiency between the CPP contributions or EI premiums required and those you reported, we print the figures on a PIER listing. If you file electronically and report an employee number on your T4 slips, we will display the employee number on the PIER listing.

We will send you the listing showing the name of the affected employees and the figures we used in the calculations. We will also include a PIER summary that shows any balance due.

Notes

You are responsible for remitting the balance due, including your employee’s share.

If you agree with our calculations and are remitting the exact amount shown on the PIER summary (for remitting methods, go to Chapter 8), do not send the PIER listing back. We only need the listing if you are correcting the figures or a social insurance number (SIN), or are sending information we should update on our file.

If a payment or a reply is not received by the reply date noted on the PIER report, we may issue a notice of assessment that includes applicable penalties or interest, or both.

Why is a review important

We verify these calculations so that your employees or their beneficiaries will receive the proper:

- CPP benefits if the employees retire, become disabled, or die
- EI benefits if the employees become unemployed, take maternity, parental, adoption, or compassionate care leave, leave to care for or support their critically ill or injured child, or are injured, ill, or on leave without pay

Note

If you report insufficient amounts, it could reduce an employee’s benefits.

CPP deficiency calculations

If your employee has 52 pensionable weeks during the year, calculate the required CPP contributions as follows:

Step 1: Subtract the CPP basic exemption for the year from the CPP pensionable earnings shown in box 26 on the employee’s T4 slip.

Step 2: Multiply the result of Step 1 by the current year’s CPP contribution rate.

The yearly CPP basic exemption table on page 16 and the CPP contribution rate appears on page 16.

The result is the employee’s yearly CPP contributions, which you report in box 16 of the T4 slip.

There may be cases when you have to either start deducting CPP, or stop deducting CPP, for your employee during the year. For more information, see “Starting and stopping CPP deductions” on page 16. In such cases, to ensure the accuracy of the employee’s CPP contributions before issuing the T4 slips, use the calculation in Appendix 3.

If you put an “X” or a check mark in box 28 (CPP/QPP, EI, and PPIP exempt) on the T4 slip and you reported amounts in boxes 16 or 17, or 26 for CPP/QPP, our processing system ignores the “X” or check mark. For more information, go to canada.ca/t4-information-employers and type “box 28” in the filter box.

If you issue more than one T4 slip to the same employee, report the pensionable earnings amount for each period of employment in box 26 on each T4 slip. Reporting these amounts correctly can reduce the number of unnecessary PIER reports for CPP deficiency calculations, especially if the employee worked both inside and outside Quebec.

EI deficiency calculations

To calculate the required EI premiums, multiply the EI insurable earnings shown in box 24 of the employee's T4 slip by the current year's EI premium rate.

See the yearly EI premium rate on page 23 or in the Guide T4032, *Payroll Deductions Tables*.

The result is the employee's yearly EI premiums, which you report in box 18 of the T4 slip.

To verify the employee's EI premiums before you file the T4 slip, fill out "Appendix 3 – Calculation of employee EI premiums (2025)" on page 57.

If you put an "X" or a check mark in box 28 (CPP/QPP, EI, and PPIP exempt) on the T4 slip and you reported amounts in boxes 18 or 24 for EI, our processing system ignores the "X" or check mark. For more information, go to canada.ca/t4-information-employers and type "box 28" in the filter box.

If you issue more than one T4 slip to the same employee, report the insurable earnings amount for each period of employment in box 24 on each T4 slip. Reporting these amounts correctly can reduce the number of unnecessary PIER reports for EI deficiency calculations, especially if the employee worked both inside and outside Quebec.

Security options on PIER listings

The PIER program checks security options reported as a non-cash taxable benefit in code 38 or 90 (Security options benefits) and box 14 (Employment income) on T4 slips because such a benefit is pensionable but not insurable. If this type of benefit is the only amount reported on a T4 slip, enter an "X" or a check mark in box 28 (Exempt) under EI. Do **not** place an "X" or a check mark in box 28 (Exempt) under CPP. This benefit is pensionable and CPP contributions are required.

Multiple T4 returns

If you are an employer with a business number (BN) that has **multiple** payroll program account extensions, we will not send you a PIER report if we detect deficiencies when your return is processed. At a later date we will compare all T4 returns for your BN to verify the PIER information and contact you if we confirm there are deficiencies. If we do not find any deficiencies, we will cancel the PIER. If you have any questions, contact the PIER unit at your NVCC.

Chapter 5 – Deducting income tax

As an employer or payer, you are responsible for deducting income tax from the remuneration or other income you pay. There is **no age limit** for deducting income tax and there is no employer contribution required.

We have forms to help you determine how much income tax to deduct:

- Most employees and recipients fill out Form TD1, *Personal Tax Credits Return*
- Employees who are paid commissions and who claim expenses may choose to fill out Form TD1X, *Statement of*

Commission Income and Expenses for Payroll Tax Deductions, in addition to Form TD1

- Fishers fill out Form TD3F, *Fisher's Election to Have Tax Deducted at Source*

Form TD1, Personal Tax Credits Return

There are two types of Form TD1, *Personal Tax Credits Return* – federal **and** provincial or territorial. Both forms, once completed, are used to determine the amount of federal and provincial or territorial tax to deduct from the income an individual receives in a year.

Individuals who will receive salary, wages, commissions, employment insurance benefits, pensions, or other remuneration **must** fill out a federal Form TD1 **and**, if more than the basic personal amount is claimed, a provincial or territorial Form TD1. For Quebec, see "Employment in Quebec" on page 28.

An employee must fill out a Form TD1 and give it to the employer when the employee starts work. The employee should fill out a new Form TD1 within seven days of any change that may result in a change to their personal tax credits for the year.

Note

If your employee has more than one employer or payer at the same time and has already claimed personal tax credit amounts on another TD1 form, the employee **cannot claim them again**. If the employee's total income from all sources will be **more** than the personal tax credits claimed on another TD1 form, they must check the box "More than one employer or payer at the same time" on page 2 of the TD1 form, enter "0" on line 13 on page 1 and not fill in lines 2 to 12.

Employees who do not fill out new forms may be penalized \$25 for each day the form is late. The minimum penalty is \$100, and increases by \$25 per day to the maximum of \$2,500.

Employees do not have to fill out new TD1 forms every year if their personal tax credit amounts have not changed.

The provincial or territorial Form TD1 the employee fills out should be the form for the province or territory of employment. The section "Which tax tables should you use" on page 9 explains how to determine the province or territory of employment. It also explains what to do if the employee lives in one province or territory and works in another. If the income is not employment income (for example, it is pension, retiring allowance, or RRSP income), use the Form TD1 for the recipient's province or territory of residence.

You are committing a serious offence if you knowingly accept a Form TD1 that contains false or deceptive statements. If you think a Form TD1 contains incorrect information, go to canada.ca/cra-contact.

Have a completed Form TD1 on file for **each** of your employees or recipients. We may ask to see it.

Note

You may create a federal and provincial or territorial Form TD1 and have your employee send it to you electronically. For more information, go to canada.ca/cra-form-td1.

Employment in Quebec

Individuals who work or receive other income (such as pension income) in the province of Quebec have to fill out a federal Form TD1, *Personal Tax Credits Return*, and a provincial Form TP-1015.3-V, *Source Deductions Return*.

Individuals who incur expenses related to earning commissions have to fill out a federal Form TD1X, *Statement of Commission Income and Expenses for Payroll Tax Deductions*, and a provincial Form TP-1015.R.13.1-V, *Statement of Commissions and Expenses for Source Deduction Purposes*.

You can get Quebec forms from Revenu Québec at revenuquebec.ca/en.

Claim codes

The total amount of personal tax credits an employee claims on Form TD1 will determine which claim code to use. An explanation of the claim codes is in the *Payroll Deductions Tables* (T4032).

In some cases, you will use one claim code for the federal Form TD1 and another claim code for the provincial or territorial Form TD1.

If your employee does not fill out a Form TD1, use the code that corresponds to the basic personal amount.

A non-resident employee may not have a claim amount on Form TD1. For more information, see page 2 of Form TD1.

Request for more tax deductions from employment income

Employees can choose to have more tax deducted from the remuneration they receive in a year. To do this, they have to give a federal Form TD1 to their employer that shows how much more tax they want deducted. This amount stays the same until they give their employer a new Form TD1.

You should advise part-time employees that it could be beneficial to have more income tax deducted from the remuneration they receive. In this way, they can avoid having to pay a large amount of tax when they file their income tax and benefit returns, especially if they have worked part-time for different employers during the year.

Deduction for living in a prescribed zone

Employees who live in a prescribed zone during a continuous period of at least six months (that begins or ends in the tax year) may be entitled to claim a residency deduction when they file their income tax and benefit return. Employees may claim a deduction for this on Form TD1. The deduction will reduce the remuneration on which you withhold income tax.

If you provide housing and travel assistance benefits, see all of the following:

- canada.ca/taxable-benefit and select, “Housing or utilities”
- canada.ca/taxes-payroll-allowable-ceiling-amounts
- canada.ca/taxes-northern-residents

Form TD1X, Statement of Commission Income and Expenses for Payroll Tax Deductions

Employees who are paid in whole or in part by commission and who claim expenses may choose to fill out this form in addition to Form TD1. They can estimate their income and expenses by using one of the following two figures:

- their previous year’s figures, if they were paid by commission in that year
- the current year’s estimated figures

Employees who choose to fill out Form TD1X have to give you the form by one of the following dates:

- on or before January 31 if they worked for you last year
- within one month of the date their employment starts
- within one month of the date their personal tax credits have changed
- within one month of the date any change occurs that will substantially change the estimated remuneration or expenses previously reported

Note

An employee may choose, at any time during the year, to revoke in writing the election they made on Form TD1X. If so, use the total claim amount from the employee’s Form TD1 instead.

There is **only one** Form TD1X for federal, provincial, and territorial tax purposes. For an employee in Quebec, see “Employment in Quebec” on page 28.

Tax deductions from commission remuneration

If an employee is paid on commission or receives a salary plus commission, you can deduct tax in one of the following ways:

Employees who earn commissions without expenses

If you pay commissions at the same time you pay salary, add this amount to the salary, then use the Payroll Deductions Online Calculator (PDOC), the *Payroll Deductions Formulas* (T4127), or the manual calculation method found in Section A of the *Payroll Deductions Tables* (T4032). If you pay commissions periodically or the amounts fluctuate, you may want to use the bonus method to determine the tax to deduct from the commission payment. See “Bonuses, retroactive pay increases, or irregular amounts” on page 32 to find out how to do this.

Employees who earn commissions with expenses

To calculate the amount of tax to deduct, you can use the Payroll Deductions Online Calculator (PDOC), the *Payroll*

Deductions Formulas (T4127), or the manual calculation method found in Section A of the *Payroll Deductions Tables* (T4032).

Note

Employees who claim employment expenses on their income tax and benefit return must have their employer fill out Form T2200, *Declaration of Conditions of Employment*. Employers can now use electronic signatures to confirm that the employee met the requirements of the relevant provisions.

Form TD3F, Fisher's Election to Have Tax Deducted at Source

When a fisher sells a catch, the fisher can choose to have the buyer, also known as the designated employer, deduct income tax at a rate of 20% from the proceeds of the sale. To do this, the fisher must fill out Form TD3F and give it to the designated employer. The designated employer is then responsible to deduct, remit and report the amounts withheld.

Remuneration from which you have to deduct income tax

You have to deduct income tax **at source** from all of the following types of remuneration in the pay periods in which the employee receives or enjoys them:

- Salary, wages, bonuses, commissions, overtime, wages in lieu of termination notice, or other remuneration (including payroll advances or earnings advances)
- Most cash and non-cash taxable benefits and allowances including taxable stock option benefits, certain rent-free and low-rent housing, the value of board and lodging (other than an exempt allowance paid to an employee at a special work site or remote work location), interest-free and low-interest loans, personal use of an automobile that you as the employer own or lease, allowances you pay to employees to use their own vehicle, holiday trips, gifts, subsidized meals, or any other taxable benefit you pay for or provide to your employee. For more information, go to canada.ca/taxable-benefit and select, "Determine if a benefit is taxable"
- Honorariums from employment or office, a share of profit that an employer paid, incentive payments, director's fees, management fees, fees paid to board, or committee members, and executor's, liquidator's, or administrator's fees earned to administer an estate (as long as the executor, liquidator, or administrator **does not act in this capacity** in the regular course of business)
- Remuneration paid after an employee dies. To find out which payments you have to withhold income tax on, see "Death of an employee" in the next chapter
- Remuneration paid to a member of a religious order who has taken a vow of perpetual poverty, unless you pay the remuneration to the order or the employee gives you a letter of authority approved by a tax services office
- Certain tips and gratuities employees receive for services they carry out

- Remuneration received while on vacation, furlough, sabbatical, or sick leave, or for lost-time pay from a union, vacation pay, payments received under a supplementary unemployment benefit plan (SUBP) that does **not** qualify as a SUBP under the *Income Tax Act* (for example, employer paid maternity and parental top-up amounts), and payments for sick leave credits and accrued vacation
- Wage-loss replacement plans benefits. For more information, see page 40
- Pensions, retiring allowances (also called severance pay), certain amounts received for wrongful dismissal, and death benefits
- Distributions from a retirement compensation arrangement (RCA)
- Additional amounts that you as an employer pay while participating in a job creation project that Service Canada has approved
- Benefits under the *Employment Insurance Act*
- Benefits under the *Employment Insurance Act* respecting parental insurance
- Amounts received from a current or former employee life and health trust other than a payment of a "designated employee benefit"

Reducing remuneration on which you have to deduct income tax

Certain amounts that you deduct from the remuneration you pay an employee, as well as other authorized or claimed amounts, can reduce the amount of remuneration from which you deduct tax for the pay period. Reduce the remuneration by the following amounts before you calculate tax:

- A deduction for living in a prescribed zone
- An amount that a tax services office has authorized (see "Letter of authority" on page 30)
- Employee's contributions to a registered pension plan (RPP) – details on how to determine the exact amount of these contributions, see the section called "Contributions to an RPP" on page 31
- FHSA contributions you withhold from remuneration
- A FHSA contribution you withhold from the remuneration you pay an employee in a year automatically reduces the remuneration on which you have to deduct tax if you make the contribution on behalf of the employee. This applies to an FHSA contribution you withhold from remuneration on which you have to deduct tax, regardless of the amount of the payment or whether it is paid periodically or in a lump-sum. However, you must have reasonable grounds to believe that the employee can deduct the contribution for the year
- Generally, we consider you to have reasonable grounds when your employee has given you confirmation that the contribution can be deducted for the year or you have a

copy of the employee's FHSA participation room statement from their notice of assessment

- "Contributions to an RPP" on page 31
- Union dues

Note

The Quebec provincial rules for reducing remuneration for union dues are different – see Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*, which you can get from Revenu Québec (see page 6).

- Employee's contributions to a retirement compensation arrangement (RCA) or certain pension plans. For more information on determining whether an employee can deduct contributions to an RCA, go to canada.ca/retirementcompensationarrangements
- Employee's and employer's contributions to a registered retirement savings plan (RRSP) provided you have reasonable grounds to believe the employee can deduct the contribution for the year (see the section called "RRSP contributions you withhold from remuneration" on page 30)
- Employee's contributions to a pooled registered pension plan (PRPP), or a similar provincial pension plan, as long as the plan is registered with the Minister of National Revenue and you have reasonable grounds to believe the employee can deduct the contributions for the year. For more information, go to canada.ca/en/revenue-agency/services/tax/pooled-registered-pension-plan-prpp

Do not subtract CPP contributions and EI premiums to determine the remuneration that requires tax deductions.

Example

David is paid weekly (52 pay periods per year).

Basic salary	\$500.00
Plus: taxable benefits.....	<u>\$50.00</u>
Gross remuneration.....	\$550.00
Minus: weekly deductions for:	
RPP contributions	\$25.00
Union dues	\$5.50
Deduction for living in a prescribed zone (\$11.00 per day × 7 days)	<u>\$77.00</u>
Total weekly deductions.....	\$107.50
Remuneration that requires tax deductions at source.....	<u>\$442.50</u>

Letter of authority

Your employee will have to give you a letter of authority from a tax services office in order for you to reduce the amount of tax you deduct from the remuneration that you pay to the employee. For example, this would be the case if an employee makes deductible RRSP contributions during the year, or if an employee lives in one province or territory but works in another and will have too much tax deducted.

To get a letter of authority, the employee has to send Form T1213, *Request to Reduce Tax Deductions at Source*, or a written request to the appropriate Taxpayer Services Regional Correspondence Centre. The employee should include documents that support their position why less tax should be deducted at source. For example, if the employee

regularly contributes to an RRSP in the year, they should provide documents to show the amounts they contribute.

We usually issue a letter of authority for a specific tax year. If an employee has a balance owing or has not filed outstanding income tax and benefit returns, we will not usually issue a letter of authority.

Keep all letters of authority with your payroll records so our officers can review them.

Note

Non-resident employees who carry out services in Canada and non-resident directors should **not** use Form T1213. For more information, see Chapters 5 and 6.

RRSP contributions you withhold from remuneration

A registered retirement savings plan (RRSP) contribution you withhold from the remuneration you pay an employee in a year automatically reduces the remuneration on which you have to deduct tax if you make the contribution on behalf of the employee. This applies to an RRSP contribution you withhold from remuneration on which you have to deduct tax, regardless of the amount of the payment or whether it is paid periodically or in a lump-sum. However, you have to have reasonable grounds to believe that the employee can deduct the contribution for the year.

Note

The total amount the employee contributes to their RRSP or to their spouse's or common-law partner's RRSP **cannot be more than the employee's available RRSP deduction limit for the year.**

Generally, we consider you to have reasonable grounds when your employee has given you confirmation that the contribution can be deducted for the year or you have a copy of the employee's RRSP deduction limit statement from their notice of assessment.

You do not need confirmation of the employee's RRSP deduction limit when you directly transfer the eligible part of a retiring allowance to their RRSP. This is because a special deduction under paragraph 60(j.1) of the *Income Tax Act* applies to this amount. For information on how to calculate the eligible part of a retiring allowance, see page 37.

Note

The employee is not allowed to transfer the eligible part of a retiring allowance to their spouse's or common-law partner's RRSP.

FHSA contributions you withhold from remuneration

A FHSA contribution you withhold from the remuneration you pay an employee in a year automatically reduces the remuneration on which you have to deduct tax if you make the contribution on behalf of the employee. This applies to an FHSA contribution you withhold from remuneration on which you have to deduct tax, regardless of the amount of the payment or whether it is paid periodically or in a lump-sum. However, you must have reasonable grounds to believe that the employee can deduct the contribution for the year.

Generally, we consider you to have reasonable grounds when your employee has given you confirmation that the contribution can be deducted for the year or you have a copy of the employee's FHSA participation room statement from their notice of assessment.

Contributions to an RPP

If the registered pension plan (RPP) requires or permits employees to make contributions, you have to determine the amount of contributions that your employee can deduct on their income tax and benefit return. You have to do this before you can calculate the amount of tax to deduct. In addition to contributions for current service, make sure you consider any contributions for past service.

For information on contributions to an RPP for current or past service, see archived Interpretation Bulletin IT-167, *Registered Pension Plans – Employee's Contributions*, and go to canada.ca/RRSP.

You have to report these contributions on a T4 slip. For information on how to report RPP contributions on a T4 slip, go to canada.ca/t4-information-employers and type "box 20" in the filter box.

For T4 slips filed for calendar year 2024 and after, RPP contributions relating to tax-exempt employment income you paid to your employee who is registered, or entitled to be registered under the *Indian Act* are reported using code 94.

Calculating income tax deductions

To determine the amount of income tax to deduct, use one of the following tools:

- the Payroll Deductions Online Calculator (PDOC)
- the *Payroll Deductions Tables* (T4032)
- the *Payroll Deductions Supplementary Tables* (T4008)
- the *Payroll Deductions Formulas* (T4127)

To find out which method is best for you, see "Payroll Deductions Tables," on page 9.

Note

Even if the period of employment for which you pay a salary is less than a full pay period, you must continue to use the tax deductions table that corresponds to your regular pay period.

You can also use a manual method to calculate your employee's income tax deductions. For more information, see the instructions in the section called "Step-by-step calculation of tax deductions" in Section A of the Guide T4032, *Payroll Deductions Tables* or go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/income-tax/increasing-income-tax-deductions.html.

You have to deduct tax according to the claim code that corresponds to the total personal amount the employee claims on Form TD1. If an employee states that their total expected income from all sources will be less than the total amount claimed, do **not** deduct any federal, provincial or territorial tax. However, if you know this statement is false, you have to deduct tax on the amounts you pay. For more

information, see "Claim codes" on page 28. If you need advice, go to canada.ca/cra-contact.

Tax deductions on other types of income

For tax deductions on other types of income, such as bonuses, director's fees, and retiring allowances, see Chapter 6.

Labour-sponsored funds tax credits

The tax credit for solely **federally** registered labour-sponsored venture capital corporations has been eliminated for 2017 and later years. However, tax deductions at source can be reduced by the tax credit that applies to the purchase, by the employee, of approved shares of capital stock in a **provincially** registered labour-sponsored venture capital corporation. For information on the labour-sponsored funds tax credits, see Guide T4127, *Payroll Deductions Formulas*.

Non-resident employees who carry out services in Canada

Employers have to deduct income tax from remuneration they pay to non-resident employees who are in regular and continuous employment in Canada in the same way they do for employees who are resident in Canada. This applies whether or not the employer is a resident of Canada. A tax treaty between Canada and the country of residence of a non-resident employee providing services in Canada **may** provide relief from Canadian tax deductions.

Note

For information about employment in Canada by certified non-resident employers, see page 45.

Application for a waiver of tax withholding

A non-resident employee who wants less tax to be withheld based on a tax treaty can send a letter or a waiver application with supporting documents to the applicable International Waivers Centre of Expertise. To find out which centre the employee should send the application to, go to canada.ca/cra-rendering-services-canada and select "Where to send waiver application."

Notes

You also have to deduct tax from payments you make to non-resident individuals, partnerships, or corporations for services rendered in Canada that they did not carry out in the ordinary course of an office or employment. For more information about payments for services other than in the course of employment, go to canada.ca/taxes-slips, and select "T4A-NR slip."

In addition, you may have to deduct tax, if you pay or credit an amount, such as interest, a dividend, rental income, a royalty, pension income, a retiring allowance, or other similar types of income to a non-resident of Canada, or if you pay, credit, or provide an amount as a benefit for film or video acting services rendered in Canada. Go to canada.ca/cra-rendering-services-canada.

Chapter 6 – Special payments

For all your deductions, use the rates in force on the date you make your payment. For a summary of the deductions you should make for special payments, see Appendix 4 on page 58.

Advances

If you pay part of your employee's salary before the usual payday, you have to deduct Canada Pension Plan (CPP), employment insurance (EI), and income tax from the total advance. To determine the amounts to deduct, use the regular pay period and reconcile the income and deductions when the regular payday occurs.

Bonuses, retroactive pay increases, or irregular amounts

If you paid bonuses, retroactive pay increases or any other additional or unusual amounts to your employees, you have to deduct all of the following amounts:

- CPP contributions (without taking into consideration the annual basic exemption amount if the payment is made separately from their regular pay)
- EI premiums
- income tax

Note

Certain retroactive payments related to previous years that are paid in the current year, are eligible for a special tax calculation when the employee files their income tax and benefit return. See page 36 for information about qualifying retroactive lump-sum payments.

CPP contributions

If you have already deducted the yearly maximum CPP contributions from an employee's income, do **not** deduct more contributions.

Do not take into account any contributions that a previous employer deducted in the same year.

Example

Joseph receives a retroactive pay increase of \$450 on June 29. His payroll record for the year indicates that, to date, you have deducted \$300 in CPP contributions.

Maximum CPP contribution for the year (2025).....	\$4,034.10
Contributions to date for the year	<u>\$300.00</u>
Maximum that you can deduct for Joseph for the rest of the year.....	<u>\$3,734.10</u>
Multiply the retroactive pay increase of \$450 × the CPP rate of 5.95%	<u>\$26.78</u>

You should deduct CPP contributions of \$26.78 from Joseph's retroactive pay increase up to the maximum for the year.

Note

The Payroll Deductions Online Calculator (PDOC) calculates the CPP contributions, EI premiums, and

income tax on bonuses and retroactive pay increases. You can use the PDOC by going to canada.ca/pdoc.

EI premiums

You have to deduct EI premiums from bonuses and retroactive pay increases. Do **not** deduct more than the maximum for the year.

Do not take into account any premiums that a previous employer deducted in the same year.

Income tax

Certain qualifying retroactive lump-sum payments are eligible for a special tax calculation when an individual files their income tax and benefit return. For more information, see page 36.

To determine how much income tax to deduct from bonuses or retroactive pay increases, take the total remuneration for the year (including the bonus or increase) and subtract the following amounts:

- a deduction for living in a prescribed zone
- an amount that a tax services office has authorized
- registered pension plan (RPP) contributions
- union dues
- employee's contributions to a retirement compensation arrangement (RCA) or certain pension plans
- contributions to an FHSA provided you have reasonable grounds to believe the contribution can be deducted by the employee for the year
- contributions to a registered retirement savings plan (RRSP) provided you have reasonable grounds to believe the contribution can be deducted by the employee for the year

After subtracting these amounts, if the total remuneration for the year (including the bonus or increase) is **\$5,000 or less**, deduct 15% tax (10% in Quebec) from the bonus or retroactive pay increase.

After subtracting the above amounts, if the total remuneration for the year (including the bonus or increase) is **more than \$5,000**, the amount you deduct depends on whether the bonus is paid once a year or more than once a year. Examples 1 and 2 show you how to manually calculate the amount to deduct in the case of a bonus. Example 3 shows you how to manually calculate this amount in the case of a retroactive pay increase.

Example 1 – First or once-a-year bonus payment

Donna earns a salary of \$400 per week. In September, you gave her a bonus of \$300. Her province of employment is British Columbia. The claim code that applies to her TD1 and TD1BC forms is "1."

Step 1: Divide the bonus by the number of pay periods in the year ($\$300 \div 52 = \5.77).

Step 2: Add the \$5.77 to the current pay rate of \$400. As a result, the adjusted pay rate for the year is \$405.77 per week.

Step 3: In Guide T4032, *Payroll Deductions Tables*, choose the weekly tables (52 pay periods a year) from Sections D and E to find the increased weekly federal and provincial tax you should deduct on the additional \$5.77 per week.

Calculate as follows:

- Find the federal and provincial tax that you deduct on \$405.77 per week
- Subtract the federal and provincial tax that you deduct on \$400 per week

The result is the tax you have to deduct on the additional \$5.77 per week.

Step 4: Multiply the additional tax that you deduct per week by 52 (the number of pay periods in the year). This gives you the amount of income tax to deduct from the bonus of \$300.

Example 2 – More than one bonus payment a year

Mario earns a salary of \$400 per week (**amount 1**). You paid him bonuses of \$300 in January and \$780 in February. His province of employment is Alberta. The claim code that applies to his TD1 and TD1AB forms is “1.”

The calculation must take into account **all** bonuses you paid during the year. You have to calculate the amount of tax to deduct for the entire year, regardless of when you paid the bonus.

Step 1: Divide the bonus that you paid in January by the number of pay periods in the year ($\$300 \div 52 = \5.77) (**amount 2**). Add the \$5.77 to the weekly salary of \$400 to determine the adjusted weekly pay before the February bonus ($\$400 + \$5.77 = \$405.77$).

Step 2: Divide the **last** bonus that you paid to Mario by the number of pay periods in the year ($\$780 \div 52 = \15) (**amount 3**). Add amounts 1, 2, and 3 to determine the adjusted weekly pay for the year of \$420.77 ($\$400 + \$5.77 + \15).

Step 3: In Guide T4032 *Payroll Deductions Tables*, choose the weekly tables (52 pay periods a year) from Sections D, and E to find the increased weekly federal and provincial tax that you should deduct on the additional \$15 per week.

Calculate as follows:

- Find the federal and provincial tax that you deduct on \$420.77 per week
- Subtract the federal and provincial tax that you deduct on \$405.77 per week

The result is the tax you have to deduct on the additional \$15.

Step 4: Multiply the additional tax per week by 52 to determine the amount to deduct on the bonus of \$780.

To calculate tax on additional bonuses, **repeat steps 1 to 4**.

Example 3 – Retroactive pay increase

Irene’s pay increased from \$440 to \$460 per week. The increase was retroactive to 12 weeks, which gives her a total retroactive payment of \$240 ($12 \times \20). Her province of employment is Nova Scotia. The claim code that applies to her TD1 and TD1NS forms is “6.”

Step 1: In Guide T4032, *Payroll Deductions Tables*, choose the weekly tables (52 pay periods a year) from Sections D, and E to find the increase in the weekly federal and provincial tax that you should deduct because of the increased pay rate.

Calculate as follows:

- Find the federal and provincial tax that you deduct on \$460 per week
- Subtract the federal and provincial tax that you deduct on \$440 per week

The result is the tax you have to deduct on the additional \$20 per week.

Step 2: Multiply the increase in the weekly tax that you deduct by the number of weeks to which the retroactive pay increase applies. This amount is the tax that you must deduct from the retroactive payment.

Death of an employee

Salary, wages, accumulated vacation pay, taxable benefits, and other amounts owed to an employee by their employer, for work done up to the date of the employee’s death, is employment income in the year the amount is paid. This includes any retroactive pay adjustments, when a collective agreement or another authorizing instrument was signed **before** the date of death.

A payment made to a deceased employee to recognize the employee’s service to the company may qualify as a death benefit. For more information, see archived Interpretation Bulletin IT-508, *Death Benefits*. For more information about payroll deductions and reporting a death benefit, go to canada.ca/t4a-information-payers, and select T4A slip.

CPP contributions

Deduct Canada Pension Plan (CPP) contributions up to and including the last pay in the month in which the employee died. Also, deduct CPP contributions from monies earned before the death of an employee and not yet paid at the time of death. When prorating the maximum CPP contributions for the year, use the number of months up to and including the month of death.

In some cases, the requirements are different for Quebec Pension Plan (QPP) contributions. For more information, see Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*, which you can get from Revenu Québec.

Do **not** deduct CPP contributions from payments you make after an employee died, except for amounts the employee earned and was owed before the date of death.

El premiums

Do **not** deduct employment insurance (EI) premiums from monies earned before the death of an employee (such as salary, banked overtime, a bonus, or vacation pay) and not yet paid at the time of death.

Income tax

Deduct income tax from all of the following amounts:

- salary and wages, accumulated vacation pay, taxable benefits, and any other amounts that were earned by and owed to the employee up to the date of death even if they are paid in the year after death
- payments for retroactive adjustments to employment income when a collective agreement or other authorizing instrument has been signed **before** the date of death

Do **not** deduct income tax from any of the following amounts:

- salary, wages, or other pay accumulated after the date of death
- payments for retroactive adjustments to employment income when a collective agreement or another authorizing instrument has been signed **after** the date of death

Employment income and retroactive pay adjustments that you pay to a deceased employee, or to the employee's estate, have to be reported on a T4 slip in the year in which the amounts are paid even if they were earned by or owed to the employee in a different tax year.

Although the deceased employee, or their estate, may not have to include retroactive payments made because of a collective agreement or authorizing instrument that was signed **after** the employee's death, you still have to report these payments on the deceased employee's T4 slip.

Note

A retroactive adjustment may **not** have to be included on the deceased employee's final income tax and benefit return if the collective agreement or authorizing instrument was signed **after** the employee's death. For more information, see Guide T4011, *Preparing Returns for Deceased Persons*.

Director's fees

Employment income

Director's fees paid to a corporate director are employment income, whether they are paid to a non-resident for services rendered in Canada or to a Canadian resident. Report director's fees on a T4 slip.

You only pay director's fees

CPP contributions

You have to deduct CPP contributions from payments issued to board or committee members (directors) of a corporation employed in Canada. This applies to resident and non-resident directors.

For non-resident directors, deduct CPP only if the meetings or duties are done wholly in Canada. Do **not** deduct CPP contributions from a corporate director if the

employment duties are done wholly or partly outside Canada.

Whether CPP contributions are required when there is an employment relationship between a director and a corporation will be based on the director's employment status. If in doubt, you can ask for a ruling. For more information, see "Are you an employer" on page 6.

To determine the CPP contributions to deduct on director's fees, prorate the basic CPP exemption over the number of times you pay the fees during the year.

Example

Alan is a director of your corporation. He is a resident in Canada. He does not receive remuneration as an employee. You pay him a director's fee of \$4,050 every three months. Calculate the contribution in the following way:

- Prorate the basic yearly CPP exemption to get the quarterly amount: $\$3,500 \div 4 = \875
- The amount from which you deduct contributions is \$3,175 ($\$4,050 - \875)
- The amount of CPP contributions you remit is:

Director's contribution ($\$3,175 \times 5.95\%$)	\$188.91
Employer's contribution	\$188.91
Total	\$377.82

EI premiums

Do **not** deduct EI premiums from payments to board or committee members (directors) of a corporation who are resident or non-resident of Canada.

Whether EI premiums are required when there is an employment relationship between a director and a corporation will be based on the director's employment status. If in doubt, you can ask for a ruling. For more information, see "Are you an employer" on page 6.

Note

To find out if EI premiums have to be deducted from director's fees paid to administrators of government entities, go to canada.ca/cpp-ei-explained and select "Tenure of office."

Income tax

A non-resident director is not considered to be employed in Canada if they do not attend any meeting or does any other functions **in** Canada. Director's fees paid to a non-resident director for attending a meeting from outside Canada through electronic means, such as a teleconference, are not taxable in Canada.

If the services rendered are only partly done in Canada, the employer is responsible for apportioning that part of the annual fee paid to the non-resident director to the services done in Canada. For example, if you held 10 meetings during the year and the non-resident director attended five meetings in Canada, you would deduct income tax at source on one half of the flat annual amount paid to the non-resident director.

If you only pay director's fees and you estimate that the total of these fees will not be more than the amount claimed

on Form TD1 (or the basic personal amount if a person does not file Form TD1), do **not** deduct income tax.

If you estimate that director's fees will be more than the amount claimed on Form TD1, you have to deduct income tax. A non-resident director may not have claimed any amount on Form TD1. For more information, see page 2 of Form TD1.

Calculation

To calculate the amount to deduct, use the monthly federal and provincial tax deductions tables in Sections D, and E of the *Payroll Deductions Tables* (T4032) and calculate as follows:

- Divide the fees by the number of months that have passed since the last payment or since the first day of the year, whichever is later
- Using the claim amount from Form TD1 and the amount determined above, find the monthly deduction and multiply it by the number of months that have passed since the last payment or since the first day of the year, whichever is later
- If CPP contributions and/or EI premiums do not have to be deducted from the director's fees, add an extra amount to the income tax deduction calculated above. See "Deducting tax from income not subject to CPP contributions or EI premiums" in Section A of Guide T4032

The result is the income tax to deduct from the director's fees.

You pay director's fees as well as a salary

CPP contributions

If you pay both a salary **and** director's fees, add the fees to the salary for that pay period to calculate the amount of tax to deduct.

Whether CPP contributions are required on the salary portion will be based on the employment status of the director. If you are still in doubt after analyzing the facts relating to the director's employment, you can ask for a ruling. For more information, see "Are you an employer" on page 6.

EI premiums

If you pay both a salary **and** director's fees to a resident or non-resident director, only deduct EI premiums from the salary portion.

Whether EI premiums are required on the salary portion will be based on the employment status of the director. If you are still in doubt after analyzing the facts relating to the director's employment, you can ask for a ruling. For more information, see "Are you an employer" on page 6.

Note

To find out if EI premiums have to be deducted from director's fees paid to administrators of government entities, go to canada.ca/cpp-ei-explained and select "Tenure of office."

Income tax

Use the calculation in "Bonuses, retroactive pay increases, or irregular amounts" to determine the amount of tax to deduct for the director's fees.

Application for a waiver of tax withholding

A non-resident director of a corporation requesting a reduction of the tax withholding on employment income based on a tax treaty can send a letter or a waiver application with supporting documents to the applicable International Waivers Centre of Expertise. To find out which centre the director should send the application to, go to canada.ca/cra-rendering-services-canada and select "Where to send waiver application."

Director's fees paid to a corporation or partnership

Where an individual is acting on behalf of or representing a corporation as a director **and** the fees relating to these services are paid directly, or are turned over by the individual to the corporation, those fees are considered to be income of the corporation and **not** of the individual. This is also the case if an individual is acting on behalf of or representing a partnership.

Note

If the fees are directly or indirectly given back to the individual for their personal benefit, the fees have to be included in that individual's income as employment income. In such a case, follow the instructions under "Employment income" on page 34.

Resident corporation or partnership

You do not have to deduct CPP, EI, or income tax on the fees you pay a **resident** corporation or partnership.

Non-resident corporation or partnership

You have to deduct 15% tax on the fees you pay a **non-resident** corporation or partnership. Report these payments on a T4A-NR slip.

If the corporation or partnership can show the tax withholding is more than their potential tax liability in Canada, either due to treaty protection or income and expenses, they can send a letter or waiver application with supporting documents to the applicable International Waivers Centre of Expertise.

To find out which centre the corporation or partnership should send the application to, go to canada.ca/cra-rendering-services-canada and select "Where to send waiver application."

For more information, see the following:

- canada.ca/taxes-slips, and select "T4A-NR slip"
- Information Circular IC75-6, *Required Withholding from Amounts Paid to Non-Residents Providing Services in Canada*

Employees profit sharing plan

An employees profit sharing plan (EPSP) is an arrangement that allows an employer to share profits with all or a designated group of employees. Under an EPSP, amounts

are paid to a trustee to be held and invested for the benefit of the employees who are beneficiaries of the plan.

Each year, the trustee is required to allocate to such beneficiaries all employer contributions, profits from trust property, capital gains and losses, and certain amounts in respect of forfeitures.

Report payments from EPSPs on a T4PS slip instead of a T4 slip. You must show on the T4PS slip if the employee is a specified employee: one who is dealing with the employer in a non-arm's length relationship, or who has a significant equity interest (10% or more of any class of shares) in their employer or a company related to their employer. If the amount paid to the specified employee is more than 20% of that employee's total income for the year from employment with the employer, a tax will apply to the exceeding amount.

For more information, go to canada.ca/cra-employees-profit-sharing-plan.

Overtime pay

CPP contributions, EI premiums, and income tax

You have to deduct CPP contributions, EI premiums, and income tax from overtime pay. When the overtime pay is paid in the same pay period that it is earned in, add the overtime pay to the employee's regular pay and make the deductions from the total amount in the usual way. When the overtime pay is paid in a later pay period, treat the overtime pay as a bonus and make the deductions using the method outlined in the section called "Bonuses, retroactive pay increases, or irregular amounts" on page 32.

Qualifying retroactive lump-sum payments

Certain retroactive lump-sum payments totalling \$3,000 or more (not including interest) are eligible for a special tax calculation when an individual files their income tax and benefit return, regardless of the amount of tax you withhold from the payment.

To qualify for a special tax calculation, the payments described on Form T1198, *Statement of Qualifying Retroactive Lump-Sum Payment*, must have been paid to an individual for one or more preceding years throughout which the individual was a resident of Canada. The payments must have been paid after 1994 and relate to years 1978 and later.

Eligible sources of income are:

- income from an office or employment received under the terms of an order or judgment of a competent tribunal, an arbitration award, or an agreement to terminate a legal proceeding (including amounts received as damages)
- wage-loss replacement benefits

Notes

An amount paid under normal collective bargaining, such as negotiated back pay, is not a qualifying amount.

A different tax treatment may apply if the employee is deceased. In such a situation, go to canada.ca/cra-contact.

The payer has to fill out Form T1198 or provide the following information in writing to the employee:

- the year in which the lump-sum payment was made to the employee
- a complete description of the lump-sum payment and the circumstances that required it to be paid
- the total amount of the lump-sum payment, including a breakdown between the principal and the interest element, if any, of the payment
- the principal amount of the lump-sum payment that relates to the current year and each of the preceding years covered by the payment

The employee has to send Form T1198 to their tax services office and request the special tax calculation be applied to their income tax and benefit return.

CPP contributions, EI premiums, and income tax

Deduct CPP, EI, and income tax from lump-sum payments that are income from an office or employment. Calculate these deductions using the instructions under the heading "Bonuses, retroactive pay increases, or irregular amounts" on page 32.

Retirement compensation arrangements

A retirement compensation arrangement (RCA) is a plan or arrangement between an employer and an employee under which:

- the employer or employee makes contributions to a custodian of the RCA trust
- the custodian may be required to make distributions to the employee or another person on, after, or in view of the employee's retirement, the loss of an office or employment, or any substantial change in the services the employee provides

Withholding and remitting

If you are an employer and you set up a retirement compensation arrangement, you have to deduct a 50% refundable tax on any contributions you make to a custodian of the arrangement and remit the amount of refundable tax you collect to the Receiver General on or before the 15th day of the month following the month during which it was withheld.

Before you make any contributions to the custodian, you have to send Form T733, *Application for a Retirement Compensation Arrangement (RCA) Account Number*, to apply for account numbers for both the employer and the custodian of the RCA.

The custodian has to deduct income tax from any distributions (periodic or lump-sum payments) made out

of the RCA and remit the amount of income tax collected to the Receiver General.

Before the custodian makes any distributions out of the RCA, they have to send Form T735, *Application for a Remittance Number for Tax Withheld from a Retirement Compensation Arrangement (RCA)*, to apply for a remittance account number.

To report the distributions, the custodian has to file a T4A-RCA Summary and the related T4A-RCA slips. The custodian has to send them to the RCA Unit at the Winnipeg Tax Centre on or before the last day of February of the year following the calendar year that the information return applies to.

For more information on this type of plan or arrangement, your responsibilities, and the forms you have to file, go to canada.ca/retirementcompensationarrangements, or contact the RCA Unit at the Winnipeg Tax Centre.

Retiring allowances

Retiring allowances are reported on the T4 slip. For more information, go to canada.ca/t4-information-employers.

A retiring allowance (also called severance pay) is an amount paid to officers or employees when or after they retire from an office or employment in recognition of long service or for the loss of office or employment.

A retiring allowance **includes**:

- payments for unused sick leave credits on termination
- amounts individuals receive when their office or employment is terminated, even if the amount is for damages (wrongful dismissal when the employee does not return to work)

A retiring allowance **does not include**:

- salary, wages, bonuses, overtime, and legal fees
- a superannuation or pension benefit
- an amount an individual receives as a result of an employee's death (these payments may be treated as death benefits)

For more information, see archived Interpretation Bulletin IT-508, *Death Benefits*.

- a benefit derived from certain counselling services
- payments for accumulated vacation leave not taken before retirement
- wages in lieu of termination notice (see page 40)
- damages for violations or alleged violations of an employee's applicable human rights awarded under the human rights legislation, to the extent these amounts are not taxable

For more information, see Income Tax Folio S2-F1-C2, *Retiring Allowances*.

If you pay a retiring allowance to a **resident** of Canada, deduct income tax from any part you pay directly to the recipient using the lump-sum withholding rates.

Note

Retiring allowances must be taxed even if a recipient's total earnings received or receivable during the calendar year, including the lump-sum payment, are less than the total amount claimed on their Form TD1, *Personal Tax Credits Return*.

Combine all retiring allowance payments that you have paid or expect to pay in the calendar year when determining the rate to use from the next section.

Income tax

Use the following lump-sum withholding rates to deduct income tax:

- 10% (5% for Quebec) on amounts up to and including \$5,000
- 20% (10% for Quebec) on amounts over \$5,000 up to and including \$15,000
- 30% (15% for Quebec) on amounts over \$15,000

Note

The above rates are a blend of federal and provincial. The Quebec rates shown are only federal. For more information on Quebec's rates, see Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*.

Recipients may have to pay extra tax on these amounts when they file their income tax and benefit returns. To avoid this situation, if a recipient requests it, you can do all of the following:

- Calculate the annual tax to deduct from the recipient's yearly remuneration, **including** the lump-sum payment. For more information, see the "Step-by-step calculation of tax deductions" section in Guide T4032, *Payroll Deductions Tables* of your province or territory
- Calculate the annual tax to deduct from the recipient's yearly remuneration, **not including** the lump-sum payment
- **Subtract** the second amount from the first amount

The result is the amount you deduct from the lump-sum payment if the recipient requests it.

If you pay a retiring allowance to a **non-resident** of Canada, withhold 25% of the retiring allowance (the withholding rate may vary depending on the applicable tax convention or agreement). Send this amount to the Receiver General on the non-resident's behalf. For more information, go to canada.ca/cra-rendering-services-canada.

CPP contributions and EI premiums

Do not deduct CPP contributions or EI premiums from retiring allowances.

Transfer of a retiring allowance

Individuals with years of service before 1996 may be able to **directly transfer** all or part of a retiring allowance to a registered retirement savings plan (RRSP), specified pension plan (SPP), pooled registered pension plan (PRPP), or a registered pension plan (RPP). This part is commonly referred to as the **eligible portion** or the **amount eligible**

for transfer. A retiring allowance may include an eligible portion and a non-eligible portion.

A retiring allowance may be paid over one or more years. The amounts paid in any particular year may be transferred to an RRSP, SPP, PRPP, or an RPP. The amounts transferred cannot exceed the employee's eligible portion of the retiring allowance minus the eligible portion you transferred in a prior year.

For example, if an employee receives \$60,000 payable in instalments of \$10,000 over six years and has an eligible amount of \$40,000, the employee can choose how they want the eligible and non-eligible portions applied to the instalment payments in each year.

The amount that is eligible for transfer under paragraph 60(j.1) of the *Income Tax Act* (the Act) is limited to:

- \$2,000 for each year or part of a year before 1996 that the employee or former employee worked for you (or a person related to you)

plus

- \$1,500 for each year or part of a year before 1989 of that employment in which none of your contributions to a pension plan or deferred profit sharing plan (DPSP) were vested in the employee's name when you paid the retiring allowance. To determine the equivalent number of years of vesting, refer to the terms of the particular plan. The number can be a fraction

A rollover of a retiring allowance under paragraph 60(j.1) of the Act involves amounts an employee receives for services rendered before 1996. The amount the employee can rollover, tax free, cannot be more than the amount shown on their T4 slip in code 66 "Eligible retiring allowances." The eligible portion of an employee's retiring allowance can be transferred to the employee's own RRSP, SPP, PRPP, or RPP, but not their spouse's or common-law partner's. In this case, the rollover of the eligible amount is completed regardless of the RRSP room available to the employee receiving the retiring allowance.

Note

If you transfer the amount to an RPP, you may have to report a pension adjustment. For more information, contact your plan administrator.

For example, Samuel will receive a retiring allowance of \$5,000 that is eligible for rollover to his RRSP. His employer will report \$5,000 on his T4 slip in code 66. Although Samuel's available RRSP contribution room is \$2,000, he can rollover the full \$5,000 into his RRSP tax free.

Your employee may also ask you to transfer some or all of the **non-eligible** portion of the retiring allowance to their RRSP, SPP, or PRPP, or to their spouse's or common-law partner's RRSP or SPP. The part that you transfer cannot be more than the employee's available RRSP deduction limit for the year.

You do not have to deduct income tax on the amount of the eligible retiring allowance that is transferred directly to an employee's RRSP, SPP, or PRPP, or to an RPP on behalf of the employee. You also do not have to deduct income tax on any part of the retiring allowance that your employee

transfers to their spouse's or common-law partner's RRSP or SPP if you have reasonable grounds to believe your employee can deduct the RRSP contribution when filing their income tax and benefit return. For more information, see "RRSP contributions you withhold from remuneration" on page 30.

Example 1

In November 2025, you pay Bruno, your ex-employee, a retiring allowance of \$50,000. He worked for you from 1986 to 2025 (40 years, including part-years of service). He did not contribute to a pension plan or DPSP.

Calculate the amount of retiring allowance eligible for transfer as follows:

■ \$2,000 × 10 years (from 1986 to 1995, including part-years).....	\$20,000
plus	
■ \$1,500 × 3 years (from 1986 to 1988, including part-years).....	\$4,500
■ Total eligible for transfer.....	<u>\$24,500</u>

Note

You can no longer transfer \$2,000 per year of service to an RRSP, SPP, PRPP, or RPP for 1996 and later years.

Bruno is allowed to transfer \$24,500 directly into his RRSP, SPP, PRPP, or RPP with no tax deductions required.

The non-eligible amount of \$25,500 (\$50,000 – \$24,500), the difference between the allowance paid and the maximum eligible for transfer, could be transferred directly to Bruno's RRSP, SPP, or PRPP without tax deductions if he gives you a written statement saying that the amount is within his RRSP deduction limit.

Example 2

Colette is retiring. She is paid a retiring allowance of \$35,000 in recognition of long service, of which \$12,000 is **eligible** for transfer to her RRSP under paragraph 60(j.1) of the *Income Tax Act*. Colette wants you to transfer the total amount of the eligible retiring allowance (\$12,000) to her RRSP. She also requests that you transfer an additional \$11,000 to her RRSP and gives you a written statement indicating that her RRSP deduction limit is \$11,000.

You have to calculate the amount of remuneration that requires tax deductions at source as follows:

Retiring allowance	\$35,000
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Minus:

■ eligible amount of retiring allowance for transfer to an RRSP	\$12,000
■ transfer to the RRSP based on Colette's deduction limit: non-eligible amount of retiring allowance for transfer to an RRSP	\$11,000
	<u>\$23,000</u>

Remuneration that requires tax deductions at source.....	<u>\$12,000</u>
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You do **not** need a letter of authority from the CRA to reduce the tax withheld from the amounts of the payment

that were transferred to Colette's RRSP because she gave you a written statement.

For more information about what qualifies as a retiring allowance, the codes to use to report them on a T4 slip and what you should do if you pay it to a non-resident of Canada, see the following publications:

- Folio S2-F1-C2, *Retiring Allowances*
- canada.ca/payroll-file, and select "Fill out slips and summaries"
- canada.ca/cra-rendering-services-canada
- Publication T4145, *Electing Under Section 217 of the Income Tax Act*

Salary deferrals

A salary deferral is a plan or arrangement made between an employee and an employer. Under such an arrangement, an employee postpones receiving salary and wages to a later year. The amount postponed is called the "deferred amount."

Non-prescribed plans or arrangements

If the arrangement is not a prescribed plan (see the following section), treat the deferred salary and wages as employment income in the year in which the employee **earns** the amount. Report it on the employee's T4 slip for the year earned. Deduct CPP contributions, EI premiums, and income tax in the usual way.

Prescribed plans or arrangements

Salary and wages that are deferred under prescribed plans or arrangements are not covered by the preceding salary-deferral rules. Treat the deferred amounts in these cases as employment income in the year in which the employee **receives** them. Report it on the employee's T4 slip for the year it is received.

To find out how to report pension adjustments under these circumstances, go to canada.ca/cra-pension-adjustment-calculation.

If you have employees who participate in a prescribed plan, deduct CPP contributions, EI premiums, and income tax as noted below.

Note

You have to deduct both CPP and EI from the interest income earned under these plans or arrangements.

CPP contributions

Deduct CPP contributions from **both** of the following:

- the participant's **net** salary (the salary minus the deferred amounts) while the person is working
- the deferred amounts when you pay them to the participant during the leave period

EI premiums

Deduct EI premiums from the participant's **gross** salary (including deferred amounts) while the person is working. Do not deduct more than the yearly maximum.

Do not deduct EI premiums when you pay these to the participant during the leave period.

Box 24 – EI insurable earnings – Enter the amount of insurable earnings on which you calculated the employee's EI premiums.

The EI premium for this income is based on the gross amount, while the amount reported in box 14 is the net amount. The insurable earnings cannot be the same as the amount in box 14.

Income tax

Deduct income tax from **both** of the following amounts:

- the participant's **net** salary (the salary minus the deferred amounts) while the person is working
- the deferred amounts when you pay them to the participant during the leave period

The interest income and other amounts earned by the deferred amount are employment income paid to the participant and must be reported in box 14 on the T4 slip.

Withdrawal from the prescribed plan

When a participant withdraws from the plan because they cease to be employed, you have to consider the withdrawal as employment income. Deduct CPP contributions and income tax, but not EI premiums.

Note

Custodians and trustees who administer prescribed plans have the same responsibilities as an employer for deducting and remitting deductions, and reporting the income and the deductions.

Vacation pay and public holidays

When you pay vacation pay, how you calculate deductions will depend on whether your employee takes holidays. When part of the pay period includes a public holiday (such as Christmas day) calculate deductions as you normally would.

The employee takes holidays

The following procedures apply when you pay vacation pay and your employee takes holidays.

Note

If your employee takes holidays but does not receive vacation pay at that time, see the next section "The employee does not take holidays."

CPP contributions

Deduct CPP contributions from vacation pay in the same way as you would from regular pay. Do not change the pay period table you normally use. Do not deduct more than the maximum employee contribution for the year.

EI premiums

Deduct EI premiums from vacation pay in the same way you would from regular pay. Do not deduct more than the maximum employee premium for the year.

Income tax

When you calculate the amount of income tax to deduct, use the tax table that applies to the period of vacation. For example, for one week of paid vacation, use the weekly tax deduction table. If your payroll is biweekly and the employee is paid one week of vacation pay and one week of regular pay, use the biweekly tables. If the employee is paid one week of vacation pay and the second week is unpaid, also use the biweekly tables.

The employee does not take holidays

The following procedures apply when you pay vacation pay and your employee does **not** take holidays.

CPP contributions

To deduct CPP contributions, use the bonus method we explained earlier in this chapter under the heading “Bonuses, retroactive pay increases, or irregular amounts” on page 32. Do not deduct more than the maximum employee contribution for the year.

EI premiums

Deduct EI premiums from vacation pay the same way you would as from regular pay. Do not deduct more than the maximum employee premium for the year.

Income tax

Use the bonus method we explained in “Bonuses, retroactive pay increases, or irregular amounts” on page 32.

Vacation pay trust

Include in the employee’s income any contributions you make to a trust for vacation credits that an employee earns in the year. Deduct CPP/QPP contributions, EI/QPIP premiums, and income tax from this amount as if you had paid the amount directly to the employee.

Wages in lieu of termination notice

When you pay an employee an amount in lieu of termination notice under the terms of an employment contract or federal, provincial, or territorial employment labour standards, the amount is considered employment income, whether or not it is paid on termination of the employment.

Deduct CPP contributions, EI premiums, and income tax. To determine the amounts to deduct, include the wages in lieu of termination notice with the regular income, if any, for the pay period.

Use the bonus method that we explained on page 32 under “Bonuses, retroactive pay increases, or irregular amounts” to determine the amount of tax to deduct from the wages in lieu of termination notice.

For more information, see archived Interpretation Bulletin IT-365, *Damages, Settlements and Similar Receipts*.

Wage-loss replacement plans

A wage-loss replacement plan (WLRP) is an arrangement between an employer and employees, or an employer and a group, or association of employees. A WLRP may provide

short-term disability (STD), long-term disability (LTD), or weekly indemnity (WI) benefits. The benefits may be paid by the employer, or by an insurance company, trustee, board of trustees, or other independent organization.

A plan is a wage-loss replacement plan when **all** of the following conditions are met:

- it is a group plan, in that it covers more than one employee
- the plan is funded, in whole, or in part, by the employer
- the purpose of the plan is to indemnify employees against a loss of employment income as a result of sickness, accident, or maternity
- benefits are paid on a periodic basis, not as a lump-sum
- it follows insurance principles that funds are accumulated, normally in the hands of a trustee or in a trust account, and are calculated to be sufficient to meet anticipated claims

If the plan is not a group plan (that is, it is for a single employee), or if the plan is funded entirely by employee contributions (an employee-pay-all plan), it is not a WLRP. Any premiums you pay **may** be a taxable benefit. For more information, see the following:

- canada.ca/taxable-benefit
- Archived Interpretation Bulletin IT-428, *Wage-loss Replacement Plans*
- canada.ca/cra-income-maintenance-plans

CPP contributions and EI premiums

Deduct CPP contributions and EI premiums from wage-loss replacement plan benefit payments when one of the following applies:

- the employer pays benefits directly to an employee from a wage-loss replacement plan where the employer funds any part of the plan
- a trustee, board of trustees or insurance company pays benefits on behalf of the employer to an employee through a wage-loss replacement plan, when the employer does **all** of the following:
 - funds any part of the plan
 - exercises a degree of control over the plan
 - directly or indirectly determines the eligibility for benefits

Do not deduct CPP contributions and EI premiums from wage-loss replacement plan benefit payments when the employer does one of the following:

- does not exercise a degree of control over the plan
- does not directly or indirectly determine the eligibility for benefits

Note

For more information, including an explanation of what is meant by “funds any part of the plan,” “exercises a degree of control over the plan,” and “directly or indirectly determines the eligibility for benefits,” go to canada.ca

/cpp-ei-explained and select “Wage-loss replacement plans.”

Income tax and reporting

You have to withhold income tax from all wage-loss replacement plan benefits. If you also have to deduct CPP and EI, report the income and deductions on a T4 slip. If you do not have to deduct CPP and EI, report the income and deductions on a T4A slip.

Workers’ compensation claims

When an employee cannot work because of an employment-related injury, a workers’ compensation board (WCB) may award benefits as compensation for lost wages. An employer may continue to pay an employee their regular wages or an advance or loan, before or after a claim is decided. There are two withholding and reporting policies for these types of payments. The one you choose will depend on the wording in the employee’s collective agreement or employment contract and how you manage the payments you make to your employee.

The two policies are:

- regular salary paid to an employee
- advances or loans paid to an employee

Both policies apply to:

- **self-insured employers** who are directly liable for the cost of amounts that the workers’ compensation board awards to employees
- **regular employers** who are not directly liable for the cost of amounts that the workers’ compensation board awards to employees

Approved claims

Regular salary paid to an employee

An employer may continue to pay an injured employee who is on a work-related leave of absence. If the employee’s agreement or contract does not refer to a workers’ compensation board, then the employer should treat the payments as regular salary. The employer would deduct CPP contributions, EI premiums, and income tax as applicable. The earnings and deductions would be reported on the employee’s T4 slip at the end of the year in the usual way.

An employer who continues to pay an employee’s regular salary before and after a workers’ compensation board claim is decided **cannot** retroactively reduce earnings in the current year or amend a previous-year T4 slip and call the earnings workers’ compensation benefits. As a result, the employee has to report, in the year it is received, the salary they receive before and after a workers’ compensation board claim is decided.

Note

An employer cannot recover their share of the CPP and EI contributions since they cannot change the T4 slips or current-year payroll records

Example

John is injured at work on July 1st, 2023. He continues to be paid his regular wages until February 3, 2025, when the

workers’ compensation board reimburses the employer the amount of his claim.

Results

- All wages paid in 2023, 2024, and 2025, along with the CPP contributions, EI premiums, and income tax withheld, have to be reported on a T4 slip for each of the years. John will report the T4 amounts on his income tax and benefit return for each year
- In 2025, the year the claim was paid, the employer **cannot** adjust box 14, “Employment income,” on the T4 slip or reduce the CPP contributions, EI premiums, and income tax withheld in 2023, 2024, or 2025
- When filling out the T4 slip for 2025, the employer will enter code 77 in the “Other information” area at the bottom of the slip, and report the total amount reimbursed to the employer by the workers’ compensation board for the three years
- When John files his 2025 income tax and benefit return, he will claim the amount reported under code 77 as a deduction for other employment expenses (repayment of salary or wages)
- If there is any unused amount and John does not have other types of income in 2025, this amount may become a **non-capital loss**

Top-up amount

A top-up is an amount you pay your employee after a claim is decided that is **in addition to** the benefits paid by a workers’ compensation board.

Exclude a top-up amount (even if it is paid as sick leave) from insurable earnings if you pay it after the workers’ compensation board accepts the claim. However, you must deduct CPP contributions and income tax from the top-up amount, and you have to report it on a T4 slip at year-end.

An amount you pay in addition to an advance or loan is not a top-up amount if you pay it while waiting for a decision on a workers’ compensation board claim. This amount is considered to be employment income from which you have to deduct CPP contributions, EI premiums, and income tax.

The T4 slip and T5007 slip, Statement of Benefits

In the year that the workers’ compensation claim is **reimbursed to you**, the employee should also receive a T5007 slip from the workers’ compensation board. Generally, tax is not paid on the workers’ compensation benefits, however the employee has to report the amount shown on the T5007 slip as income on their income tax and benefit return for that year and claim the corresponding deduction.

For the employee to also deduct all or part of the reimbursed worker’s compensation as “other employment expenses” on their income tax and benefit return, you have to fill out a T4 slip for the year in which you receive the reimbursement. Enter the amount of the reimbursed workers’ compensation in the “Other information” area, under code 77. Code 77 should only be used in situations where:

- you previously paid the employee the worker's compensation amount and reported it as employment income on the employee's T4 slip
- you have now been reimbursed by the WCB for the worker's compensation amount you paid to the employee

If the award is used only to offset loans and advances, **do not** report this amount on the employee's T4 slip.

Note

The amount of reimbursement that a self-insured employer should enter under code 77 will be the amount of approved WCB benefits shown in the letter or statement the employer received from the WCB.

Advances or loans paid to an employee

An employer may continue to pay an injured employee while the employee is off work. If there is wording in the employee's collective agreement that link the payments to a workers' compensation board decision, then the employer can treat them as an advance or loan. For example, an agreement may say an employee shall be granted injury-on-duty leave with pay for the time approved by the provincial workers' compensation board.

Advances or loans made to an employee that are equivalent to an anticipated workers' compensation award will not be treated as employment income. As a result, you do not have to deduct CPP contributions, EI premiums, or income tax on this amount. It is not reported on a T4 slip at year-end, and code 77 does not apply.

Note

We do not consider interest that accumulates on advances or loans while waiting for a claim decision to be a taxable benefit.

Example

Mary is injured on April 2, 2024, and is away from work until June 5, 2025. Her employment contract states that her employer will pay an amount equal to her regular net pay. The amount Mary receives as an advance based on her regular net pay, is more than the anticipated benefits that will be awarded by the worker's compensation board.

Results

- The amount of the advance that is equal to the benefits awarded by the workers' compensation board is not employment income. As a result, Mary's employer will not have to deduct CPP contributions, EI premiums, or income tax from this amount
- However, the amount Mary's employer pays in addition to the advance, while waiting for a decision, is employment income in the year it is paid and the employer has to deduct CPP contributions, EI premiums, and income tax
- In 2025, when the claim is paid, Mary's employer has to offset the amount reimbursed by the workers' compensation board against the advances made to her. The employer does this in the following way:
 - If the amounts are equal, no amount will be recorded in the "Other information" area of the T4 slip

- If the advances are more than the amount reimbursed, the difference is employment income. Mary's employer has to report this income on a T4 slip with
- CPP contributions, EI premiums, and income tax withheld. No entry is needed in the "Other information" area
- If, after the claim is paid by the workers' compensation board, Mary's employer continues to pay an amount in addition to the workers' compensation benefit, this amount is considered to be a top-up amount and the employer has to deduct CPP contributions and income tax but **no** EI premiums. It will be reported on a T4 slip in the year paid
- If the claim is denied, the part of the advance that Mary does not repay becomes employment income in the year the claim is denied. Mary's employer has to report the amount of the advance on a T4 slip with CPP contributions, EI premiums, and income tax withheld. If Mary repays the advance, her employer does not have to report the amount on a T4 slip. The amount of the advance is not reported in the "Other information" area under code 77 of the T4 slip, because it was never included in income

Adjustment period for new workers' compensation claims

In many cases, an employer prepares payroll cheques in advance. As a result, it may not always be possible to place an employee on a loan or advance system right after they file a claim. If this happens, we allow you a reasonable period (normally one pay period) to adjust the payroll records to an advance or a loan basis.

Denied claims

Regular employment income paid to an employee

If you included an amount in the employee's employment income in a previous year, the worker's compensation board denies the claim and the employee does not have to repay the employer, you do not have to withhold or report anything else.

If, on the other hand, the employee has to repay the employer when the claim is denied, then any repayments should be handled in the way discussed under "Employee did not perform duties" under the section "Salary overpayments" in chapter 6 of Guide RC4120, *Employers' Guide Filing the T4 Slip and Summary*.

Advances or loans paid to an employee

Normally, advances or loans are offset or repaid when a claim is paid by the workers' compensation board. You do **not** have to report the advances or loans paid to the employee on their T4 slip. However, if the workers' compensation board denies a claim, and the advance or loan is not repaid in the year the claim is settled, we consider the employee to have received a benefit from employment in the year that the claim is denied. The amount of the loan or advance has to be reported on a T4 slip with CPP contributions, EI premiums, and income tax withheld.

If the claim is denied and you use the employee's sick leave credits to repay the loan, this amount has to be reported on a T4 slip with CPP contributions, EI premiums, and income tax withheld.

If income tax deductions cause undue hardship to the employee, they can contact any tax services office to ask for a letter of authority. The letter will let you deduct less tax.

Advances by a third party

If an insurance company pays an employee an amount equivalent to their regular salary, the insurer will issue a T4A slip. If the payments are later repaid by the workers' compensation board or by the employee to the insurance company, the insurance company will issue, for the year of the repayment, a receipt or a letter to the employee. This will let the employee claim a deduction for the repayment of this amount on their income tax and benefit return.

Commission des normes, de l'équité, de la santé et de la sécurité du travail (CNESST)

In Quebec, workers' compensation benefits are administered by the CNESST. Employers in Quebec still have to follow the instructions for the federal requirements. For more information on Quebec's requirements for the CNESST, see Guide TP-1015.G-V, *Guide for Employers: Source Deductions and Contributions*, which you can get from Revenu Québec (see page 6).

Chapter 7 – Special situations

Barbers and hairdressers, taxi drivers and drivers of other passenger-carrying vehicles

If these workers are **your employees**, you have to deduct Canada Pension Plan (CPP) contributions, employment insurance (EI) premiums, and income tax as you would for regular employees.

When the workers have an interruption in earnings, you generally have five calendar days after the end of the pay period in which an employee's interruption of earnings occurs to issue an electronic Record of Employment (ROE).

Note

A different deadline may apply if you file the ROE on paper.

If these workers are **not your employees**, the following special rules apply and you have to report the gross earnings of barbers and hairdressers, taxi drivers, and drivers of other passenger-carrying vehicles on their T4 slip. For reporting instructions, go to canada.ca/t4-information-employers.

Barbers and hairdressers

This class of workers is restricted to barbers or hairdressers who provide their services in an establishment that offers barbering and hairdressing services.

CPP contributions and income tax

For CPP and income tax purposes, we consider individuals who are not employed under a contract of service to be self-employed. They are responsible for paying their CPP contributions and income tax when they file their income tax and benefit returns. Do not deduct CPP or income tax from these workers.

EI premiums

Under a *special EI regulation*, the owner, proprietor, or operator of the barbershop, or hairdressing business is considered to be the employer of the individuals who perform services as a barber or hairdresser in connection with the establishment, even if the individuals are not employed under a contract of service.

If you own or operate the business, you have to pay both the worker's share and your share of EI premiums. The worker's insurable earnings are calculated based on the net revenue. The worker's insurable earnings are used to determine the worker's share of EI premiums.

There are two ways to determine the insurable earnings for a week, depending on whether you know the worker's actual weekly earnings and expenses:

- a) If you **know** how much the worker earned in a pay period and the expenses incurred in generating revenue from the worker's operation in the establishment, the amount of the individual's insurable earnings is the total actual earnings (net revenue) from the individual's employment for the pay period up to the maximum annual insurable earnings.
- b) If you **do not know** how much the worker earned and/or the expenses the worker incurred in generating revenue from their operation in the establishment during a pay period, the amount of insurable earnings is the lesser of:
 - the number of days worked in the week multiplied by 1/390 of the maximum of the annual insurable earnings
 - 1/78 of the maximum of the annual insurable earnings

For more information, go to canada.ca/cpp-ei-explained and select "Barbers and hairdressers."

Taxi drivers and drivers of other passenger-carrying vehicles

Drivers who are not employed under a contract of service may be in insurable employment. At the taxi industry's request, a special EI regulation was created to protect taxi and passenger-carrying vehicle drivers who are not employees.

The regulation was created because these workers often go through periods without work. The regulation applies to drivers who meet **both** of the following conditions:

- do not own more than 50% of the vehicle
- do not own or operate a business

The earnings of these workers are insurable even though they are not employees. We consider the company for

which the drivers are providing driving services to be a deemed employer for EI purposes. Drivers who do not satisfy these conditions do not qualify under this regulation, so their employment is **not** insurable.

A driver is considered to be the owner/operator if they meet **both** of the following conditions:

- the driver is in a position to gain a profit or risk a loss from operating the taxi business
- the driver has the right to operate a taxicab

CPP contributions and income tax

For CPP and income tax purposes, we consider individuals who are not employed under a contract of service to be self-employed. They are responsible for paying their CPP contributions and income tax when they file their income tax and benefit returns.

Do not deduct CPP or income tax from these workers.

EI premiums

If you are the deemed employer, you have to pay both the driver's share and your share of EI premiums. The driver's insurable earnings are calculated based on the net revenue.

There are two ways to determine the insurable earnings for a week, depending on whether or not you know the driver's actual earnings and expenses:

- a) If you **know** how much the driver earned in a week and the expenses the driver incurred while operating the vehicle, calculate the insurable earnings as the difference between the two amounts up to the maximum annual insurable earnings.
- b) If you **do not know** how much the driver earned in a week or the expenses the driver incurred while operating the vehicle, the amount of insurable earnings is the lesser of:
 - the number of days worked in the week multiplied by 1/390 of the maximum of the annual insurable earnings
 - 1/78 of the maximum of the annual insurable earnings

Emergency services volunteers

Under the *Income Tax Act*, a government, municipality, or public authority may exclude up to \$1,000 from amounts paid to any of the following individuals:

- volunteer firefighters
- volunteer ambulance technicians
- emergency service volunteers who help in the search or rescue of individuals, or in other emergency situations and disasters

The \$1,000 exemption only applies if the amount paid for the duties that the individual performs is a nominal amount compared with what it would have cost in the same circumstances to have the same duties performed by a regular full-time or part-time individual.

The \$1,000 exemption does not apply if the individual was employed in the year by the **same** public authority for the same or similar duties (such as a full-time firefighter who, from time to time, acts as a volunteer firefighter or rescue worker for their employer).

Report the exempt amount (up to \$1,000) using code 87 in the "Other information" area of the T4 slip. Do **not** report the exempt amount in box 14.

Note

Individuals who receive a T4 slip with an exempt amount reported under code 87 may also qualify for the volunteer firefighters' tax credit or the search and rescue volunteers' tax credit. When eligible individuals file their income tax and benefit return they can choose to either receive an income exemption or claim a tax credit. For more information, go to canada.ca/volunteer-firefighters-amount.

Rules for CPP contributions, EI premiums, and income tax deductions

Amounts received by volunteers are treated differently under the *Canada Pension Plan*, the *Employment Insurance Act*, and the *Income Tax Act*.

CPP contributions

The EI conditions below also apply for CPP purposes. However, if the individual qualifies for the exemption for income tax purposes, the employer should deduct CPP contributions only on the amount that is more than \$1,000. If the individual does not qualify for the exemption, deduct CPP contributions on the **total** amount paid.

EI premiums

Even if an individual is considered to be a volunteer for income tax purposes, the amount received (including the amount of the exemption up to the maximum of \$1,000) is **insurable** if the individual meets **all** of the following conditions:

- receives an hourly wage, salary, or other fixed amount of remuneration
- adheres to a regular work schedule
- is available and obligated to intervene when an emergency (such as a fire) occurs during the schedule their employer set. However, if the individual must be available during the fixed work schedule, but they are not obligated to intervene when the emergency occurs, the amount the individual receives is not insurable

For more information on when employment of a person who participates in rescue operations or abating a disaster is pensionable or insurable, go to canada.ca/cpp-ei-explained and select "Rescue operations/ Abating a disaster."

Income tax

If the individual qualifies for the exemption, there is no income tax to pay on the first \$1,000 that they receive. Deduct income tax only on the amount that is more than \$1,000. However, if the individual does not qualify for the exemption, deduct income tax on the **total** amount paid.

Employees of a temporary-help service firm

You may be the proprietor of a temporary-help service firm. Temporary-help service firms are service contractors who provide their employees to clients for assignments. The assignments may be temporary, depending on the clients' needs.

Workers of these firms are usually employees of the firms. As a result, you have to deduct CPP contributions, EI premiums, and income tax from the amounts you pay them. You also have to remit these deductions and report the income and the deductions on a T4 slip.

If you or a person working for you is not sure of the worker's employment status, either one of you can request a ruling to determine the status. If you are a business owner, you can use the "Request a CPP/EI ruling" service in My Business Account. For more information, go to canada.ca/cra-sign-in-services.

A worker can ask for a ruling by using the My Account service, at canada.ca/cra-sign-in-services and selecting "Submit documents" and then "You may be able to submit documents without a case or reference number."

You can also use Form CPT1, *Request for a CPP/EI Ruling – Employee or Self-Employed*, and send it to your tax services office.

For more information, go to canada.ca/cpp-ei-rulings.

Employing a caregiver, baby-sitter, or domestic worker

If you hire a caregiver, baby-sitter, or domestic worker, you may be considered to be the employer of that person. As an employer, you have responsibilities in the employment relationship between you and the person.

When are you considered to be an employer

You are considered to be an employer when all of the following apply to you:

- hire a person
- establish regular working hours (for example, 9 a.m. to 5 p.m.)
- assign and supervise the tasks performed

If you or a person working for you is not sure of the worker's employment status, either one of you can request a ruling to determine the status. If you are a business owner, you can use the "Request a CPP/EI ruling" service in My Business Account. For more information, go to canada.ca/cra-sign-in-services.

A worker can ask for a ruling by using the My Account service at canada.ca/cra-sign-in-services and selecting "Submit documents" and then "You may be able to submit documents without a case or reference number."

You can also use Form CPT1, *Request for a CPP/EI Ruling – Employee or Self-Employed*, and send it to your tax services office.

For more information, go to canada.ca/cpp-ei-rulings.

To find out what your responsibilities are as an employer, see page 7.

Employment in Canada by certified non-resident employers

There is an exception to the withholding tax obligation for qualifying non-resident employers (who are certified by the CRA and who continue to meet certain conditions) when they pay amounts to non-resident employees for performing the duties of an office or employment in Canada. In other words, a qualifying non-resident employer paying a qualifying non-resident employee working in Canada will not be required to withhold and remit any amount of tax to the CRA. For more information about the certification process or your obligations as a qualifying non-resident employer, go to canada.ca/cra-rendering-services-canada and select "Non-resident employer certification."

Employment outside Canada

CPP contributions

If you are a Canadian employer and you hire someone to work for you outside Canada, you should deduct CPP contributions if one of the following applies to you:

- the employee usually reports for work at your place of business in Canada
- the employee is a Canadian resident and is paid from your place of business in Canada

If the employment does not meet either of these conditions, the employment outside Canada is not pensionable. Do not deduct CPP from the employee's remuneration.

You have the option of extending CPP coverage for your employees and deducting contributions from employment outside Canada that is not usually pensionable employment if the conditions on Form CPT8, *Application and Undertaking to Cover Employment Outside Canada Under the Canada Pension Plan*, are met. To extend coverage, fill out Form CPT8, and send two copies to your tax services office.

Note

Do not use Form CPT8 if Canada has a reciprocal social security agreement with the country of employment. A list of countries with which Canada has an agreement is found on page 56.

For more information on when employment outside Canada is pensionable or insurable, go to canada.ca/cpp-ei-explained and select "Employment outside Canada."

EI premiums

You have to deduct EI premiums from employment income an employee earns outside or partly outside Canada if **all** of these conditions apply:

- you, as the employer, reside in Canada or have a place of business in Canada
- the employee usually resides in Canada
- the employment is not insurable in the country where it is performed

- the employment is not excluded from insurable employment for any other reason

Income tax

If an employee performs services for you outside Canada, you may have to deduct income tax from that employee's remuneration. The employee may be entitled to a foreign tax credit in Canada for taxes paid in the foreign jurisdiction. If so, the employee can request a letter of authority (see page 30). If you are not sure if you should deduct income tax, go to canada.ca/cra-contact.

Note

Special deduction rules apply to employment on ships, trains, trucks, and aircraft. To find out more about these rules, send a written request to the CPP/EI Rulings Division of your tax services office. The addresses of our tax services offices and tax centres are available at canada.ca/cra-offices.

Global Affairs Canada

You may be paying an employee for services under a Global Affairs program (formerly with the Canadian International Development Agency). If you are not sure about deducting income tax from that employee's remuneration, go to canada.ca/cra-contact.

Fishers and employment insurance

Special rules apply to self-employed fishers. For information, go to canada.ca/taxes-payroll-fishers-ei.

Indian employees

The CRA recognizes that many First Nations people in Canada prefer not to describe themselves as Indians. However, the CRA uses the term "Indian" because it has a legal meaning in the *Indian Act*.

The following information will help you determine which deductions you have to make for Indians.

Definitions

Indian

An Indian is a person who is registered or entitled to be registered as an Indian under the *Indian Act*.

Reserve

The term "reserve" is defined under the *Indian Act* and, for the purposes of this guide, includes all settlements given reserve-like treatment for tax purposes under the Indian Settlements Remission Order. It also includes any other areas that are treated similarly under federal laws such as Category I-A lands under the *Cree-Naskapi (of Quebec) Act*.

Note

Disputed lands does not meet the definition of a reserve under the *Indian Act*.

Indian living on a reserve

This means an Indian who lives on a reserve in a domestic establishment that is their principal place of residence and that is the centre of their daily routine.

Employer resident on a reserve

When an employer is resident on a reserve, the reserve is the place where the central management and control over the employer organization is actually located.

Note

We usually consider a group that performs the function of board of directors of an organization as exercising the central management and control of an organization. However, it may be that some other person or group manages and controls the organization. Generally, a person or group manages and controls an organization at the principal place of business. However, this activity can occur in a place other than the principal administrative office of the organization. It is a question of fact as to where the central management and control is exercised.

Guidelines

Following the Supreme Court of Canada decision in the *Glenn Williams v Canada* case, we developed guidelines to help you determine a tax exemption that applies to an Indians's employment income. These guidelines do not reflect a change in tax policy. They deal only with determining a tax exemption under the *Indian Act* following the Supreme Court decision. As a result of the Williams decision, you have to examine all factors connecting income to a reserve to determine if income was earned on a reserve and is tax-exempt.

When you apply all the connecting factors, be aware of unusual or exceptional circumstances such as these:

- the income may not be taxable even though it does not fall within one of the guidelines
- the income may be taxable even though it appears to fall within one of the guidelines

If you have any questions about a particular situation, go to canada.ca/cra-contact.

Form TD1-IN, *Determination of Exemption of an Indian's Employment Income*, will help you decide what type of exemption might apply to an Indian's employment income according to the *Indian Act Exemption for Employment Income Guidelines*. Keep a completed form on file for each employee in case we ask to review it.

Taxable salary or wages paid to Indians

CPP contributions, EI premiums, and income tax

If you are an employer paying taxable salary or wages to an Indian, you have to deduct CPP contributions, EI premiums, and income tax.

Note

If you paid a retiring allowance to an Indian, see "Retiring allowances" on page 37.

Non-taxable salary or wages paid to Indians

Canada Pension Plan

The employment of an Indian whose income is exempt from tax is excluded from pensionable employment. Therefore, if you are an employer paying non-taxable salary

or wages to an Indian, you do not have to deduct CPP contributions.

Application for coverage under CPP

Although you do not have to deduct CPP from non-taxable income you pay to an Indian, you can choose to provide your Indian employees with optional CPP coverage. You can elect to do this by filling out and filing Form CPT124, *Application to Cover the Employment of an Indian in Canada Under the Canada Pension Plan Whose Income is Exempt Under the Income Tax Act*. However, you cannot revoke this election **and** you have to cover all employees.

Coverage under the CPP starts on either the date you sign the application or on a later date that you specify. It cannot be retroactive to a date before the date you signed the application.

For more information, go to canada.ca/cpp-ei-explained and select “Indian workers and the Canada Pension Plan.”

Employment insurance

You have to deduct EI premiums from the non-taxable salary or wages you pay to an Indian.

Note

EI benefits, retiring allowances, CPP payments, registered pension plan benefits, or wage-loss replacement plan benefits will usually be exempt from income tax when they are received as a result of employment income that was exempt from tax. If a part of the employment income was exempt, then a similar part of these amounts will be exempt.

For more information about the *Indian Act Exemption for Employment Income Guidelines* and the different registration dates, go to canada.ca/taxes-benefits-indigenous.

Placement and employment agency workers

The following guidelines apply to placement or employment agencies that hire workers:

- a) An agency that hires employees (even if they are located at a client’s premises) has to deduct CPP contributions, EI premiums, and income tax from amounts they pay to these employees. The agency also has to report these amounts on a T4 slip.
- b) When an agency places workers in an employment under the direction and control of a client of the agency and the agency pays the worker, the agency has to deduct CPP contributions and EI premiums, but not income tax. The agency has to prepare a T4 slip for the worker.
- c) When an agency places workers in an employment under the direction and control of a client of the agency and the client of the agency pays the worker, the client has to deduct CPP contributions and income tax but not EI premiums. The client has to prepare a T4 slip for the worker.
- d) An agency that hires a worker under a contract for services does not have to deduct CPP contributions, EI premiums, or income tax since the worker is self-employed. Neither the agency nor the client is

required to file a T4 slip. However, the agency may be required to file a T4A slip. For more information, go to canada.ca/t4a-information-payers, and select T4A slip.

The gross earnings of workers described in paragraphs b) and c) **must** be reported on their T4 slip. For reporting instructions, go to canada.ca/t4-information-employers.

For more information on the conditions required for employment of individuals placed by an agency to be pensionable or insurable, go to canada.ca/cpp-ei-explained and select “Placement/employment agencies.”

Seasonal agricultural workers program

Seasonal agricultural workers from foreign countries who are in regular and continuous employment in Canada must have CPP, EI, and income tax withheld in the same way as Canadian residents.

For program information, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/special-payments/workers-agriculture-agricultural-enterprise-horticulture.

Special or extra duty pay for police officers

Police forces regularly allow their police officers to provide security and other special or extra duty services to third parties for events.

We consider a third party that pays special or extra duty pay (SEDP) to police officers to be their employer. The third party has to do all of the following:

- withhold CPP contributions, EI premiums, and income tax from SEDP when the payment is made to a police officer
- remit these deductions to us
- report the SEDP and deductions on a T4 slip

However, we administratively allow the individual police forces, who are the regular employers of the police officers in question, the option to assume these responsibilities instead.

Note

If the police force does not assume the responsibility for withholding, remitting, and reporting, it is the third party’s responsibility to do this. In such a situation, the third party may have to put the police officer on payroll as a part-time employee.

Under the administrative option, the police force can take into account the CPP contributions and EI premiums previously deducted from the police officers regular salary and SEDP when determining the maximum CPP pensionable and EI insurable earnings for the year.

To determine how much income tax to deduct, the police force should use the method described under “Bonuses, retroactive pay increases, or irregular amounts” on page 32. The police force has to keep proper records in order to accurately deduct amounts from the SEDP and regular salary and

report these earnings and deductions on the police officer's T4 slip.

Police officers may be able to claim allowable expenses against SEDP income. For more information, go to canada.ca/taxable-benefit.

For more information, go to canada.ca/cpp-ei-explained and select "Police forces and extra duty."

Chapter 8 – Remitting payroll

Are you a new remitter

If you are a new employer or you have never remitted Canada Pension Plan (CPP) contributions, employment insurance (EI) premiums, or income tax deductions before, you must apply for a business number (BN) and register for a payroll program account with us, if you don't already have one. See Chapter 1 for registration and general information on your responsibilities. If you need help calculating or remitting your deductions, go to canada.ca/cra-contact.

Even if you do not have a payroll program account, you still have to send your remittance by the due date. Send your first remittance by mail to one of the National Verification and Collection Centres (NVCC) listed at the end of this guide.

Make the payment payable to the Receiver General, and include a letter stating the following information, as applicable:

- you are a new remitter or this is your first remittance
- the period the remittance covers
- you need to open a payroll program account
- your complete business name, address, and telephone number

The CRA will send you a remittance form in the mail after it registers your account for your next remittance. If you do not receive a form in time for your next remittance, send in your remittance as described above. In your letter, tell us that you did not receive your remittance form.

New employers are considered regular remitters. Send your remittance monthly unless the CRA tells you to remit using a different frequency. For more information, see the next section.

Remitter types and due dates

Remittance due dates are always based on when an employee is paid for their services (**payday**) rather than the pay period that the services are provided in. For example, if a pay period ends in January but the employee gets paid for this period in February, the remittance due date would be determined from the payday in February.

You can view remitting requirements through:

- My Business Account at canada.ca/cra-sign-in-services, if you are the business owner
- Represent a Client at canada.ca/cra-sign-in-services, if you are an authorized employee or representative

Download the CRA Business Tax Reminders mobile app to create custom reminders and alerts for key CRA due dates for instalment payments, returns, and remittances. For more information, go to canada.ca/cra-sign-in-services.

Note

All payments made after the due date are assessed a penalty calculated at graduated rates. For details, see page 12.

Average monthly withholding amount (AMWA)

We determine the type of remitter you are by adding up all the CPP, EI, and income tax you had to send us for your payroll program accounts two calendar years ago. We divide the total by the number of months in that year (maximum 12) that you had to make payments in. For example, if you made two monthly remittances totalling \$120,000 in 2023, your AMWA for 2025 would be \$60,000 (\$120,000 divided by 2), and you would be a Threshold 1 accelerated remitter. If your remitter type changes based on our calculations, we will inform you in writing, usually in December, of when we have to receive your remittances for the following year.

Quarterly remitting for new small employers

If you are an eligible new small employer who will pay remuneration for the first time, you have the option to remit your payroll deductions quarterly (once every three months) instead of monthly for the first year.

You will be eligible if you meet both of the following conditions:

- your monthly withholding amount (MWA) is less than \$1,000
- you have a perfect compliance history

Your MWA is the total of the CPP, EI, and income tax deductions plus your share of CPP and EI for the month that you will remit to the CRA.

Your MWA will be less than \$1,000 if, for example, you have one employee earning an annual salary of \$30,000. However, if you have two employees each earning an annual salary of \$30,000, your MWA will be more than \$1,000.

A perfect compliance history means that, over a 12-month period you have done all of the following:

- made all deductions and remittances of CPP contributions, EI premiums and income tax on time
- paid the goods and services tax/harmonized sales tax (GST/HST) on time
- filed your T4 information returns and your GST/HST returns on time

You do not have to apply to remit quarterly. With the information you gave when you registered for your payroll program account, the CRA will determine if you qualify to remit quarterly. If you are eligible, we will tell you on your first remittance voucher, Form PD7A. As there may be a delay between registering and receiving your Form PD7A, you can send in your remittance quarterly if you meet the conditions listed above. If you are not sure, send your

remittances in monthly until we tell you, on your Form PD7A, that you are eligible for quarterly remitting. For more information about monthly remitting, see “Regular remitter” on page 49.

If you are eligible, and choose to remit quarterly, we have to **receive** your deductions on or before the 15th day of the month immediately following the end of each quarter. The quarters are:

- January to March
- April to June
- July to September
- October to December

The due dates are April 15, July 15, October 15, and January 15.

The CRA will review your MWA and compliance history after each quarter. If you no longer meet either of these conditions, you will have to remit monthly starting with the month after the end of the quarter in which the condition was not met. See examples below. To regain your quarterly remitting privilege, you will have to meet the requirements stated under “Quarterly remitter” on page 49.

Example 1 – MWA condition is not met

Zach’s Auto Repairs has a MWA of \$500 for January, \$1,500 for February, and \$1,500 for March. The employer’s quarterly remittance of \$3,500 is due by April 15. Because the MWA for February and March was \$1,000 or more, the employer will have to remit monthly beginning with their MWA for the month of April, which is due by May 15.

Example 2 – Perfect compliance history condition is not met

ABC Construction has a MWA of \$500 for each of the months January, February and March. If April 16 is a Saturday, Monday April 18 is a public holiday recognized by the CRA, and the employer remits their quarterly remittance of \$1,500 after April 19, the remittance is considered late. Because the failure happened in April, ABC Construction may make their quarterly remittance for April, May and June by July 15. However, the company will have to remit monthly beginning with their MWA for the month of July, which is due by August 15.

Regular remitter

If you are a new employer, or your AMWA two years ago was less than \$25,000, you are a regular remitter and have to remit your deductions so we **receive** them on or before the 15th day of the month following the month in which you made the deductions.

Note

We consider a remittance that was due on January 15 of the current year (for deductions you made in December of the previous year) to be late if it is paid with the previous year’s T4 information return, and this return is filed after January 15.

Quarterly remitter

Small employers who have had their payroll account for at least a year have the option of remitting source deductions quarterly, which means once every three months.

To qualify for quarterly remitting, you have to have both of the following:

- an AMWA of less than \$3,000 in either the first or the second preceding calendar year
- a perfect compliance history

Note

We consider you to have a perfect compliance history when, over a 12-month period, you made all deductions and remittances of CPP contributions, EI premiums, and income tax on time, you paid the GST/HST on time, and you filed T4 type information returns and GST/HST returns on time.

You do not have to apply to remit quarterly. If you are a new eligible employer, we will notify you by mail that you have the option to remit quarterly, and we will give you more information on quarterly remitting. If you remain eligible to remit quarterly from one year to the next, we will not re-notify you by letter. If you are currently an eligible quarterly remitter, and you have not been notified to the contrary, continue to remit quarterly.

The quarters are January to March, April to June, July to September, and October to December. We have to **receive** your deductions on or before the 15th day of the month immediately following the end of each quarter. The due dates are April 15, July 15, October 15, and January 15.

Notes

We conduct an annual review to identify employers who qualify to be quarterly remitters. However, if at any time after 12 months of business you believe you have met the above qualifications, go to canada.ca/cra-contact and apply to remit quarterly.

If you fail to comply with all the requirements, you will no longer be able to remit quarterly. To regain the privilege, you have to re-establish a 12 months perfect compliance history. Also, if you have multiple payroll program accounts, you must meet the perfect compliance requirements for all accounts. If one payroll program account does not, you will lose your quarterly remitting privilege for all accounts.

Accelerated remitter

There are two groups of accelerated remitters called threshold 1 and threshold 2.

Threshold 1

This group consists of employers, including those with associated corporations, who had a total AMWA of \$25,000 to \$99,999.99 two calendar years ago.

Amounts you deduct from remuneration paid in the first 15 days of the month have to be **received** by the 25th of the same month. Amounts you deduct from the 16th to the end of the month have to be **received** by the 10th day of the following month.

Threshold 2

This group consists of employers, including those with associated corporations, who had a total AMWA of \$100,000 or more two calendar years ago.

Amounts you deduct from remuneration you pay any time during the month must be **received** by your Canadian financial institution no later than the third working day (not counting Saturdays, Sundays, or public holidays) after the end of the following periods:

- from the 1st through the 7th day of the month
- from the 8th through the 14th day of the month
- from the 15th through the 21st day of the month
- from the 22nd through the last day of the month

Large employers with an AMWA of \$100,000 or more have to pay their remittances at a financial institution. All payments that we receive at least **one full day before** the due date will be considered as having been made at a financial institution, so no penalty will be charged. Payments made **on** the due date but not at a financial institution can be charged a penalty of 3% of the amount due.

All payments made **after** the due date can be charged a penalty calculated at graduated rates and interest. For details, see page 12.

Threshold 1 and Threshold 2 accelerated remitters are considered to be monthly accelerated remitters if they have a payroll frequency of only once a month.

Associated corporations

If a corporation is associated with one or more corporations in the current year, and the total AMWA of all the associated corporations was \$25,000 or more, two calendar years ago, we consider **all** the associated corporations to be accelerated remitters. Associated corporations are defined in the *Income Tax Act*.

Remittance frequency

Accelerated remitter employers have the option of changing their remitting frequency based on their AMWA in the immediate preceding calendar year. If you choose this option, go to canada.ca/cra-contact. We will review your account and let you know in writing when we have to receive your deductions.

Payment on Filing

When filing your T4 information return, you may be eligible to use a new remittance procedure, called Payment on Filing, to make a reconciliation payment on or before the last day of February without being subject to a penalty or interest.

To be eligible, you must meet the following three conditions:

- the reconciliation payment must be less than 1% of your total annual remittances

- you must have a perfect payroll compliance history for the related tax year
- at least one of the following situations applies:
 - you have employees who are paid stock-based remuneration
 - you rely on third-party information for insurance, health benefits, broker information, taxable benefits, or automobile fleet mileage
 - you have employees that reside in other tax jurisdictions

For more information on eligibility and how to make a Payment on Filing reconciliation payment, go to canada.ca/payroll-remit and select “How to remit.”

What if your remittance due date falls on a Saturday, Sunday, or public holiday

When a due date falls on a Saturday, Sunday, or public holiday recognized by the CRA, your payment is considered on time if the CRA receives it on or it is processed at a Canadian financial institution on or before the next business day.

For more information, go to canada.ca/cra-remit-due-date.

Remittance forms

To make your current remittance, you must use the remittance voucher found in one of the following forms:

- Form PD7A, *Statement of account for current source deductions*, for regular and quarterly remitters
- Form PD7A(TM), *Statement of account for current source deductions*, or Form PD7A-RB, *Remittance voucher for current source deductions*, for accelerated remitters

Fill out your remittance voucher correctly so we can apply your remittance to your account.

Note

If you receive a notice of assessment that says you have an amount owing, use only the remittance form **attached to the notice** to make that payment.

Form PD7A

We will send Form PD7A, *Statement of account for current source deductions*, to each eligible regular and quarterly remitter to remit deductions. We no longer mail paper Forms PD7A to you if you pay your remittances electronically for six consecutive remittances or more.

To view the information that was provided on your paper Form PD7A, use the “View account transactions” and “View account balance” services through My Business Account or Represent a Client at canada.ca/cra-sign-in-services.

You can choose to receive your Form PD7A **online**. For more information, see “Receive your CRA mail online” on page 61.

If you wish to continue receiving paper statements of account, go to canada.ca/cra-contact.

We can charge you penalties for remittances we do not receive by the due date. You should keep a paper remittance voucher handy in case there is an electronic disruption.

Statement of account for current source deductions section

This section shows:

- your **Account number**
- the **Date issued** (the date of your statement of account)
- your employer name and address
- an overview of what is in your statement of account for current source deductions
- your **Remittance account balance** for the year shown

Account summary section

This section has details of transactions posted on your account since your last statement. It is divided into the following parts:

- **Remittance account balances** show your paid and unpaid amounts for the year shown – this part will appear only if there was remittance activity during the statement period
- **Arrears account balances** show the amounts that you were assessed, including your accumulated balance owing – this part will appear only if there was arrears activity during the statement period
- **Explanation of changes and other important information** gives a more detailed explanation, if necessary, of the activity on your account

How do you remit section

This section has a list of the different ways you can remit your deductions to the CRA.

Nil remittance section

If you are not making a remittance for the statement period, let the CRA know using one of the ways listed in this section.

This section of Form PD7A shows your:

- **Account number**
- **Employer name**
- **National Verification and Collection Centre (NVCC)**

Fill in the information that applies to you in this next part before you send it to the CRA.

- **No employees subject to deductions or business temporarily discontinued** – tick the box and enter the from and to dates in the boxes
- **Business closed or ceased to employ, legal entity or ownership changed, or account opened in error** – tick the box and enter the effective date in the boxes

Current source deductions remittance voucher section

The following information will help you fill in the boxes in this section of the form:

- **End of remitting period for which deductions were withheld** – enter the year and month that you are

remitting for. For quarterly remitters, enter the year and last month of the quarter

- **Gross payroll in remitting period (dollars only)** – enter the total of all remuneration that you paid before you made any deductions such as income tax. Include regular wages, commissions, overtime pay, paid leave, taxable benefits and allowances, piecework payments, and special payments. This is the monthly amount that you will include in box 14 “Employment income” on your employees’ T4 slips. For quarterly remitters, enter the total of these amounts for the last month of the quarter only
- **Number of employees in last pay period** – include any employee for whom you will prepare a T4 slip, such as part-time and temporary employees, and employees absent with pay. Do not include people for whom you will not prepare a T4 slip. Do not include those you did not pay in the last pay period in the month or quarter, such as employees on unpaid leave. If you have various pay groups (for example, executive, hourly, and salaried), include all employees paid in each group’s last pay period, but do not count any person twice
- **Amount paid** – this is the amount you are remitting. This is the total CPP and EI (both employer and employee shares), and income tax

When you make your remittance at a financial institution, fill in the **Amount paid** on the **Current Source Deductions Remittance Voucher**. Give your remittance and the page the voucher is on to the cashier. The cashier will date-stamp the remittance voucher, fill in the **Amount of payment**, and return this part to you as a receipt.

More information section

In this section you will find how to:

- get more payroll information
- access and manage your payroll account
- register for direct deposit
- get your statement in another format if you have a visual impairment

If you choose to mail your remittance and voucher or your **Nil remittance** information to the CRA, send it to:

Canada Revenue Agency
Post Office Box 3800, Station A
Sudbury ON P3A 0C3

Form PD7A(TM)

We send Form PD7A(TM), *Statement of account for current source deductions*, to all employers who make accelerated remittances the month immediately following the end of each quarter. The quarters are January to March, April to June, July to September, and October to December.

Statement of account for current source deductions section

This section shows:

- your **Account number**
- the **Date issued** is the date of your statement account

- your employer name and address
- an overview of what is in your statement of account for current source deductions
- your **Remittance account balance** for the year shown

Account summary section

This section has details of transactions posted on your account since your last statement. It is divided into the following parts:

- **Remittance account balances** show your paid and unpaid amounts for the year shown – this part will appear only if there was remittance activity during the statement period
- **Arrears account balances** show the amounts that you were assessed, including your accumulated balance owing – this part will appear only if there was arrears activity during the statement period
- **Explanation of changes and other important information** gives a more detailed explanation, if necessary, of the activity on your account

How do you remit section

This section has a list of the different ways you can remit your deductions to the Canada Revenue Agency (CRA).

Current source deductions remittance voucher section

The following information will help you fill in the boxes in this section of the form:

- **End of the remitting period** – enter the year and month that you are remitting for
- **Gross payroll in remitting period (dollars only)** – enter the total of all remuneration that you paid before you made any deductions such as income tax. Include regular wages, commissions, overtime pay, paid leave, taxable benefits and allowances, piecework payments, and special payments. This is the monthly amount that you will include in box 14 “Employment income” on your employees’ T4 slips
- **Number of employees in last pay period** – includes any employee for whom you will prepare a T4 slip, such as part-time and temporary employees, and employees absent with pay. Do not include people for whom you will not fill out a T4 slip. Do not include those you did not pay in the last pay period of the remitting period, such as employees on unpaid leave. If you have various pay groups (for example, executive, hourly, and salaried), include all employees paid in each group’s last pay period, but do not count any person twice
- **Amount paid** – this is the amount you are remitting. This is the total CPP and EI (both employer and employee shares), and income tax you are remitting

When you make your remittance at a financial institution, fill in the **Amount paid** on the **Current Source Deductions Remittance Voucher**. Give your remittance and the page the voucher is on to the cashier. The cashier will date-stamp the remittance voucher, fill in the **Amount of payment**, and return this part to you as a receipt.

Threshold 2 remitters and certain payroll service companies **must** remit payroll deductions electronically or in person at their Canadian financial institution.

More information section

In this section you will find how to:

- get more payroll information
- access and manage your payroll account
- register for direct deposit
- get your statement in another format if you have a visual impairment

If you choose to mail your remittance and voucher or your **Nil remittance** information to the CRA, send it to:

Canada Revenue Agency
Post Office Box 3800, Station A
Sudbury ON P3A 0C3

Form PD7A-RB

Each December, we give accelerated remitters (except monthly accelerated remitters) a booklet of PD7A-RB forms (either 27 or 54 forms) to use to remit deductions. These booklets are printed once a year. If you need more forms, go to canada.ca/cra-contact.

Form PD7A-RB has two parts:

Top part – This part is a receipt.

Bottom part – This part is your remittance form when you make your payment. To fill in this part, read the section “Form PD7A(TM)” on page above.

Missing or lost remittance forms

If you are a regular or quarterly remitter and do not receive your remittance form for the month or quarter, or if you lose one, send your payment, payable to the Receiver General, to your NVCC. Include a short note that states your account number and the month or quarter for which you withheld the deductions.

If you are an accelerated remitter and you did not receive your remittance forms or you lost them, go to canada.ca/cra-contact.

Note

Even if you do not have a remittance form, you still have to send us your remittance so that we receive it by the due date.

Not making a remittance

If you are not making a remittance for the month or quarter, notify us with one of the following methods:

- using the “Provide a nil remittance” service through My Business Account or Represent a Client at canada.ca/cra-sign-in-services
- using our TeleReply service
- sending us a letter by mail

If you prefer not to use the online services or TeleReply, fill out the remittance form and mail it to us (see the address

under “More information section” on page above). Be sure to indicate when you expect to make deductions next.

TeleReply

You can use TeleReply if you currently have no employees, are submitting nil remittance information for your payroll program account, and the account number printed on your remittance voucher is correct. If you use TeleReply, do not mail your remittance voucher to us, but fill it out and keep it for your records.

Hours of operation

You can use TeleReply every day from 6:00 a.m. to 3:00 a.m., Eastern Standard Time.

Before you call TeleReply

Before you call TeleReply, fill out the back of your **Current source deductions remittance voucher**, on the last page of your statement of account. Make sure the account number and address printed on your remittance voucher are correct, and that you have this information on hand.

Note

For best results and to ensure your privacy, do not use a cordless or cellular telephone or one with the keypad in the handset. If, at any time during the call, we tell you that you cannot use TeleReply, you will have to mail your remittance voucher.

How to use TeleReply

1. Call TeleReply at **1-800-959-2256**.
2. Follow the instructions to enter your information.
3. At the end of the call, we will ask you to confirm the information you entered.
4. Write down the confirmation number we give you and keep it for your records.

If we do not give you a confirmation number, your information will not be processed. You will have to call TeleReply again or mail your completed remittance voucher to us. For more information, go to canada.ca/cra-report-nil-remittance.

Remittance methods

You can choose from several methods to remit your payroll deductions. However, if you are a **threshold 2** remitter, you **must** remit payroll deductions electronically or in person at your Canadian financial institution on or before the due date.

We consider all payments made to the CRA at least **one full day before** the due date to have been made at a financial institution and a penalty will not be charged.

Payments made **on** the due date but not at a financial institution are assessed a penalty of **3%** of the amount due.

All payments made **after** the due date are assessed a penalty calculated at graduated rates. For more information, see page 12.

Remittances are considered to have been made on the day they are received by the CRA. Choose the appropriate remittance method to meet your due date.

Regardless of how you choose to remit, allow 10 days for your remittance to process.

Note

As of January 1, 2024, payments or remittances to the Receiver General of Canada should be made as an electronic payment if the amount is more than \$10,000. Payers may face a penalty, unless they cannot reasonably remit or pay the amount electronically. For more information, go to canada.ca/payments.

Online payment methods

Online or telephone banking

Most financial institutions let you set up payments to be sent to the Canada Revenue Agency (CRA) on pre-set dates. Businesses have to make their remittances using a business bank account. If you are remitting, your options will display according to the business number provided, for example, corporations tax, GST/HST, payroll deductions, non-residents.

Make sure you correctly enter your payroll program account number and the period the remittance covers. For help remitting your payroll deductions through online banking, contact your financial institution.

My Payment

My Payment is an electronic payment service offered by the CRA that allows individuals and businesses to make payments online directly to the CRA using their bank access cards with a Visa Debit or Debit Mastercard logo.

Use this service to make a payment to one or more CRA accounts in one simple transaction.

For more information, go to canada.ca/cra-my-payment.

Pre-authorized debit

A pre-authorized debit (PAD) is a secure online self-service payment option for individuals and businesses to pay their taxes. A PAD lets you authorize withdrawals from your Canadian chequing account to pay the CRA. You can set the payment dates and amounts of your PAD agreement using the CRA's My Business Account at canada.ca/cra-sign-in-services. PADs are flexible and managed by you. You can use My Business Account to view your account history and modify, cancel, or skip a payment.

For more information, go to canada.ca/pay-authorized-debit.

Third-party service provider

You may be able to make your payments through a third-party service provider. The third-party provider will send your business payments and remittance details to the CRA electronically.

Note

You are responsible for making sure the CRA receives your payment by the payment due date. If you are using a third-party service provider, you must clearly understand the terms and conditions of the services you are using. The CRA does not endorse these products, services or publications.

Other payment methods

Wire transfers

Non-residents who do not have a Canadian bank account can pay using wire transfers. For more information, go to canada.ca/en/revenue-agency/services/about-canada-revenue-agency-cra/pay-wire-transfer-non-residents.

Pay at your Canadian financial institution

You can make your payment at your financial institution in Canada. To do so, you need a personalized remittance voucher.

Can I request a payment arrangement

If you cannot pay your balance owing in full and want to discuss making a payment arrangement, call **1-877-548-6016**. For more information, go to canada.ca/cra-collections.

The CRA will still charge daily compound interest until you have paid your balance in full.

Do you have more than one account

If you remit deductions for more than one account, make sure you provide your payroll program account numbers and give a breakdown of the amounts intended for each account. We can then credit the right amounts to the right accounts.

Notice of assessment

If you receive a notice of assessment, use only the remittance voucher attached to the notice to make your payment.

Use only forms PD7A, PD7A(TM) and PD7A-RB for current remittances of CPP, EI, and income tax.

Service bureaus

Service bureaus or similar institutions that take care of payroll deductions for clients can remit a lump-sum payment for the amounts they deduct for their clients. They have to provide the following information for each client with all of the following:

- account number
- amount remitted
- gross payroll
- number of employees in the last pay period

If you use a service bureau or similar institution to remit your deductions, you are still responsible for making sure that the institution withholds your deductions and sends them to us on time.

Remitting error

If you discover that you made an error in remitting your deductions, you should remit any shortage as soon as possible either by electronic payment, with another remittance form or by writing a short letter giving your account number and the pay period the shortage applies to.

If you have over-remitted, reduce your next remittance by the amount of the overpayment.

If your remittance is late, we may apply a late-remitting penalty. For more information, see page 11.

Appendix 1 – Which payroll table should you use

Your employee is a...	Employee reports for work at an establishment of the employer in Canada	Employee works in Canada, but does not report for work at an establishment of the employer	Employee works in Canada, but employer does not have an establishment in Canada
Resident of Canada	Use the Payroll Deduction Tables for the province or territory where the employee reports for work.	Use the Payroll Deduction Tables for the province or territory where the employer's establishment is located and from which the employee's salary is paid.	Use the Payroll Deduction Tables for In Canada beyond the limits of any province/territory or outside Canada.
Deemed resident or sojourner (see Note)	Use the Payroll Deduction Tables for In Canada beyond the limits of any province/ territory or outside Canada.	Use the Payroll Deduction Tables for In Canada beyond the limits of any province/territory or outside Canada.	Use the Payroll Deduction Tables for In Canada beyond the limits of any province/territory or outside Canada.
Part-year resident, for the part of the year he/she is resident in Canada (see Note)	Use the Payroll Deduction Tables for the province or territory where the employee reports for work.	Use the Payroll Deduction Tables for the province or territory where the employer's establishment is located and from which the employee's salary is paid.	Use the Payroll Deduction Tables for In Canada beyond the limits of any province/territory or outside Canada.
Part-year resident, for the part of the year he/she is non-resident (see Note)	Use the Payroll Deduction Tables for the province or territory where employment duties are performed.	Use the Payroll Deduction Tables for the province or territory where employment duties are performed.	Use the Payroll Deduction Tables for the province or territory where employment duties are performed.
Non-resident, including a commuter (see Note)	Use the Payroll Deduction Tables for the province or territory where employment duties are performed.	Use the Payroll Deduction Tables for the province or territory where employment duties are performed.	Use the Payroll Deduction Tables for the province or territory where employment duties are performed.
Note For more information about residency status, see Income Tax Folio S5-F1-C1, <i>Determining an Individual's Residence Status</i> .			

Appendix 2 – Canada’s social security agreements with other countries

Country	Date in force	CPT form number
Albania	August 1, 2022	173
Antigua and Barbuda	January 1, 1994	111
Austria	November 1, 1987	112
Barbados	January 1, 1986	113
Belgium	January 1, 1987	121
Brazil	August 1, 2014	168
Bulgaria	March 1, 2014	170
Chile	June 1, 1998	114
China	January 1, 2017	171
Croatia	May 1, 1999	115
Cyprus	May 1, 1991	116
Czech Republic	January 1, 2003	137
Denmark	January 1, 1986	117
Dominica	January 1, 1989	118
Estonia	November 1, 2006	142
Finland	February 1, 1988	128
France	March 1, 1981	52
Germany	April 1, 1988	130
Greece	December 1, 1997	54
Grenada	February 1, 1999	119
Guernsey	January 1, 1994	120
Hungary	October 1, 2003	141
Iceland	October 1, 1989	49
India	August 1, 2015	169
Ireland	January 1, 1992	50
Israel	September 1, 2003	140
Italy	January 19, 1979	51
Jamaica	January 1, 1984	57
Japan	March 1, 2008	122
Jersey	January 1, 1994	120
Korea (South)	May 1, 1999	58
Latvia	November 1, 2006	143
Lithuania	November 1, 2006	144
Luxembourg	April 1, 1990	60
North Macedonia	November 1, 2011	163
Malta	March 1, 1992	61
Mexico	May 1, 1996	62
Morocco	March 1, 2010	166
Netherlands	October 1, 1990	63

Country	Date in force	CPT form number
Norway	January 1, 1987	127
Peru	March 1, 2017	172
Philippines	March 1, 1997	64
Poland	October 1, 2009	161
Portugal	May 1, 1981	55
Romania	November 1, 2011	165
St. Kitts and Nevis	January 1, 1994	65
Saint Lucia	January 1, 1988	67
Saint Vincent and the Grenadines	November 1, 1998	66
Serbia	December 1, 2014	162
Slovakia	January 1, 2003	138
Slovenia	January 1, 2001	68
Spain	January 1, 1988	125
Sweden	January 1, 1986	129
Switzerland	October 1, 1995	69
Trinidad and Tobago	July 1, 1999	70
Türkiye	January 1, 2005	72
United Kingdom	April 1, 1998	71
United States	August 1, 1984	56
Uruguay	January 1, 2002	136

Appendix 3 – Calculation of employee EI premiums (2025)

This year-end calculation will help you verify an employee’s EI premiums before you fill out and file the T4 slips. This optional calculation is the **only one we authorize**. We based the calculation on information in this guide and in Chapter 8 of Guide T4127, *Payroll Deductions Formulas*. You can get the information you need to fill in this calculation from each employee’s payroll master file.

Using this calculation will help you avoid the possibility of receiving a Pensionable and Insurable Earnings Review (PIER) report.

To verify the EI deduction, follow these steps:

- Step 1 – Enter the insurable earnings for the year as indicated in each employee’s payroll master file for the period of insurable employment. The amount should not be more than the maximum annual amount of \$65,700 (for 2025).....

\$ _____ 1
- Step 2 – Enter the employee’s EI premium rate for the year (1.64% for 2025 – use 1.31% for Quebec)

× _____ 2
- Step 3 – Multiply line 1 by line 2 to calculate the employee’s EI premiums payable for the year. The amount should not be more than the maximum annual amount of \$1,077.48 (\$860.67 for Quebec) for 2025.....

\$ _____ 3
- Step 4 – Enter the employee’s EI premium deductions for the period of insurable employment as indicated in the employee’s payroll master file

\$ _____ 4
- Step 5 – Line 3 minus line 4. The result should be zero.....

\$ _____ 5

If there is an amount on line 5 and it is **positive**, you have under deducted. If this is the case, add line 4 and line 5 and include the total in box 18 “Employee’s EI premiums” of the T4 slip.

Note
If the amount on line 5 is **negative**, you have over deducted premiums. If this is the case, check the employee’s payroll master file to make sure that the amount on line 1 is correct. For more information on refunding EI overpayment, see page 24.

Appendix 4 – Special payments chart

This chart will help you determine whether or not to deduct CPP, EI, and income tax on the following special payments you make to your employees. For more information, go to canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/benefits-allowances/benefits-allowances-chart.html and canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/calculating-deductions/determining-tax-treatment.html.

Special payments	CPP contributions ¹	EI premiums ¹	Tax deductions
Advances	Yes	Yes	Yes
Benefits under the <i>Employment Insurance Act</i>	No	No	Yes
Bonuses and retroactive pay increases	Yes	Yes	Yes
Casual employment if it is for a purpose other than your usual trade or business (even if there is a contract of employment)	No	No	No
Caregiving benefits – amounts paid to cover the waiting period or to increase the benefit	Yes	Yes/No ²	Yes
Corporate employee who controls more than 40% of the corporations voting shares receiving salary, wages, or other remuneration	Yes	No	Yes
Director's fees paid to residents of Canada or to non-residents – Fee only	Yes ³	No	Yes ⁴
Director's fees paid to residents of Canada or to non-residents – Fee in addition to salary	Yes/No ⁵	Yes/No ⁵	Yes
Employees profit sharing plans (EPSP)	No	No	No
Employment in Canada by a foreign government or an international organization	Yes/No ⁶	Yes/No ⁷	Yes ⁸
Employment in Canada of a non-resident person if the unemployment insurance laws of any foreign country require someone to pay premiums for that employment	Yes/No ⁹	No	Yes ⁸
Employment in Canada under an exchange program if the employer paying the remuneration is not resident in Canada	Yes/No ¹⁰	No	Yes ⁸
Employment of your child or a person that you maintain if no cash remuneration is paid	No	No	No
Employment that is in exchange of work or service (even if there is a contract of service)	Yes/No ¹¹	No	Yes/No ¹²
Employment under the “Self-employment assistance” or “Job creation partnerships” benefit program established under section 59 of the <i>Employment Insurance Act</i> , or under a similar benefit program that a provincial or territorial	Yes/No ¹³	No	Yes/No ¹⁴

¹ If you have already deducted the total yearly maximum contributions from the employee's income, do not deduct more contributions. Do not consider amounts deducted by previous employers during the same year unless there was a restructure or reorganization—see page 10.

² Do not deduct EI premiums if the following two conditions are met:

- the total amount of your payment and the EI weekly benefits combined do not exceed the employee's normal weekly gross salary
- your payment does not reduce any other accumulated employment benefits such as banked sick leave, vacation leave credits, or retiring allowance

³ Do not deduct CPP contributions when the employment is performed totally or partly outside Canada—see page 20.

⁴ Do not deduct income tax if you estimate that the total fee paid in the year is less than the total claim amount on Form TD1.

⁵ The issue of whether to deduct CPP, EI, or both depends on the status of the resident director's employment. For more information on director's fees, see page 34 of this guide.

⁶ Deduct CPP contributions when the international organization or the foreign government agrees to cover their employees. A list of the international organizations and foreign countries can be found under schedules V and VII of the *Canada Pension Plan Regulations* (except for employment listed in schedules VI and VIII).

⁷ Deduct EI premiums when the foreign government or international organization agrees to cover its Canadian employees under Canada's EI legislation (in this case, the employment is insurable if Employment and Social Development Canada agrees).

⁸ For more information on non-resident employees, see page 31.

⁹ Deduct CPP contributions unless the worker has a certificate of coverage from the competent authority of their country confirming that the worker is contributing to a pension plan in their country. Do not deduct CPP contributions if the employer is not residing in Canada and does not have an establishment in Canada, unless the employer has filed Form CPT13.

¹⁰ Do not deduct CPP contributions unless the employer has filed Form CPT13.

¹¹ Deduct CPP contributions unless the employment does not require CPP deductions, as indicated in Chapter 2.

¹² For more information about bartering, see archived Interpretation Bulletin IT-490, *Barter Transactions*. Do not deduct income tax unless the taxpayer is an employee and makes a regular habit of providing services for cash.

¹³ Do not deduct CPP contributions on benefits paid by Employment and Social Development Canada or a provincial government. Deduct CPP contributions on payments made by an employer unless the individual is working as a self-employed individual or the employment does not require CPP contributions, as indicated in Chapter 2.

¹⁴ Deduct income tax if the payment is considered government financial assistance, but if the payment is considered an inducement to earn business income, do not deduct income tax.

Special payments	CPP contributions ¹	EI premiums ¹	Tax deductions
government or other organization provides and is part of an agreement under section 63 of the <i>Employment Insurance Act</i>			
Employment when employment insurance premiums have to be paid according to the unemployment insurance laws of any state of the United States, the District of Columbia, Puerto Rico, or the Virgin Islands, or according to the <i>Railroad Unemployment Insurance Act</i> of the United States	Yes/No ¹⁰	No	Yes
Entertainment activity, employment in	Yes	Yes	Yes
Furlough, amounts received when on	Yes	Yes	Yes
Honorariums from employment or office	Yes/No ¹⁵	Yes/No ¹⁵	Yes
Incentive payments	Yes	Yes	Yes
Job creation Employment and Social Development Canada approved project, additional amounts that you as an employer pay while participating in a project	Yes/No ¹⁶	No	Yes
Lost-time pay from a union, amounts received as	Yes	Yes	Yes
Maternity benefits – amounts paid to cover the waiting period or to increase the benefit	Yes	Yes/No ²	Yes
Overtime pay, including banked overtime pay	Yes	Yes	Yes
Parental care benefits – amounts paid to cover the waiting period or to increase the benefit	Yes	Yes/No ²	Yes
Payments to placement and employment agency workers – Agency that hires employees	Yes	Yes	Yes
Payments to placement and employment agency workers – Agency pays the worker	Yes	Yes	No
Payments to placement and employment agency workers – Client of the agency pays the worker	Yes	No	Yes
Payments to placement and employment agency workers – Agency hires a self-employed worker	No	No	No
Payments under Part 2 of the <i>Veterans' Well-being Act</i> – amounts received on account of an earnings loss benefit, supplementary retirement benefit or permanent impairment allowance payable to the taxpayer	No	No	Yes
Qualifying retroactive lump-sum payments ¹⁷	Yes	Yes	Yes
Retirement compensation arrangements (RCA)	No	No	Yes
Retiring allowances (also called severance pay)	No	No	Yes ¹⁸
Sabbatical, remuneration received while on	Yes	Yes	Yes
Salary	Yes	Yes	Yes
Salary deferral – non-prescribed plans or arrangements – on amounts earned	Yes	Yes	Yes
Salary deferral – prescribed plans or arrangements – on amounts received	Yes/No ¹⁹	Yes/No ¹⁹	Yes
Sick leave, amounts received while on sick leave, sick leave credits, payments for	Yes	Yes	Yes
Spouse or common-law partner, employment of, if you cannot deduct the remuneration paid as an expense under the <i>Income Tax Act</i>	No	Yes/No ²⁰	Yes
Teacher on exchange from a foreign country, employment of	No	Yes/No ²¹	Yes/No ²²
Tips and gratuities (controlled by employer)	Yes	Yes	Yes ²³
Tips and gratuities (direct tips or gratuities – not controlled by the employer)	No	No	No ²³

¹⁵ To determine if you have to deduct CPP, EI, or both for individuals who hold an office, see canada.ca/en/revenue-agency/services/tax/businesses/topics/payroll/payroll-deductions-contributions/special-payments/elected-appointed-officials.html.

¹⁶ Deduct CPP contributions on payments made by an employer unless the individual is working as a self-employed individual or the employment does not require CPP contributions, as indicated in Chapter 2 of this guide.

¹⁷ Qualifying retroactive lump-sum payments may require CPP or EI deductions in addition to income tax.

¹⁸ Do not deduct income tax on the amount of retiring allowance that is transferred directly to the recipient's RPP or RRSP (up to the amount of the employee's available RRSP deduction limit)—see page 37 for details.

¹⁹ To determine if you have to deduct CPP, EI, or both, see "Prescribed plans or arrangements" on page 39.

²⁰ Deduct EI premiums if you would have negotiated a similar contract with a person that you deal with at arm's length.

²¹ Deduct EI premiums, unless the worker is remunerated by an employer residing outside Canada.

²² You have to deduct income tax on Canadian earnings, unless provisions of an income tax convention or treaty say otherwise.

Special payments	CPP contributions¹	EI premiums¹	Tax deductions
Vacation pay, public holidays, and lump-sum vacation payment	Yes	Yes	Yes ¹⁶
Vow of poverty – employment of a member of a religious order who has taken a vow of poverty. This applies whether the remuneration is paid directly to the order or the member pays it to the order	No	No	Yes/No ²⁴
Wages	Yes	Yes	Yes
Wages in lieu of termination notice	Yes	Yes	Yes
Wage-loss replacement plans – Paid by the employer	Yes	Yes	Yes
Wage-loss replacement plans – Paid by third party/trustee and the employer: ■ funds any part of the plan ■ exercises a degree of control over the plan ■ directly or indirectly determines the eligibility for benefits	Yes	Yes	Yes
Workers' compensation claims – Employee's salary paid before or after a workers' compensation board claim is decided	Yes	Yes	Yes
Workers' compensation claims – Advances or loans equal to the workers' compensation benefits awarded	No	No	No
Workers' compensation claims – Amount paid in addition to an advance or loan before the claim is accepted	Yes	Yes ²⁵	Yes
Workers' compensation claims – Top-up amounts paid after the claim is accepted	Yes	No	Yes
Workers' compensation claims – Top-up amounts paid as sick leave after the claim is accepted	Yes	No	Yes

²³ For more information on determining if the tips and gratuities are controlled or direct, go to canada.ca/cpp-ei-explained and select "Tips and gratuities."

²⁴ Deduct income tax, unless the employer pays the remuneration directly to the order or the employee provides the employer with a letter of authority approved by a tax services office.

²⁵ An amount you pay in addition to an advance or loan is not a top up amount if you pay it while waiting for a decision on a workers' compensation board claim. This amount is considered as employment income.

Digital services

Handle your business taxes online

My Business Account lets you access your business tax information and interact with the CRA online throughout the year.

Profile

- Manage your addresses, direct deposit information, program account names, operating names, phone numbers, business numbers in your profile, and language preference
- Manage your notification preferences and receive email notifications when important changes are made to your account
- Manage your authorized representatives and authorization requests
- Manage your multi-factor authentication settings and security options

Balances and payments

- Make a payment online to the CRA with My Payment, create a pre-authorized debit (PAD) agreement, or create a QR code to pay in person at Canada Post for a fee
- View and pay account balance
- View account transactions
- Request a refund
- Request a payment search
- Pay source deduction remittances
- Transfer a misallocated payment

Transactions

- File or amend returns and view return details
- View remitting requirements
- View and download pensionable and insurable earnings reviews (PIERs) on file
- Download reports
- Track the progress of certain files and enquiries you have submitted to the CRA
- Respond to notices
- Request CPP/EI ruling
- Request relief of penalties and interest
- File a formal dispute (Appeal)
- Close an account

Correspondence

- View mail from the CRA
- Submit documents to the CRA
- Submit an audit enquiry

For more information, go to canada.ca/taxes-business-online.

Access My Business Account

To access My Business Account, go to canada.ca/cra-sign-in-services and sign in to or register for a CRA account.

Receive your CRA mail online

Most correspondence is only available online in My Business Account by default, except when a business has changed its delivery method to receive paper mail. Make sure you register for email notifications from the CRA to find out when you have new mail to view in My Business Account.

For more information, go to canada.ca/cra-business-email-notifications.

Create a pre-authorized debit agreement for payments from your Canadian chequing account

A pre-authorized debit (PAD) is a secure online self-service payment option for individuals and businesses to pay their taxes. A PAD lets you authorize withdrawals from your Canadian chequing account to pay the CRA. You can set the payment dates and amounts of your PAD agreement using the CRA's My Business Account at canada.ca/cra-sign-in-services. PADs are flexible and managed by you. You can use My Business Account to view your account history and modify, cancel, or skip a payment. For more information, go to canada.ca/pay-authorized-debit.

Electronic payments

Make your payment using:

- your Canadian bank or credit union's online banking, mobile app, or telephone service
- the CRA's My Payment service at canada.ca/cra-my-payment with your activated debit card from a participating Canadian bank or credit union with a Visa Debit or Debit Mastercard logo (does **not** include credit cards)
- pre-authorized debit (PAD) at canada.ca/cra-sign-in-services which lets you:
 - set up payments to the CRA from a Canadian chequing account on pre-set dates starting in five or more business days
 - pay an amount due, repay overpaid amounts, or make instalment payments

- view your account history and modify, cancel or skip a payment (for more information on PAD, go to **canada.ca/pay-authorized-debit**)
- the “Proceed to pay” button on the “View and pay account balance” page and other pages within My Business Account
- your credit card, *Interac* e-Transfer, or PayPal through one of the third-party service providers **for a fee**

For more information, go to **canada.ca/payments**.

For more information

If you need help

For help with common topics, current contact centre wait times, and links to online self-serve options, go to canada.ca/cra-contact.

Direct deposit

Direct deposit is a fast, convenient, and secure way to receive your CRA payments directly in your account at a financial institution in Canada. For more information, go to canada.ca/cra-direct-deposit or contact your financial institution.

Due dates

When a due date falls on a Saturday, Sunday, or public holiday recognized by the CRA, your payment is considered on time if the CRA receives it on or it is processed at a Canadian financial institution on or before the next business day.

For more information, go to canada.ca/cra-remit-due-date.

Forms and publications

The CRA encourages you to file your return electronically. If you need a paper version of the CRA's forms and publications, go to canada.ca/cra-forms-publications.

Contact the Canada Revenue Agency (CRA)

For answers to frequently asked questions, current contact centre wait times, and links to online self-serve options, go to canada.ca/cra-contact.

Teletypewriter (TTY) and Video Relay Service (VRS) users

If you use a TTY for a hearing or speech impairment, call 1-800-665-0354.

Register with Canada VRS to download the app, by going to srvcanadavrs.ca/en/get-the-app, and call the VRS line.

If you use another **operator-assisted relay service**, call the CRA's regular telephone numbers instead of the TTY or Canada VRS numbers.

Formal disputes (objections and appeals)

You have the right to file an objection or an appeal if you disagree with an assessment, a determination, or a decision.

For more information, go to canada.ca/cra-file-objection.

CRA service feedback program

Service complaints

You can expect to be treated fairly and to receive a high level of service every time you interact with the CRA.

You can provide compliments or suggestions; however, if you are not satisfied with the service you received:

- You may save time by calling the CRA first depending on your situation. You can call the telephone number provided in your CRA correspondence or discuss your concerns with the employee you have been dealing with. If you do not have a contact number, go to canada.ca/cra-contact
- You can ask to discuss the matter with the employee's supervisor if you have not been able to resolve your service issue
- You can submit feedback by filling out Form RC193, *Service Feedback*, if the issue remains unresolved. For more information, go to canada.ca/cra-service-feedback
- You may contact the Office of the Taxpayers' Ombudsperson if you are not satisfied with the response you have received. The Ombudsperson will only respond to complaints that the CRA has already tried to address

For more information about the *Taxpayer Bill of Rights*, go to canada.ca/taxpayer-rights.

Reprisal complaints

If you received a response about a previously submitted service complaint or formal review of a CRA decision and felt that you were not treated fairly by a CRA employee, you can submit a reprisal complaint by filling out Form RC459, *Reprisal Complaint*.

For more information, go to canada.ca/cra-reprisal-complaints.

Electronic mailing lists

The CRA can send you an email when new information on a subject of interest is available on its website. To subscribe, go to canada.ca/cra-email-lists.

Publications for employers

- Guide T4032, *Payroll Deductions Tables*
- Guide RC4120, *Employers' Guide – Filing the T4 Slip and Summary*
- Guide T4130, *Employers' Guide – Taxable Benefits and Allowances*
- Guide RC4157, *Deducting Income Tax on Pension and Other Income, and Filing the T4A Slip and Summary*
- Guide RC4110, *Employee or Self-Employed*.

Addresses

Tax services offices (TSO)

For a list of our tax services offices, go to canada.ca/cra-offices or canada.ca/cra-contact.

Tax centres (TC)

Jonquière TC
Post Office Box 1300 LCD Jonquière
Jonquière QC
G7S 0L5

Prince Edward Island TC
275 Pope Road
Summerside PE C1N 6A2

Sudbury TC
Post Office Box 20000, Station A
Sudbury ON P3A 5C1

National Verification and Collection Centres (NVCC)

Newfoundland and Labrador NVCC
Post Office Box 12071 Station A
St John's NL A1B 3Z1

Shawinigan NVCC
4695 Shawinigan-Sud Boulevard
Shawinigan-Sud QC G9P 5H9

Surrey NVCC
9755 King George Boulevard
Surrey BC V3T 5E1

Winnipeg NVCC
66 Stapon Road
Winnipeg MB R3C 3M2